Economics

March 12, 2026

Gold Overstates Narrowing in January International Trade Deficit

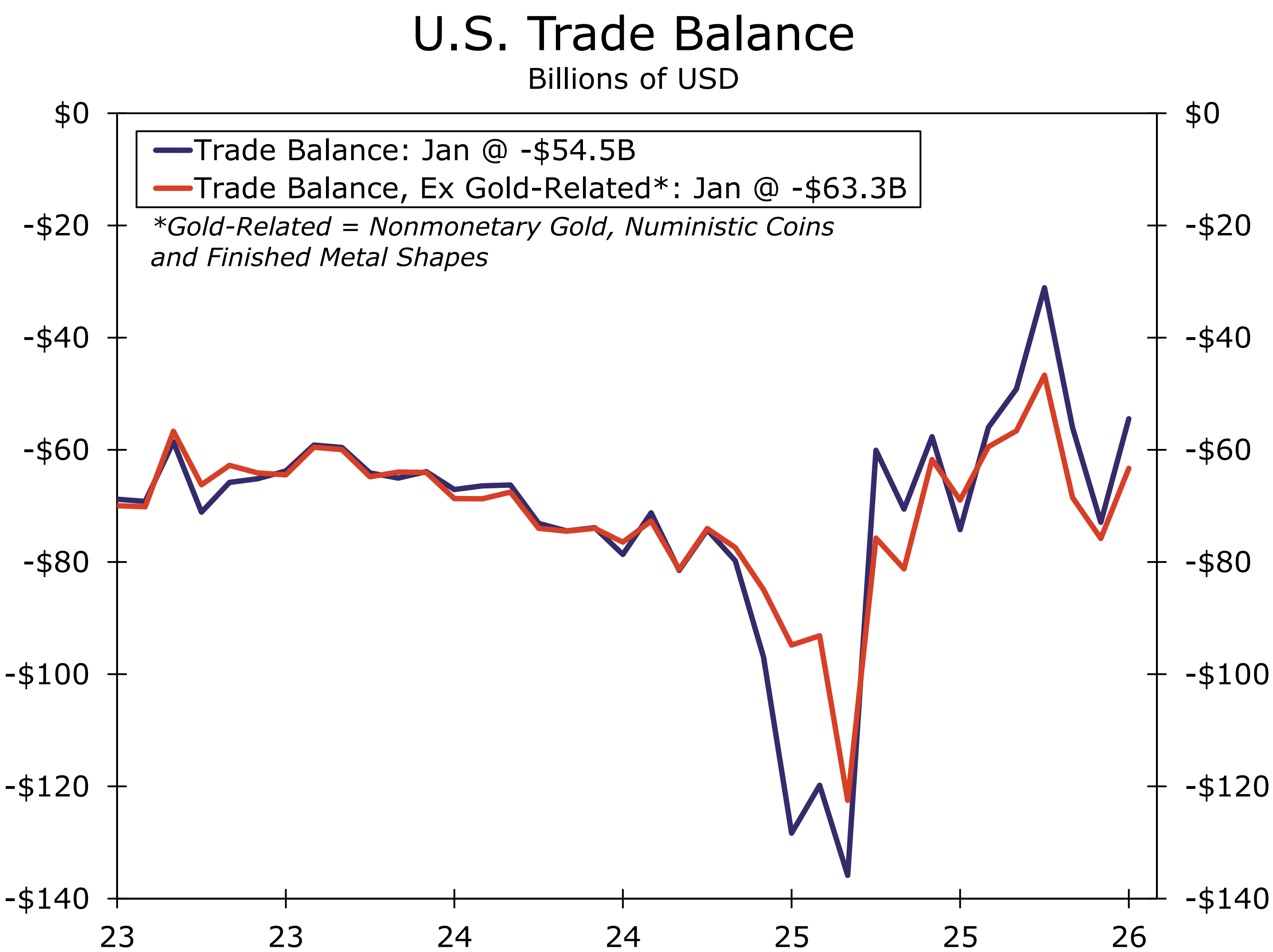
Economic Indicator

Economist(s)

Shannon Grein

Tim Quinlan

- The U.S. international trade data continue to be whipsawed by the flow of non-monetary gold and broader investment-related categories. These data won't translate directly to what is included in GDP accounting, and thus the $18.4 billion narrowing in the January trade deficit *overstates* the growth impact.
- Beyond investment-related metal flows, all the action continues to take place in high-tech related goods, with the export and import of items like computers and semiconductors rising sharply. The U.S. imports much more of these products than it exports, leading the trade deficit in high-tech related goods to widen sharply since the end of 2023.
- We continue to expect the overall U.S. international trade deficit to widen again over the course of the year as we suspect some pent-up demand for import growth is overdue and some near-term tariff clarity may lead importers to try and secure product.

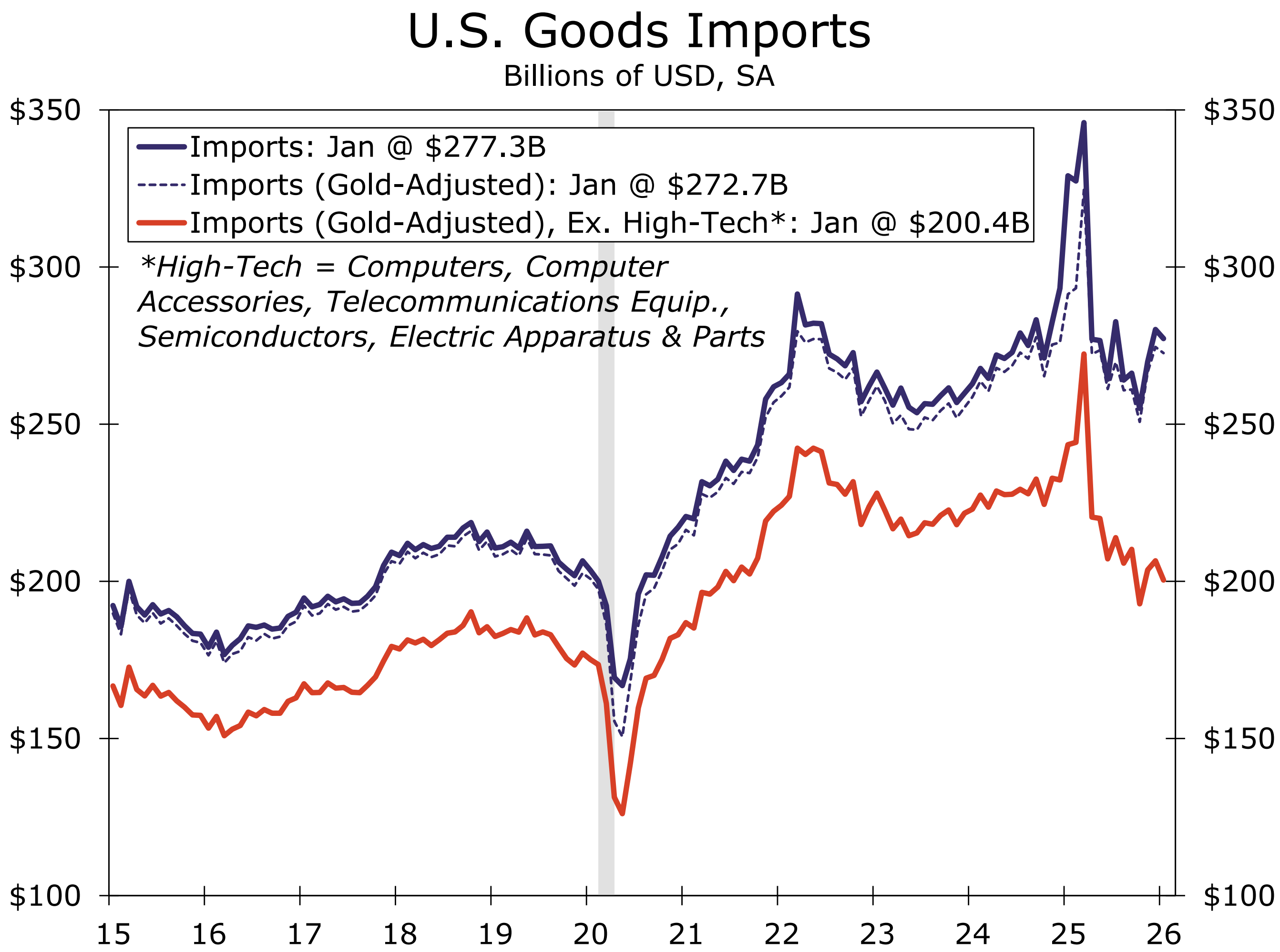


Source: U.S. Departmet of Commerce and Wells Fargo Economics

Trade Whiplash

Exports of *nonmonetary gold* continue to whipsaw the U.S. international trade deficit and suggest the recent moves are not as sharp as they appear at face value. As seen in the top chart, when you exclude the gold-related categories of trade, the international trade balance still narrowed in January, but not to the same degree as the headline data suggest. These categories are excluded and replaced by the BEA when calculating international trade flows in the GDP accounts because the way they are captured here in the monthly report more so reflects investment flows rather than growth in current production of gold or current usage of it in the production process.

In January, gold wasn't the sole thing driving exports $14.6 billion higher. *Other precious metals* rose a similar amount as gold, up just over $4 billion last month. Together these two components account for nearly 60% of the export gain. Outside metal flows, the trade story remains remarkably steady where nearly-all the growth sits in high-tech related goods. *Computers* (+$2.6B), and c*omputer accessories* ($1.6B), as well as *semiconductors* ($353M) posted impressive monthly gains.



Source: U.S. Department of Commerce and Wells Fargo Economics

Imports were much more bleak at the start of the year, dropping $2.8 billion. Here too, the story is very similar. *Non-monetary gold* was a factor, accounting for about 40% of the overall drop in imports, while the import of high-tech related products continued to outperform; *computers* (+$3.9B), *telecommunications equipment* ($1.3B), *semiconductors* ($293M). To be clear, the U.S. imports a lot more of these types of products than it exports, and the high-tech related trade balance has widened sharply since late 2023, currently sitting around -$43 billion, about two-and-a-half times as large as it was back then.

We still look for the overall U.S. international trade deficit to widen again over the course of the year as we suspect some pent-up demand. When you peal back import growth, it was incredibly weak last year, with underlying imports running near 2021 levels (chart). We suspect many companies were judicious when it came to onshoring product amid rapidly changing tariff policy, but as consumer demand has held up, and we've seen a steady drawdown in inventory since the initial Q1 build ahead of tariffs last year, we believe firms are in need of product.

Additionally, there's been some near-term clarity on tariffs and the recent Supreme Court ruling against IEEPA tariffs may act as a catalyst for firms to secure product. We've heard this anecdotally from clients. The combination of knowing where tariffs are the next couple of months and a potentially lower burden in the wake of the current 10% baseline rate leaves some firms importing more product today in case tariffs go up again later.

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com

Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 3/12/2026 unless otherwise stated. 3/12/2026 9:28:49 EDT.

Required Disclosures

Economics

March 12, 2026

Another Decline in Permits Overshadows January's Jump in Housing Starts

Surge in Multifamily Boosts Total Starts—Permits Tell the Real Story

Economic Indicator

Economist(s)

 Charlie Dougherty

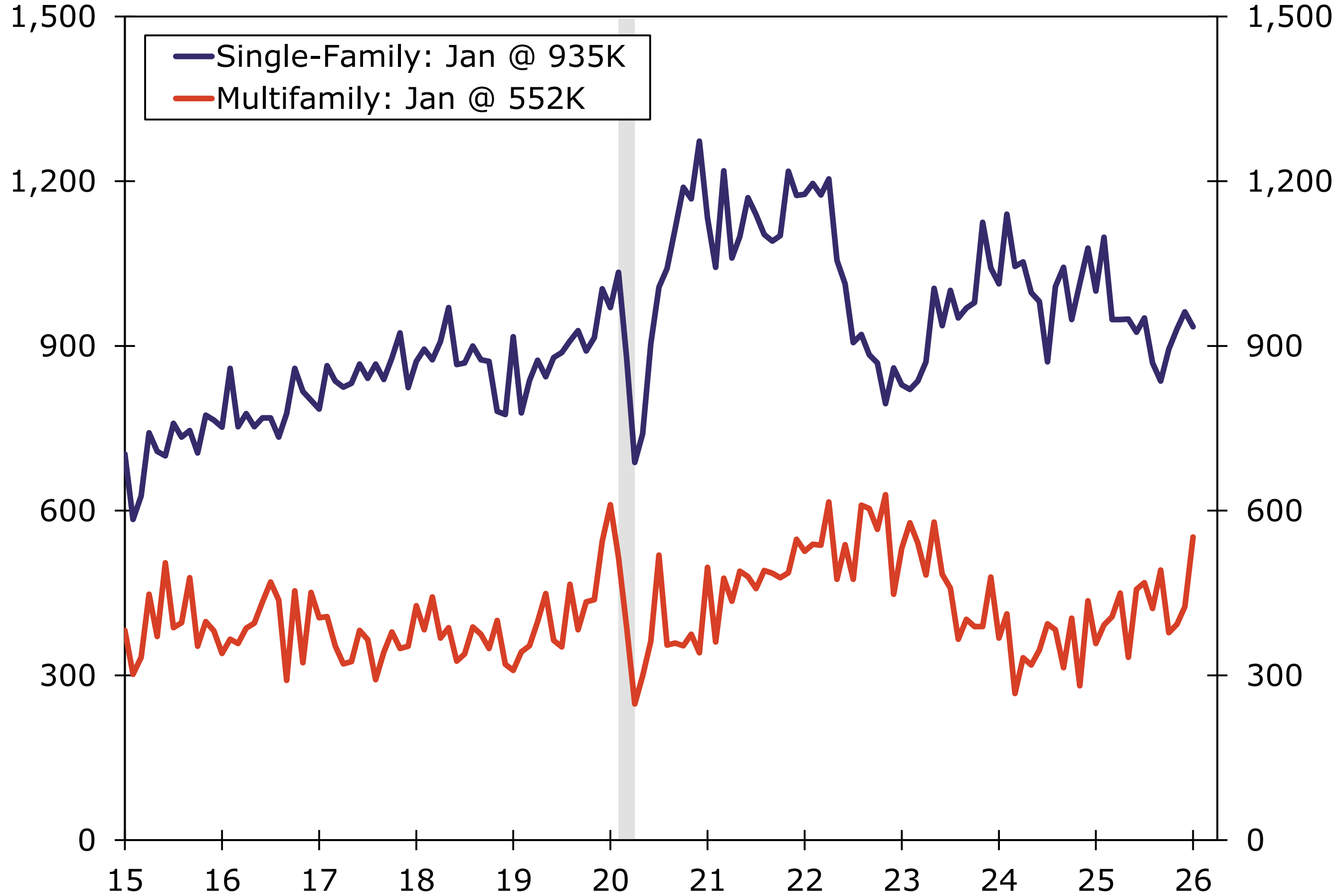
 Jackie Benson

 Ali Hajibeigi

- Housing starts surprised to the upside in January, jumping 7.2% over the month. A surge in multifamily starts was entirely responsible. Multifamily rocketed 29.9% to a 552K-unit pace during the month, the highest since May 2023.
- The underlying details painted a relatively weaker picture of residential construction.
- For instance, the substantial gain in multifamily needs to be taken a grain of salt. Multifamily starts tend to bounce around on a monthly basis and are often subject to large revisions.
- Single-family starts did not show a similar rise and declined by 2.8% in January. Home builders appear to be scaling back production as inventories remain elevated relative to sales.
- What's more, both single-family and multifamily permits fell to start the year. Single-family edged down 0.9% and declined by 12.4%. Total permits hit a 1.38K annual pace in January, down 5.8% year-to-year. The downtrend in permits suggests starts will remain somewhat sluggish in the months ahead.
- Meanwhile, other leading indicators of residential construction foreshadow a softer pace of single-family construction ahead. In both January and February, the NAHB Housing Market Index revealed deteriorations in buyer traffic and sales expectations, keeping overall builder confidence at a weak level.
- Although the recent pop in starts likely overstates the strength, we do believe there is scope for modest improvement in multifamily development this year. Persistent single-family affordability challenges continue to bolster rental demand. In addition, the number of apartment units under construction fell to 686K in January, its lowest in four and a half years. This suggests that the supply pipeline is thinning, which should allow the apartment market to continue to firm.

Housing Starts

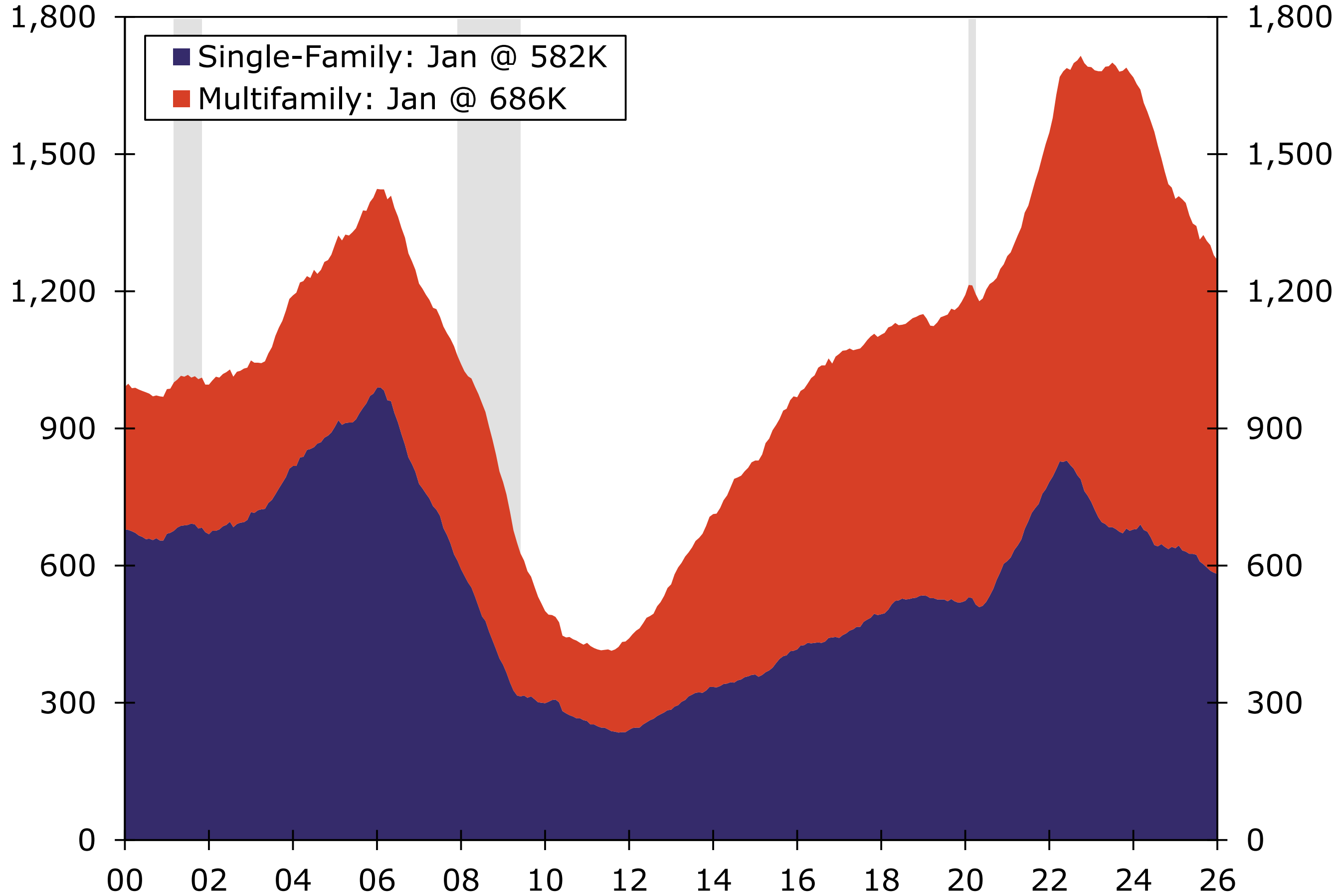
In Thousands, SAAR



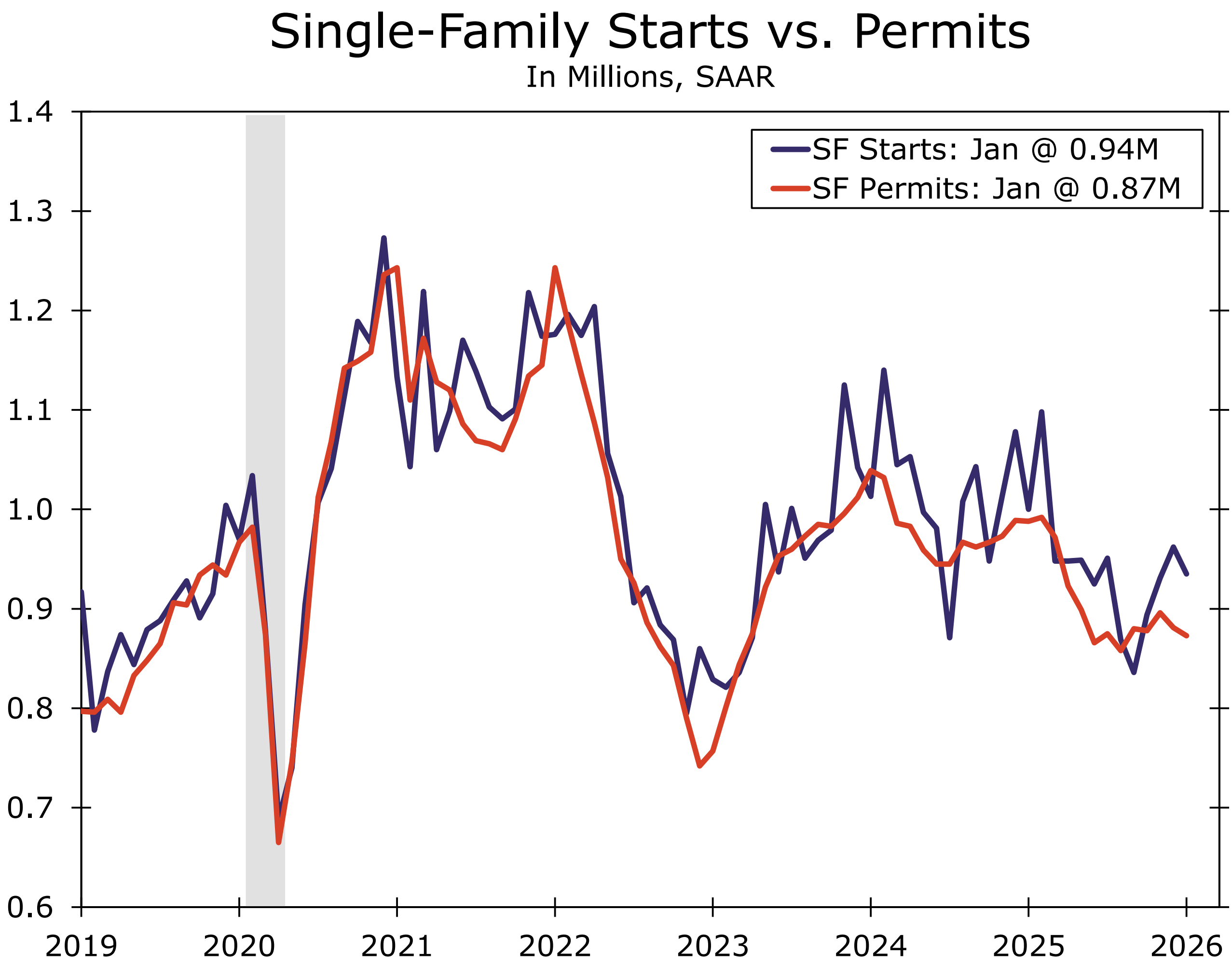
Source: U.S. Department of Commerce and Wells Fargo Economics

Homes Under Construction

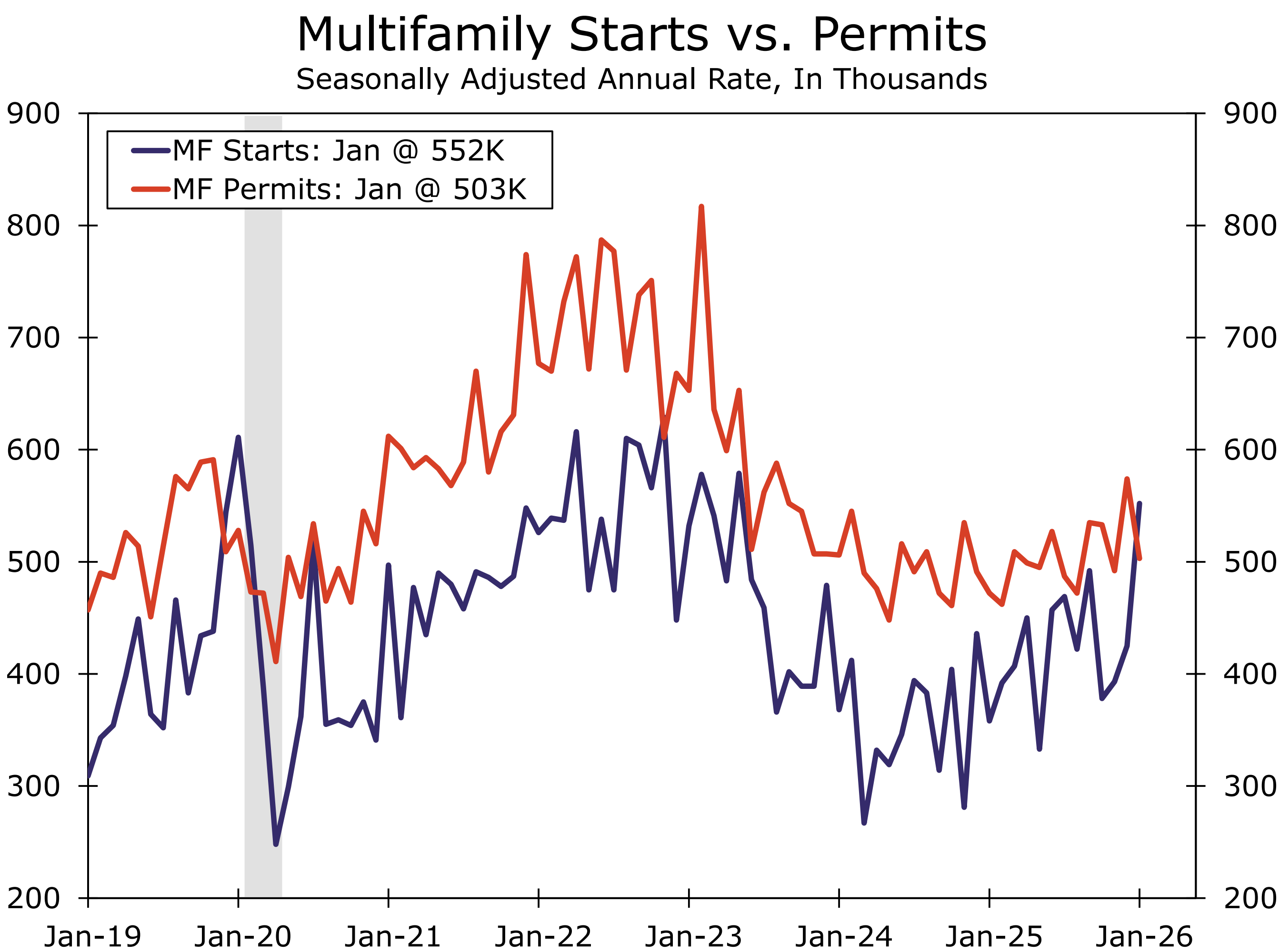
In Thousands, SAAR



Source: U.S. Department of Commerce and Wells Fargo Economics



Source: U.S. Department of Commerce and Wells Fargo Economics



Source: U.S. Department of Commerce and Wells Fargo Economics

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 3/12/2026 unless otherwise stated. 3/12/2026 9:39:41 EDT.

Required Disclosures

Economics
March 11, 2026

February CPI: Disinflation Loses Traction as Energy Shock Emerges

Economic Indicator

Economist(s)

 Sarah House

 Michael Pugliese

 Nicole Cervi

February's CPI report may already feel like old news with oil prices up roughly 25% since the end of last month. Yet the February data showed that **the disinflationary momentum exhibited since last summer is proving hard to maintain**. Headline inflation rose 0.3% in February, leaving the year-over-year rate at 2.4% but pushing the more recent three-month pace up to 3.0%.

- **Energy prices** rose 0.6% in February, essentially in line with our forecast. Oil and gas prices were already rising in February in anticipation of a conflict in the Middle East, underpinning the solid 1.1% gain in energy goods during the month. Assuming the cost of regular gas averages $3.65 per gallon for the rest of this month, we estimate energy goods will rise a more jarring ~18% in March.

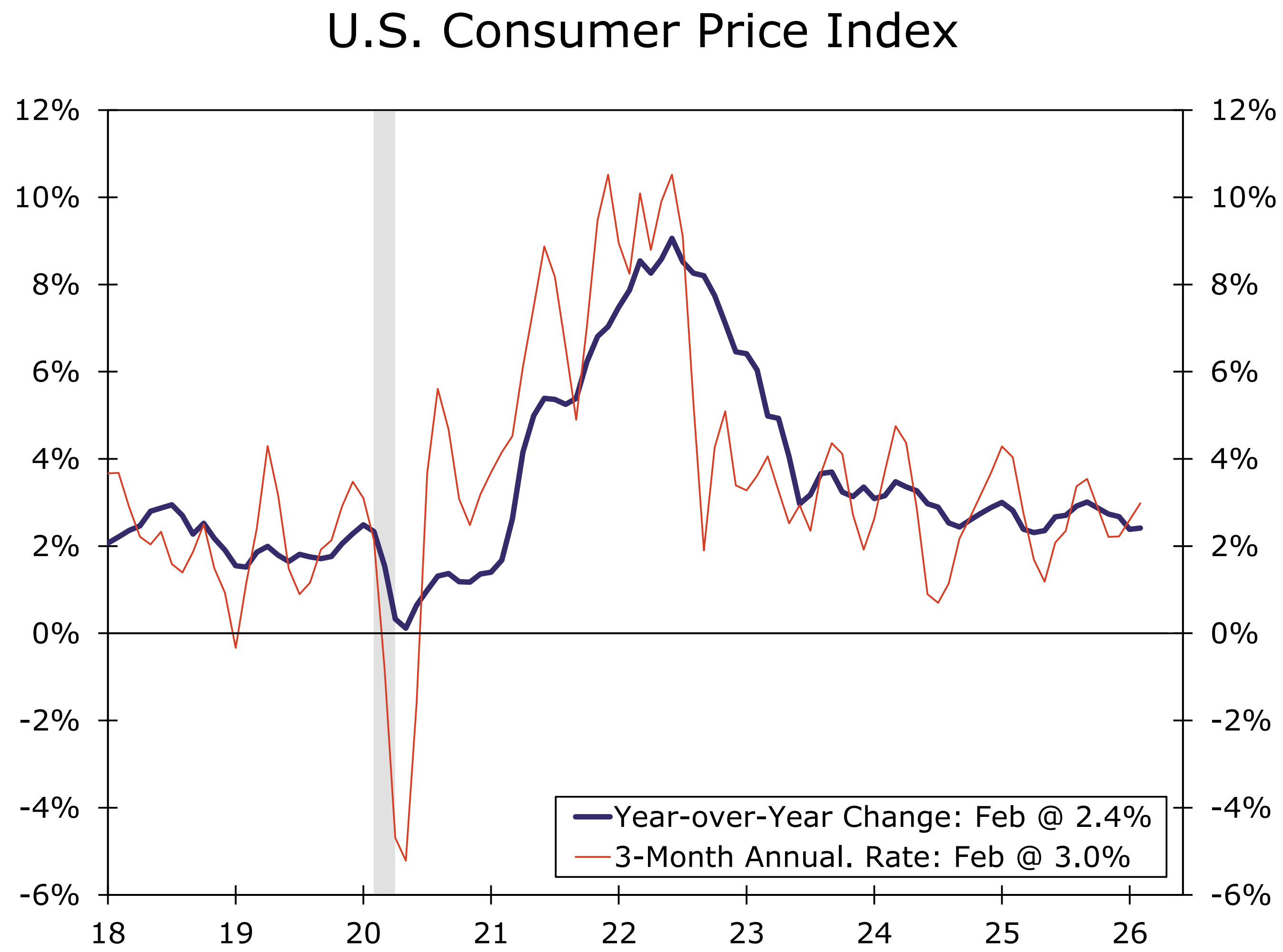
- **Food prices** came in hotter than expected in February. Grocery store prices rose 0.4%, flattered by a robust gain in fruits and vegetables pricing. On a year-over-year basis, food at home strengthened to 2.4%, drifting further away from the trends in food-related commodity and producer price measures of foods that have been receding. While the shock to energy prices puts upward pressure on food prices, we still anticipate food inflation will ebb in the coming months.

- The **core CPI rose 0.22%** in February, more or less in line with our projections for a 0.19% increase. **Core goods** came in slightly softer than we expected. This was largely a vehicles story, with used autos prices dropping 0.4% and new vehicle prices flat in the month. Core goods ex-autos, which probably better captures the pass-through to inflation from tariffs, rose 0.22%, a bit stronger than we were forecasting. Apparel prices jumped 1.3%, the highest reading since September 2018. The February data showed a similar month-on-month rise in tariff-related categories including recreation goods (+0.4%), motor vehicle parts & equipment (+0.4%) and household furnishings (+0.2%). The chart "Tariff Impact on Prices" below illustrates how these categories have seen a series of notably above-trend prints since Liberation Day in April 2025.

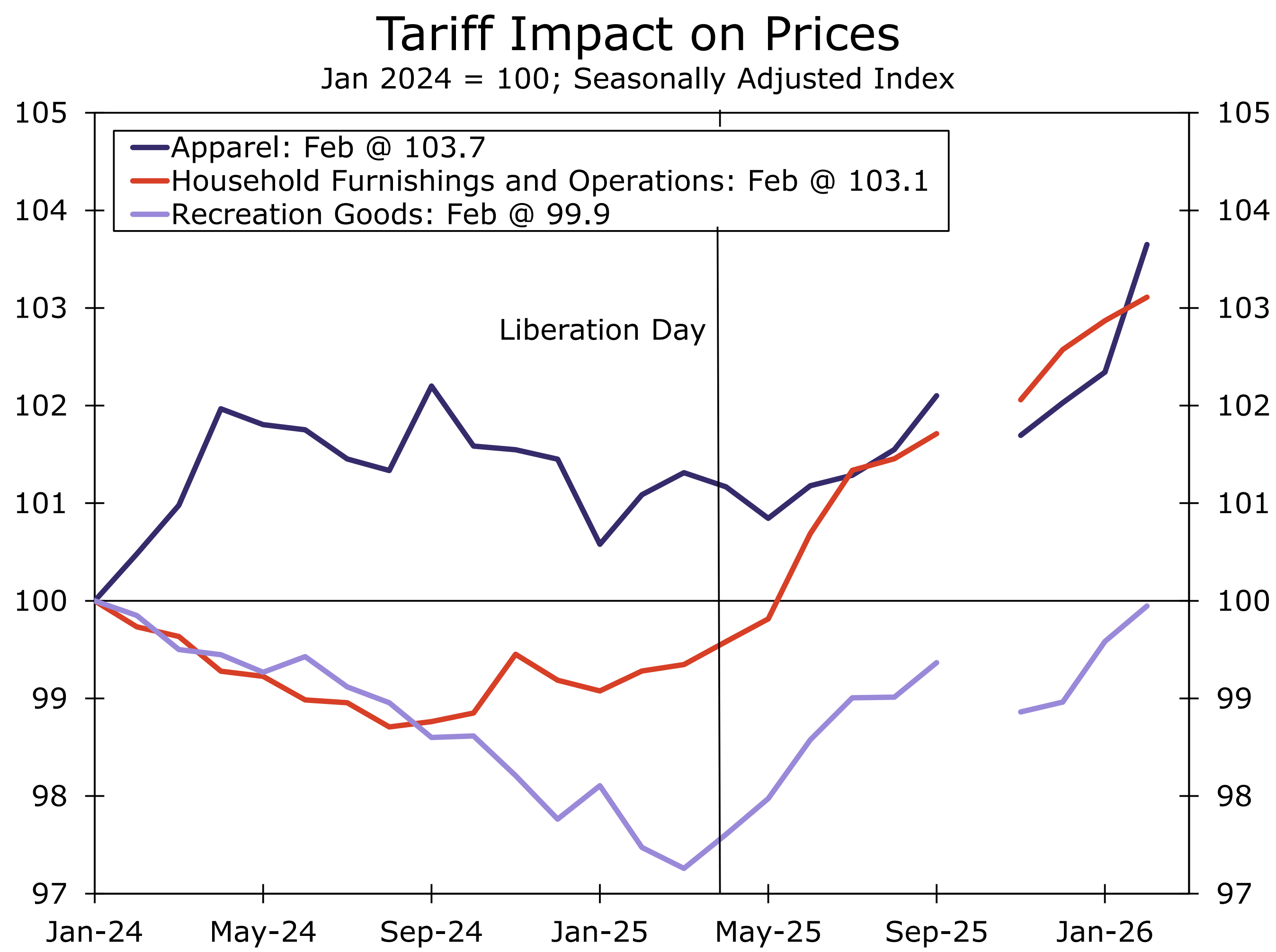
- **Core services** advanced 0.3% in February, slightly stronger than anticipated. The beat stemmed from travel-related services, which rose 1% over the month and continued a three-month streak of solid gains, and a sizable gain in medical services (+0.6%). Elsewhere, primary shelter moderated a touch, as rental costs rose only 0.1% over the month, the lowest since 2021. Spot measures of rents have been soft for a while now and suggest the CPI's measure of shelter has a little more room to moderate this year.

- The stubborn picture of overall inflation has been even more apparent when viewed through the lens of the PCE deflator. While more input details will be made available tomorrow with the February's PPI release, **today's data point to another robust increase in PCE inflation**. We currently estimate both headline and core PCE will rise a "low" 0.4% in February, with higher weightings in the PCE index for some goods components being a key source of the PCE's persistent strength of late.

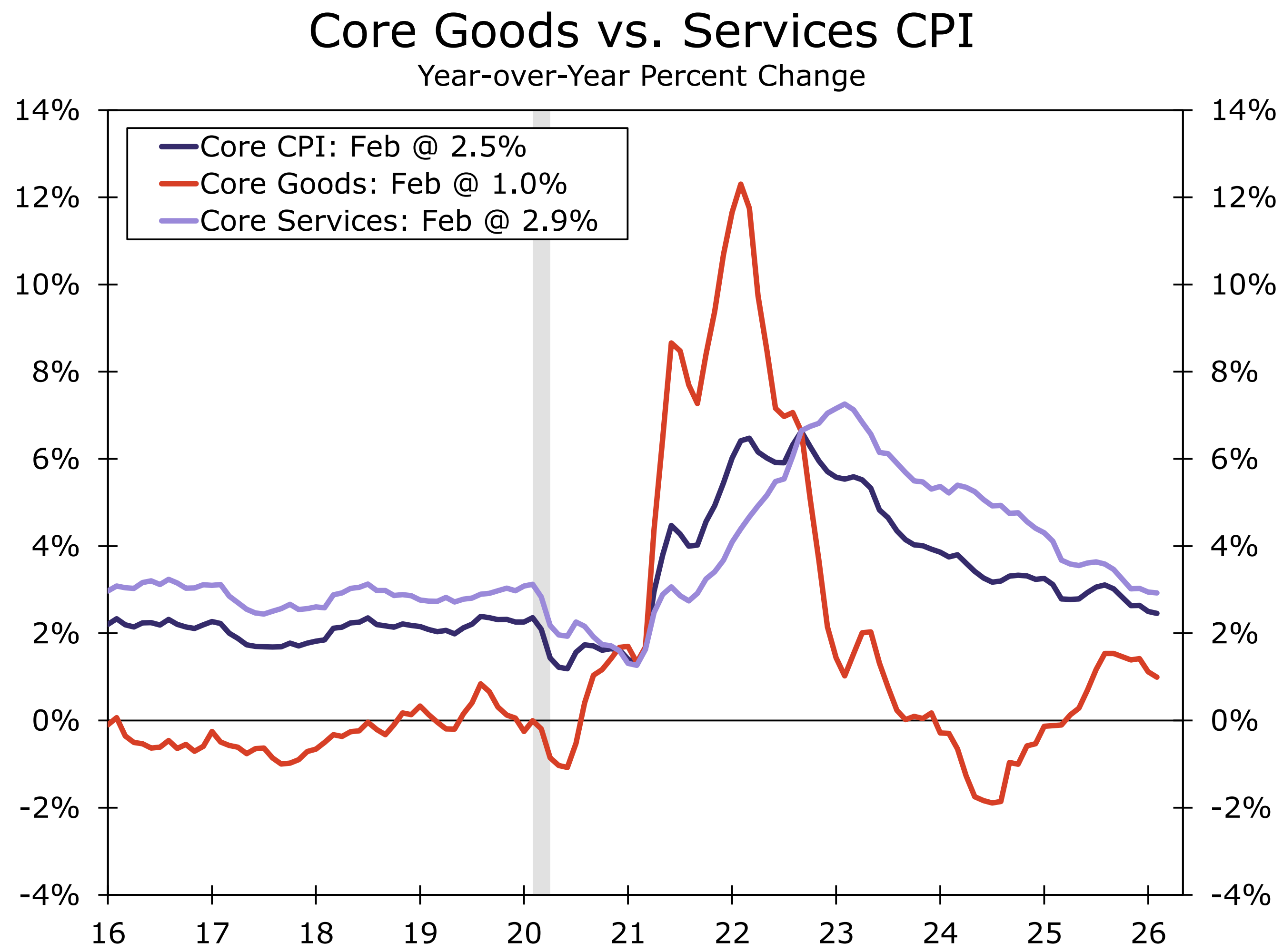
- **For the FOMC**, today's report is probably a little bit more dated than is typically the case for a CPI print, with policymakers' primary focus on the uncertain outlook for energy prices and the broader inflation outlook in light of the developing conflict with Iran. On balance, today's inflation data probably does little to sway the hawks, doves and undecideds one way or the other. We published an updated U.S. economic forecast and fed funds rate outlook in a separate report this morning. Our forecast remains for two 25 bps rate cuts from the FOMC at the June and September meetings, followed by an extended hold at 3.00%-3.25%.



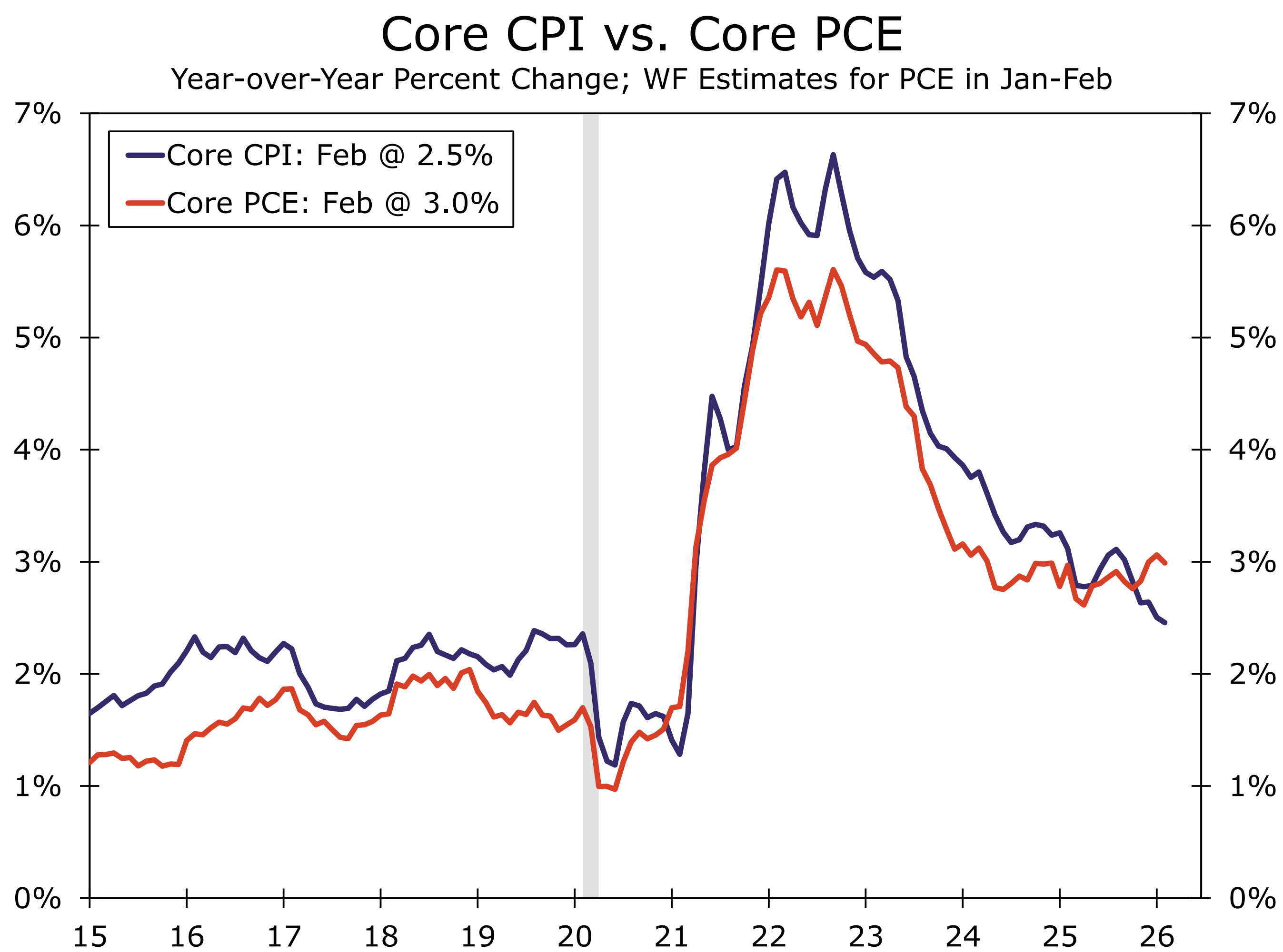
Source: U.S. Department of Labor and Wells Fargo Economics



Source: U.S. Department of Labor and Wells Fargo Economics



Source: U.S. Department of Labor and Wells Fargo Economics



Source: U.S. Department of Labor, U.S. Department of Commerce and Wells Fargo Economics

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 3/11/2026 unless otherwise stated. 3/11/2026 10:10:25 EDT.

Required Disclosures

This report is produced by the Economics Group of Wells Fargo Bank, N.A. ("WFBNA"). This report is not a product of Wells Fargo Global Research and the information contained in this report is not financial research. WFBNA distributes this report directly and through affiliates including, but not limited to, Wells Fargo Securities, LLC, Wells Fargo & Company, Wells Fargo Clearing Services, LLC, Wells Fargo Securities International Limited, Wells Fargo Securities Europe S.A., and Wells Fargo Securities Canada, Ltd. Wells Fargo Securities, LLC is registered with the Commodity Futures Trading Commission as a futures commission merchant and is a member in good standing of the National Futures Association. WFBNA is registered with the Commodity Futures Trading Commission as a swap dealer and is a member in good standing of the National Futures Association. Wells Fargo Securities, LLC and WFBNA are generally engaged in the trading of futures and derivative products, any of which may be discussed within this report. All reports published by the Economics Group are disseminated and available to all clients simultaneously through electronic publication to our public website. Clients may also receive our reports via third party vendors. We are not responsible for the redistribution of our reports by third-party aggregators. Any external website links included in this report are not maintained, controlled or operated by WFBNA. WFBNA does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of WFBNA.

This publication has been prepared for informational purposes only and is not intended as a recommendation, offer or solicitation with respect to the purchase or sale of any security or other financial product, nor does it constitute professional advice. The information in this report has been obtained or derived from sources believed by WFBNA to be reliable, but has not been independently verified by WFBNA, may not be current, and WFBNA has no obligation to provide any updates or changes. All price references and market forecasts are as of the date of the report or such earlier date as may be indicated for a particular price or forecast. The views and opinions expressed in this report are those of its named author(s) or, where no author is indicated, the Economics Group; such views and opinions are not necessarily those of WFBNA and may differ from the views and opinions of other departments or divisions of WFBNA and its affiliates. WFBNA is not providing any financial, economic, legal, accounting, or tax advice or recommendations in this report. Neither WFBNA nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this report, and any liability therefore (including in respect of direct, indirect or consequential loss or damage) is expressly disclaimed. WFBNA is a separate legal entity and distinct from affiliated banks, and is a wholly-owned subsidiary of Wells Fargo & Company.

Important Information for Non-U.S. Recipients

For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a U.K. incorporated investment firm authorized and regulated by the Financial Conduct Authority ("FCA"). For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the "Act"), the content of this report has been approved by WFSIL, an authorized person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU ("MiFID2"). The FCA rules made under the Act for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. For recipients in the EFTA, this report is distributed by WFSIL. For recipients in the EU, it is distributed by Wells Fargo Securities Europe S.A. ("WFSE"). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in MiFID2. This report is not intended for, and should not be relied upon by, retail clients.

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE

Economics

March 10, 2026

Existing Home Sales Rebound in February but Maintain Sluggish Pace

Challenging Affordability Conditions Continue to Weigh on Resales

Economic Indicator

Economist(s)

 Charlie Dougherty

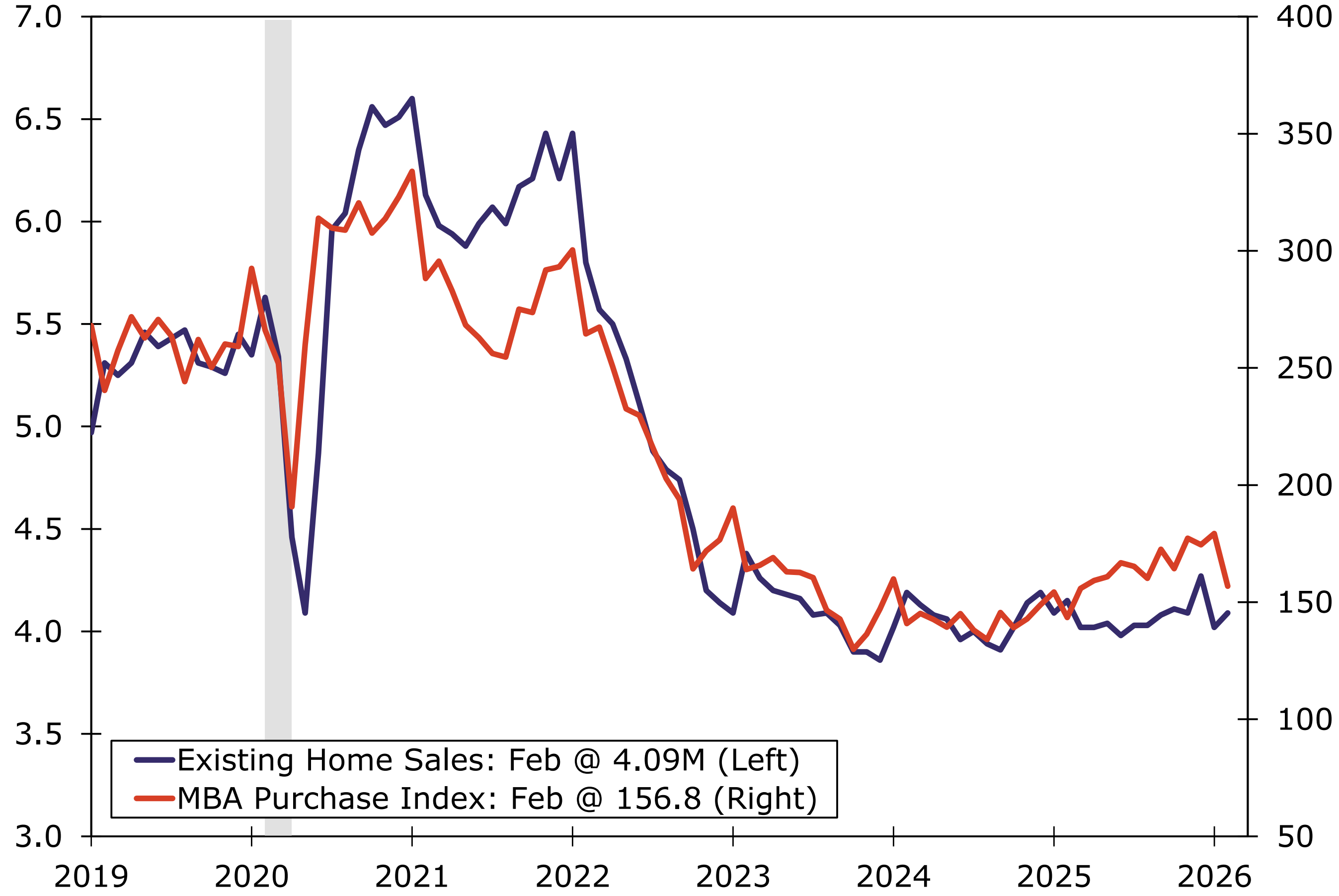
 Jackie Benson

 Ali Hajibeigi

- Existing home sales rose 1.7% to a 4.09 million unit pace in February, partially recovering from the 5.9% tumble in January. Harsh winter weather likely suppressed sales during both months, each of which remained notably below the trend at the end of 2025. A drop in mortgage applications for purchase during February suggests resales will remain muted in the months ahead.
- February’s improvement was entirely driven by a pickup in single-family resales, which rose 2.5% over the month. Condo and co-op sales, which fell 5.3% during the month, posted their second consecutive contraction.
- Affordability, though improved around the edges, remains a significant limitation. After temporarily dipping below 6.0% in late February, mortgage rates have moved back up to roughly 6.1% according to Mortgage News Daily. This move is consistent with our forecast for the 30-year average rate to hover between 6.1% and 6.2% over the next two years.
- Single-family price appreciation moderated to just 0.2% year-over-year. Yet, annual price appreciation remains stronger in the Northeast (+4.0%) and Midwest (+2.3%) than in the South (+0.2%) and West (-2.2%).
- Single-family resale inventory is gradually increasing, in-line with typical seasonal patterns. Single-family inventory registered at 1.18 million in February, up slightly during the month but still 18% below the level in February 2019. Meanwhile, months supply rose to 3.8 from 3.6 in January.
- The overall story that we outlined in our latest residential outlook remains intact. Homebuying is likely to slowly improve over the course of the year, but should continue to run at a sluggish rate on account of adverse affordability conditions.

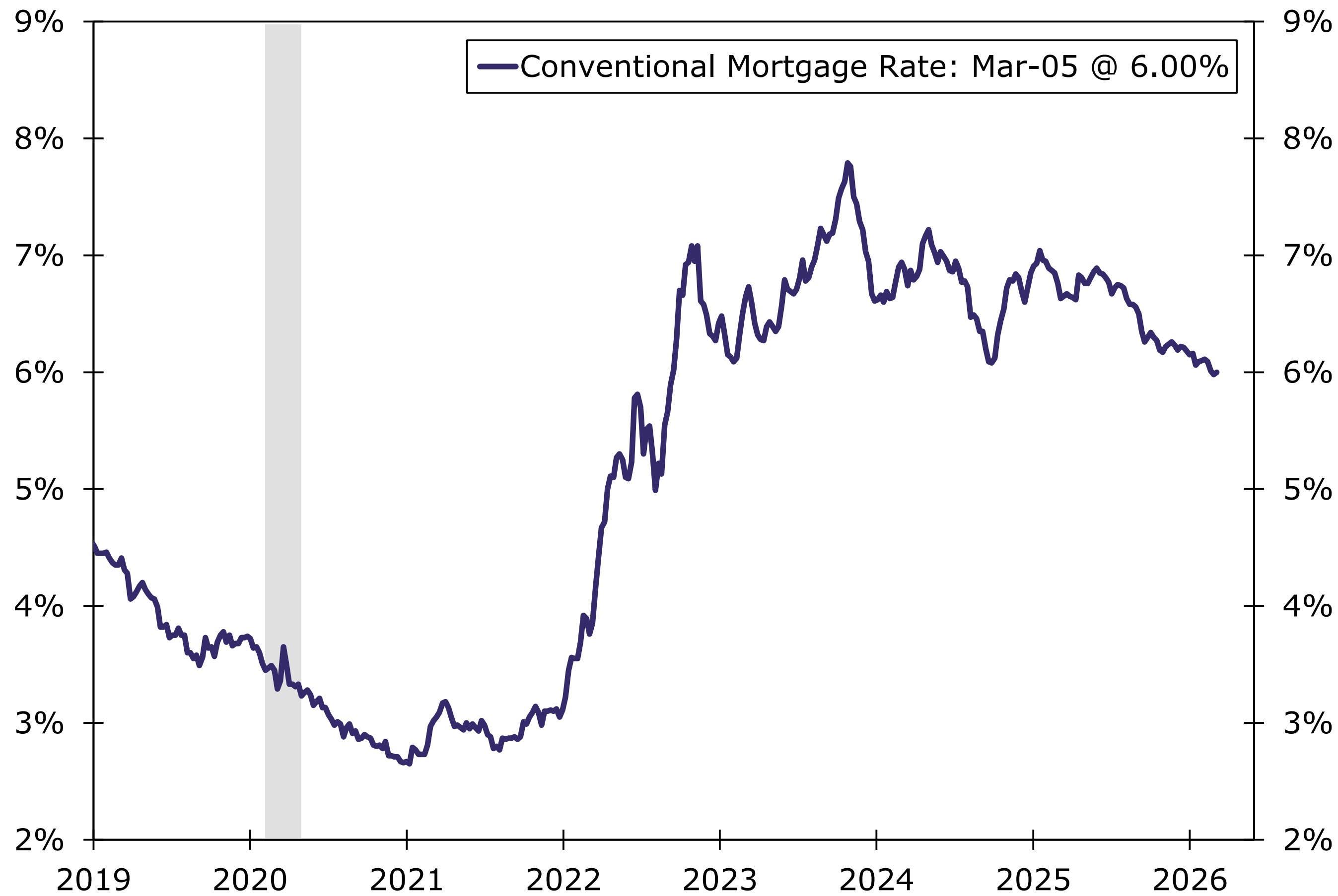
Existing Home Sales

SAAR, In Millions; Mortgage Applications for Purchase



Source: NAR, MBA and Wells Fargo Economics

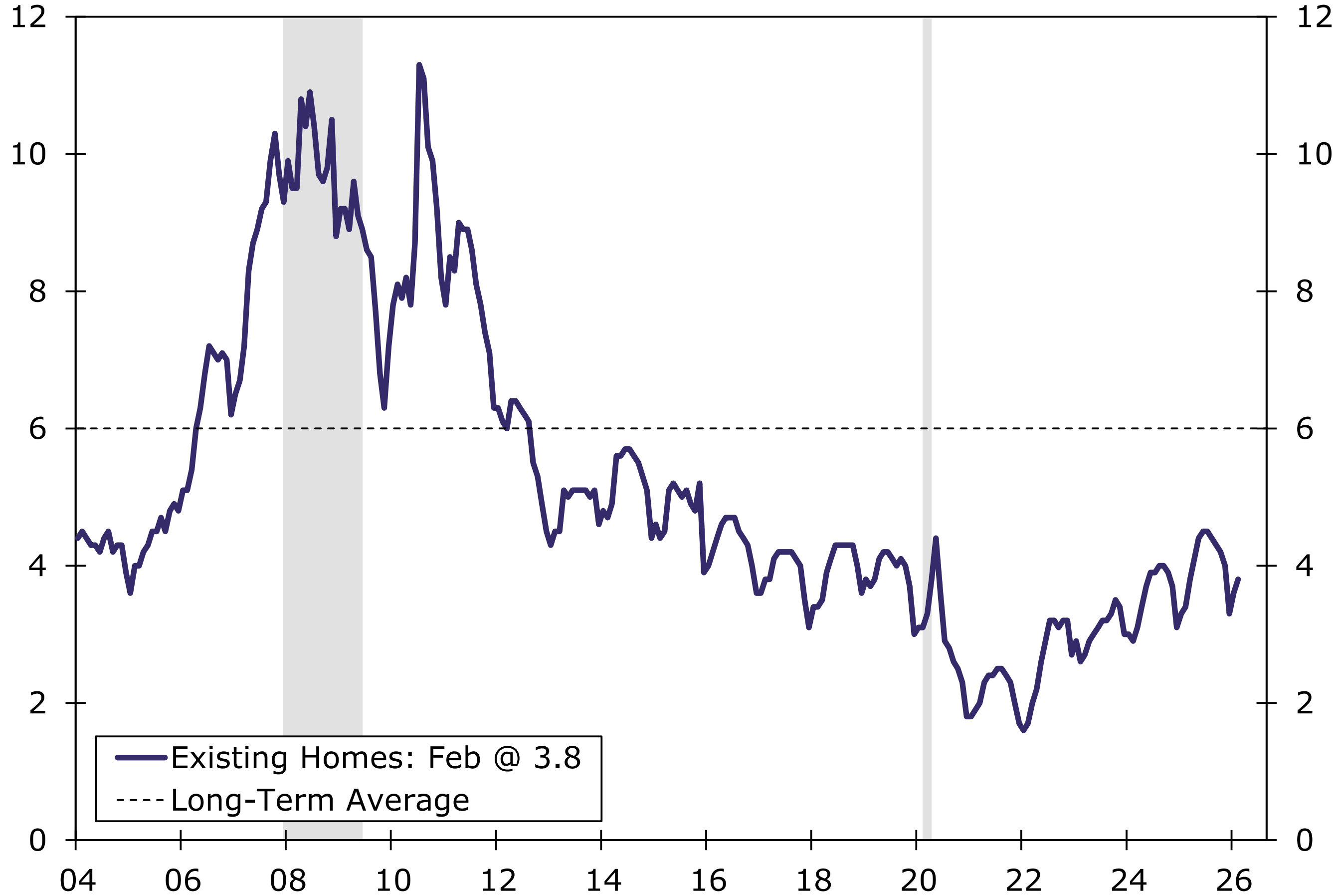
Freddie Mac 30-Year Conventional Mortgage Rate



Source: Freddie Mac and Wells Fargo Economics

Inventory of Existing Single-Family Homes

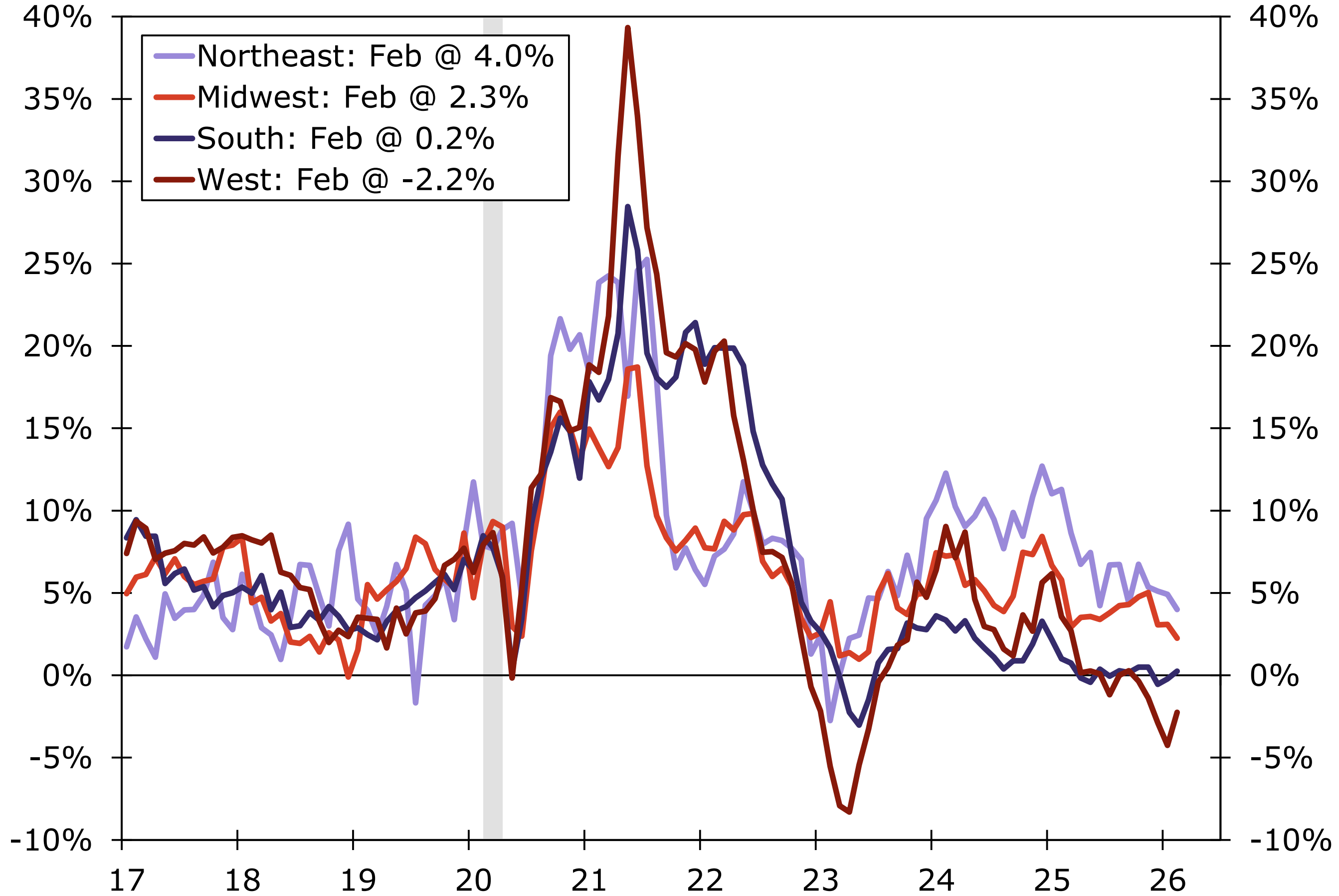
Months' Supply at Current Sales Pace



Source: NAR and Wells Fargo Economics

Regional Median Single-Family Home Price

Year-over-Year Percent Change of Median Price, NSA



Source: NAR and Wells Fargo Economics

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 3/10/2026 unless otherwise stated. 3/10/2026 11:21:43 EDT.

Required Disclosures

Economics
March 10, 2026

Small Business Optimism Adjusts Lower in February

Revenue and Sales Strength Offset by Lower CapEx and Hiring

Economic Indicator

Economist(s)


[Jackie Benson]

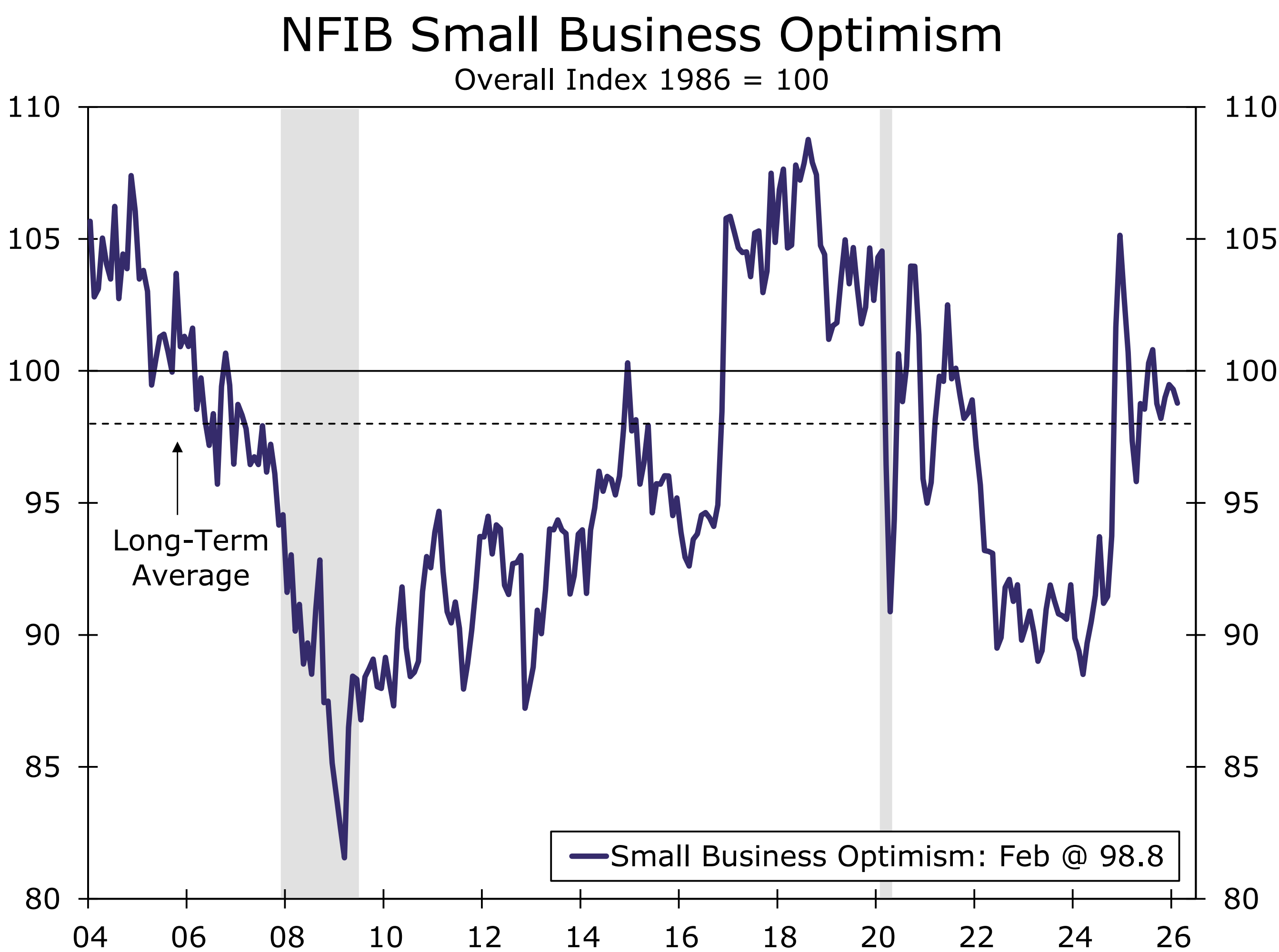

[Charlie Dougherty]


[Ali Hajibeigi]

Small Business Outlooks Remain Healthy Despite Dip in Optimism

Small business optimism fell for the second consecutive month in February as firms reevaluated their capex plans. Hiring plans also moved lower, a deterioration seemingly driven by weak worker demand as opposed to scarce worker supply. The share of firms referencing labor quality as their top problem slipped to 15% in February, marking the lowest share since April 2020.

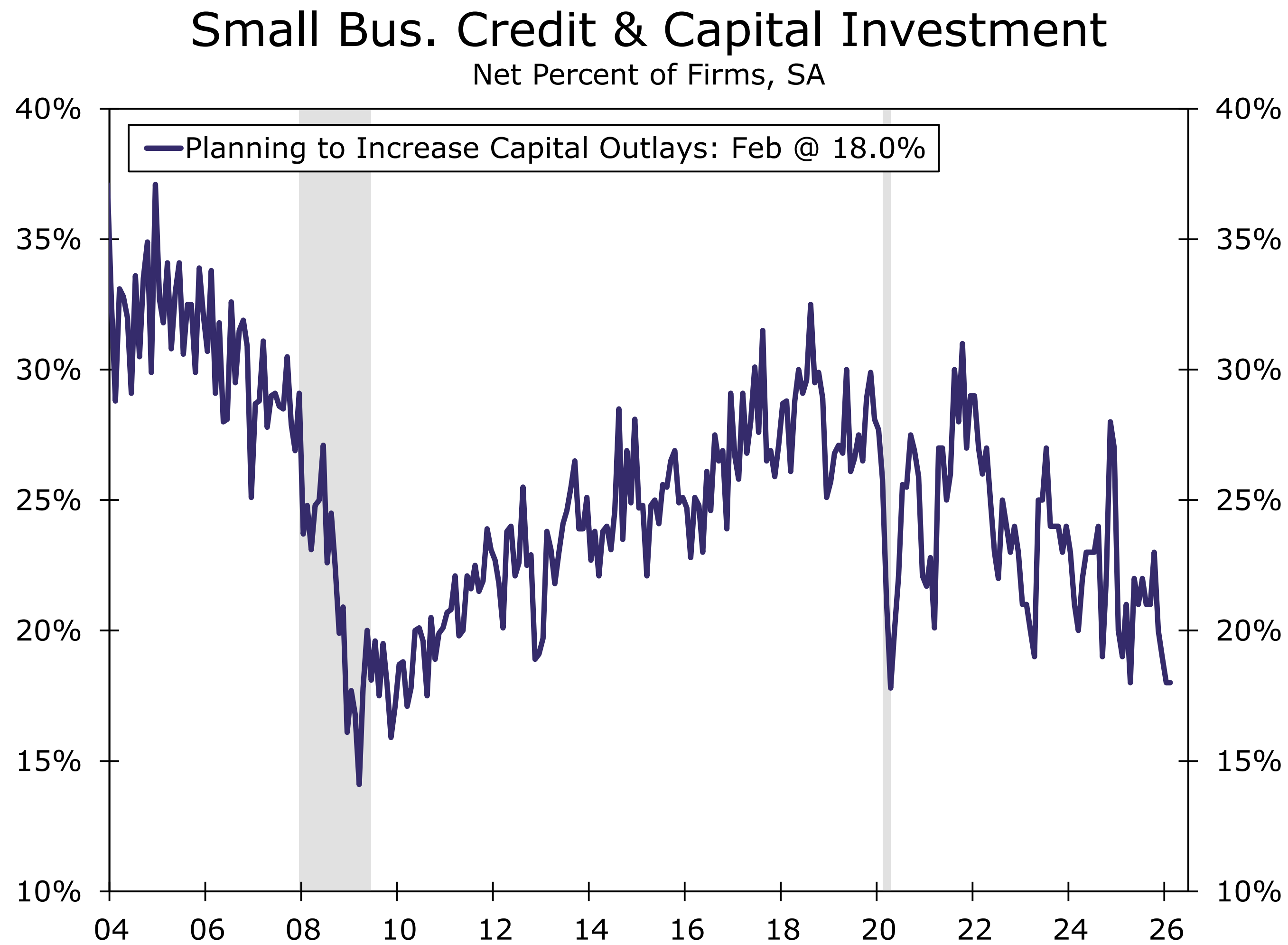
Despite evidence of ongoing labor market weakness, small firms' economic outlooks remained largely unchanged and were generally constructive. A net 15% of owners indicated that current economic conditions are favorable for business expansion and 18% expected favorable conditions over the next six months. Both of those measures are elevated over the average trend since the pandemic. Strong earnings and sales appeared to be the primary drivers, illuminating the growing gap between labor market performance and overall economic health.



Source: NFIB and Wells Fargo Economics

Capex

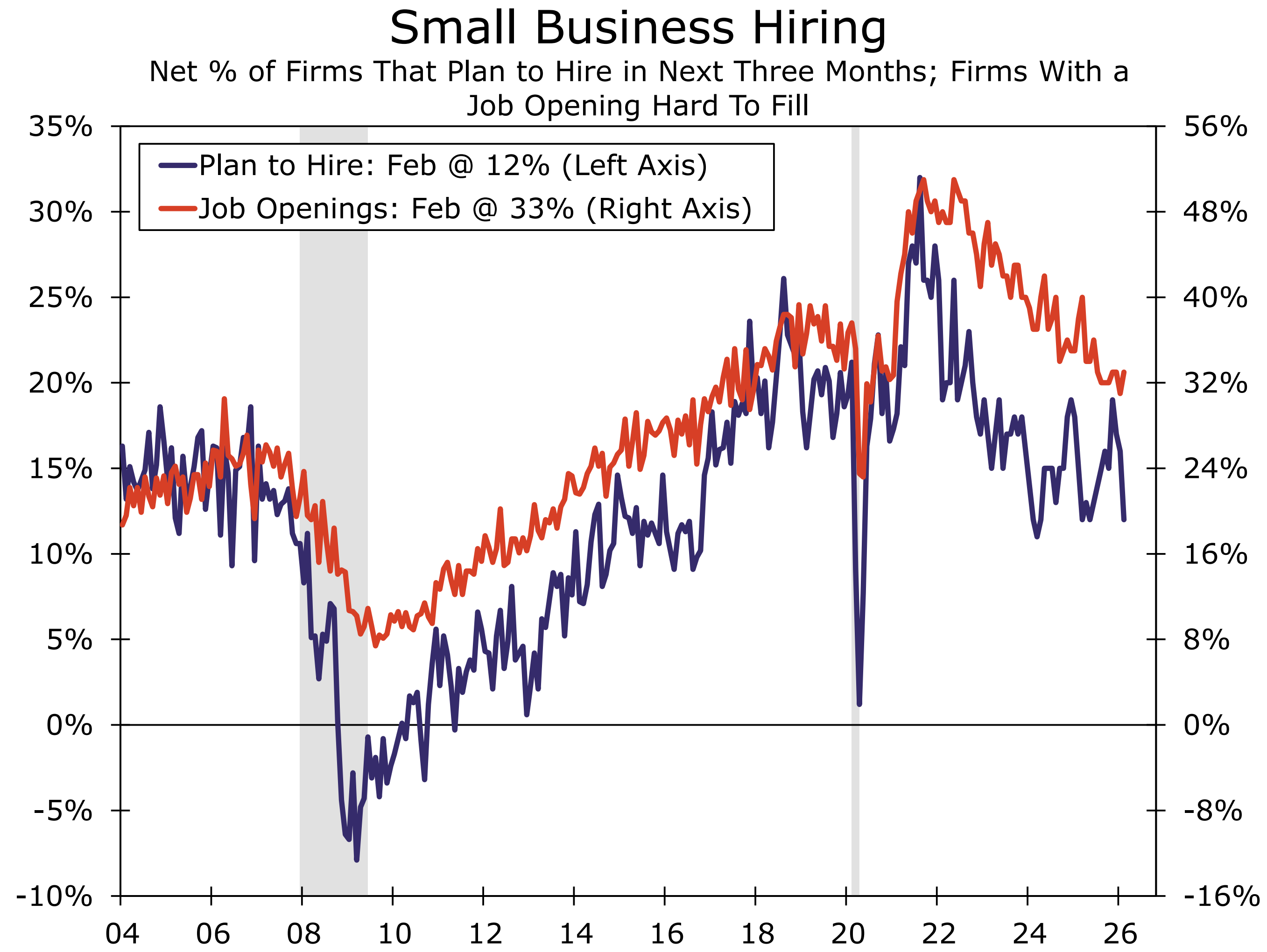
A readjustment in capital expenditures was the primary drag on small business optimism. After rising four points in January, the net share of firms making capital outlays fell back six points in February. The prevalence of future capex plans was meanwhile unchanged at 18%. Although historically weak, the sideways movement in capex plans implies a relatively more stable appetite for business investment.



Source: NFIB and Wells Fargo Economics

Labor Market

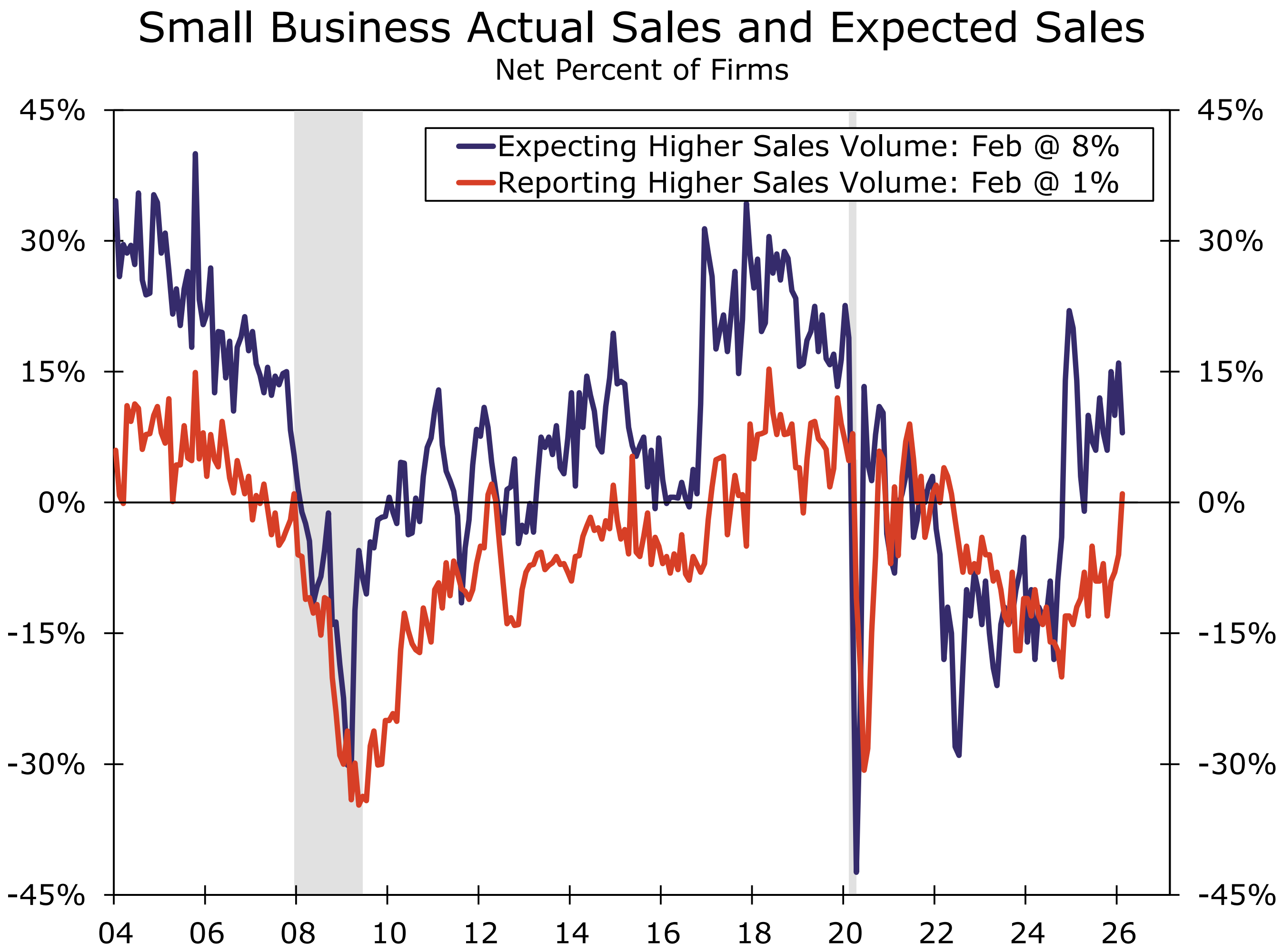
Small business hiring plans deteriorated in February, providing additional evidence that hiring is likely to remain muted over the near term. A net 12% of small firms intended to hire over the next three months, down from 16% in January and the lowest reading since May 2024. Job openings ticked up slightly to 33% but also remained historically weak.



Source: NFIB and Wells Fargo Economics

Sales

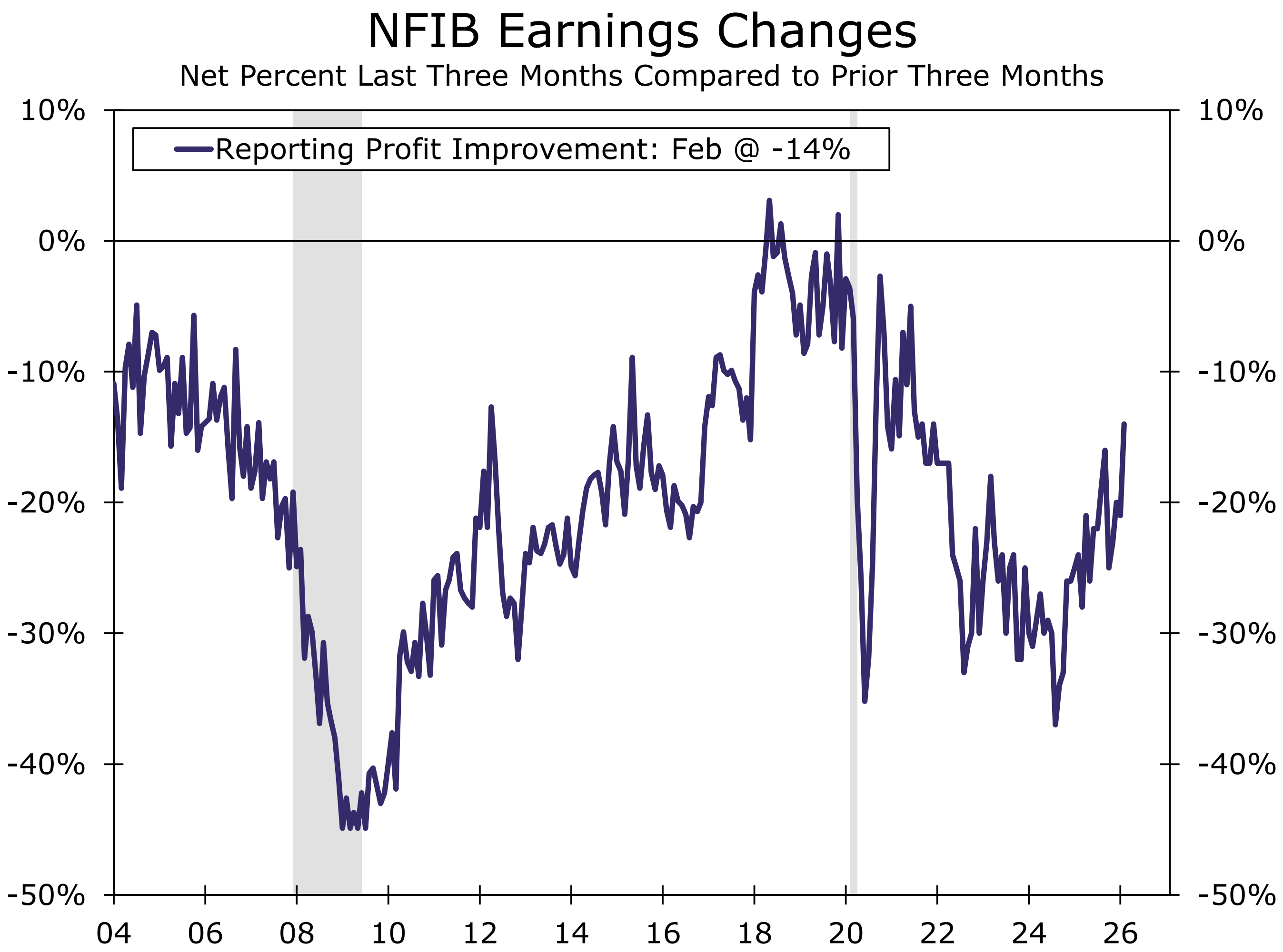
In contrast to the decline in the headline optimism index, small firms' sales broadly improved in February. The net share of firms reporting an increase in sales over the past three months moved into positive territory for the first time since May 2022. Sales expectations slipped but remained solidly positive, bringing these two series back into closer alignment.



Source: NFIB and Wells Fargo Economics

Earnings

Small business earnings also shot up in February. The net percent of firms reporting an uptick in post-tax income jumped seven points to -14%. Although still negative on net, this indicator is sitting at its highest point since December 2021.



Source: NFIB and Wells Fargo Economics

Inflation

Small business inflation appears stuck in a holding pattern. A net 24% of small firms raised prices and 28% planned to raise prices, remaining elevated over historic norms. While each declined slightly compared to January, these inflation indicators have essentially moved sideways over the past year.

Source: NFIB and Wells Fargo Economics

Economic Outlook

Economic outlooks were little changed in February, dipping slightly from the month prior but remaining far brighter than recent norms. Despite a broadly negative tone in industry comments, many of which highlighted higher costs for physical inputs, labor and healthcare, it appears that outlooks from small business owners align with our own expectations for economic expansion over the next year.

Source: NFIB and Wells Fargo Economics

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 3/10/2026 unless otherwise stated. 3/10/2026 9:50:42 EDT.

Required Disclosures

Economics
March 6, 2026

February Employment: What the Jobs Report Giveth, It Taketh Away

Economic Indicator

Economist(s)

Tom [Tom Porcelli]

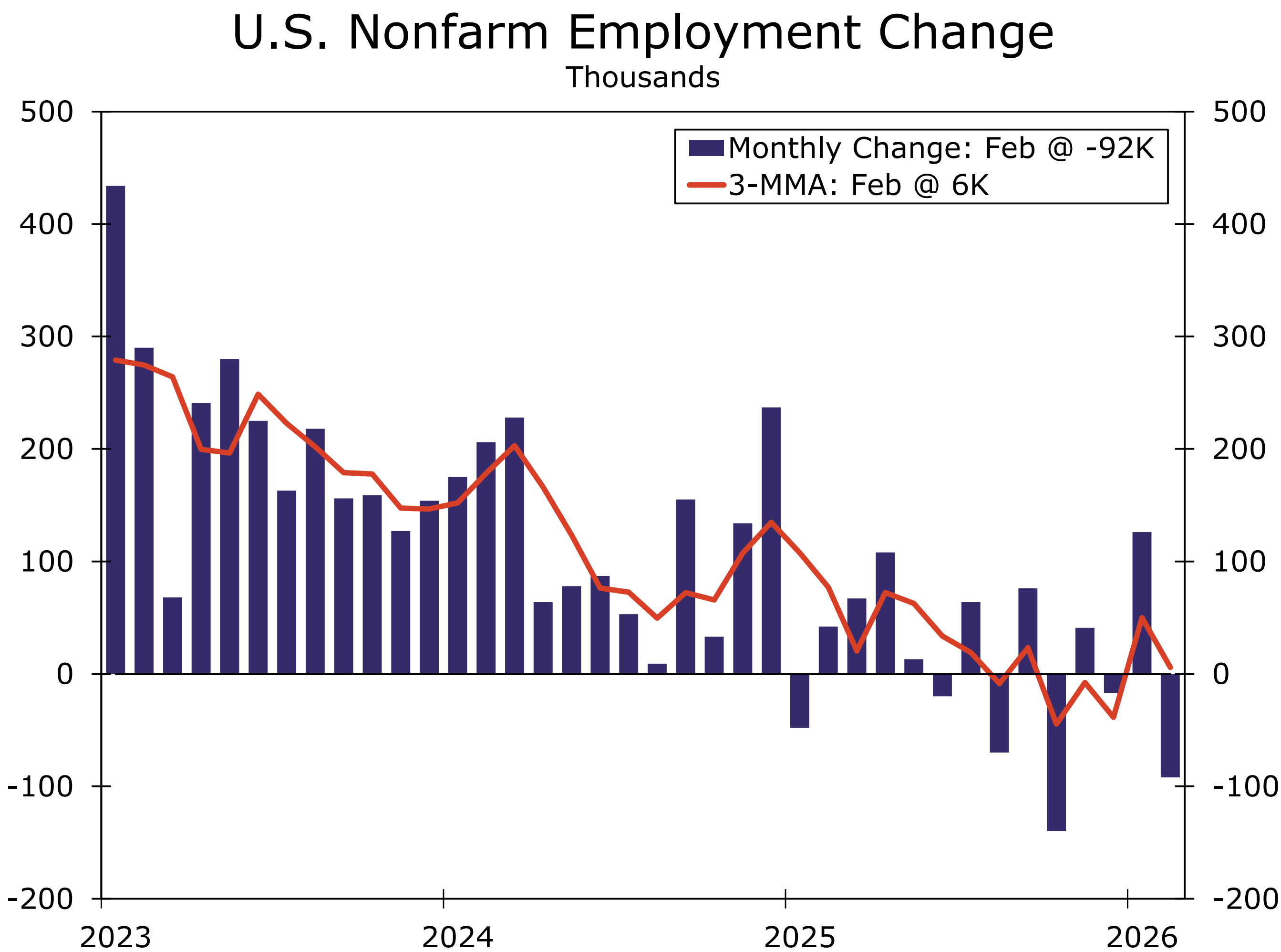
 [Sarah House]

 [Michael Pugliese]

 [Nicole Cervi]

Solid job growth in January gave way to a 92K *decline* in nonfarm payrolls in February. Private payrolls fell by a similar 86K, the largest decline in private employment since December 2020. Some of this weakness can be attributed to one-off factors, such as poor weather and strikes. But even excluding these factors, February employment growth along with downward revisions to the prior two months leaves job growth weak. The moderation cannot be attributed fully to slower supply growth as the unemployment rate climbed to a "high" 4.4% (4.44% unrounded).

Today's data will challenge what was a growing view among Fed officials that the labor market is stabilizing, and the Iran conflict further compounds the outlook. Ultimately, the Federal Reserve cannot do much to combat higher inflation from a supply-side oil price shock. Yet, the inflationary impact of the conflict in Iran makes it harder to be a dove at the moment. On balance, we expect the FOMC to remain in wait-and-see mode, and our forecast for 50 bps of rate cuts this year remains unchanged.

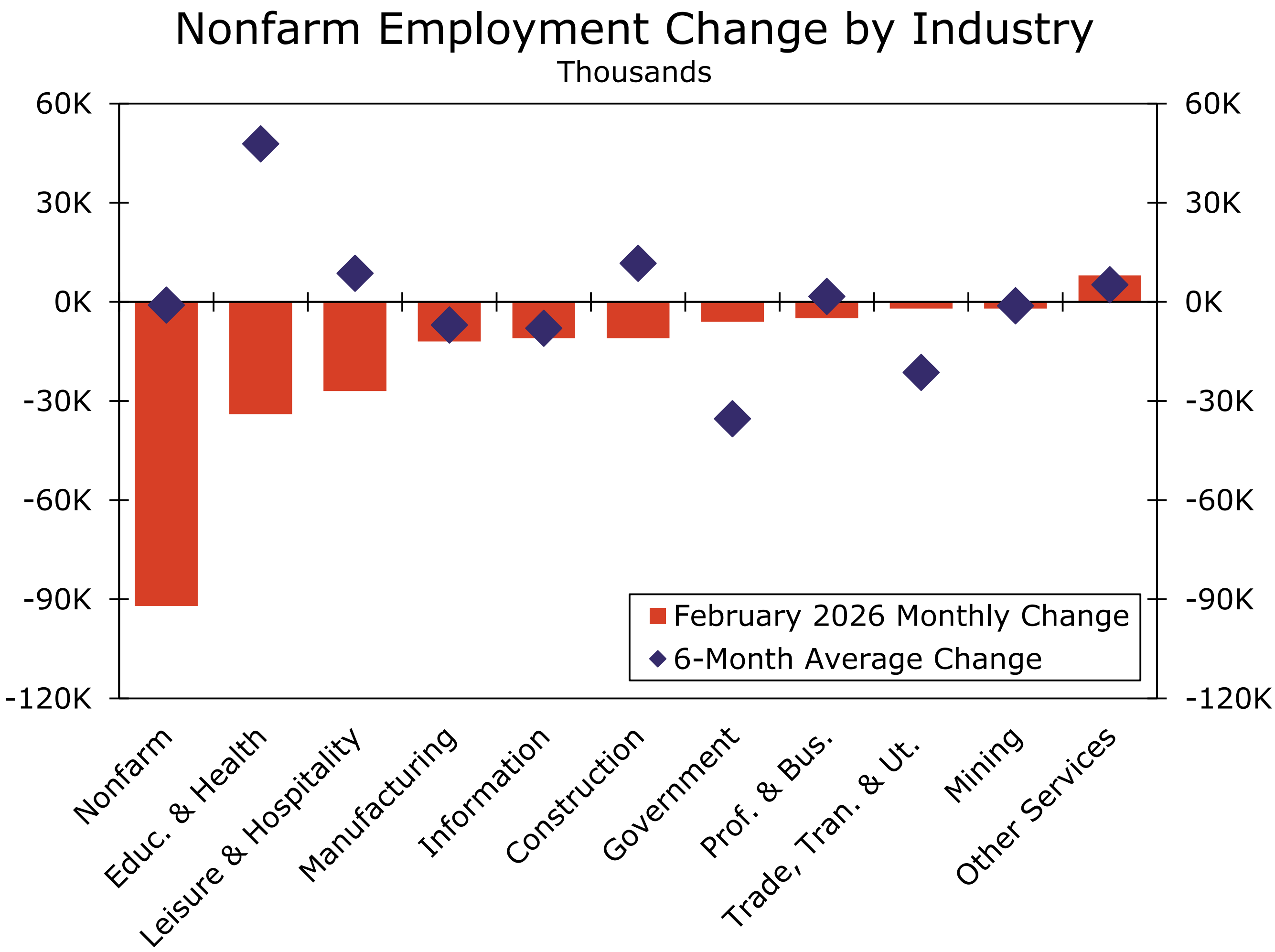


Source: U.S. Department of Labor and Wells Fargo Economics

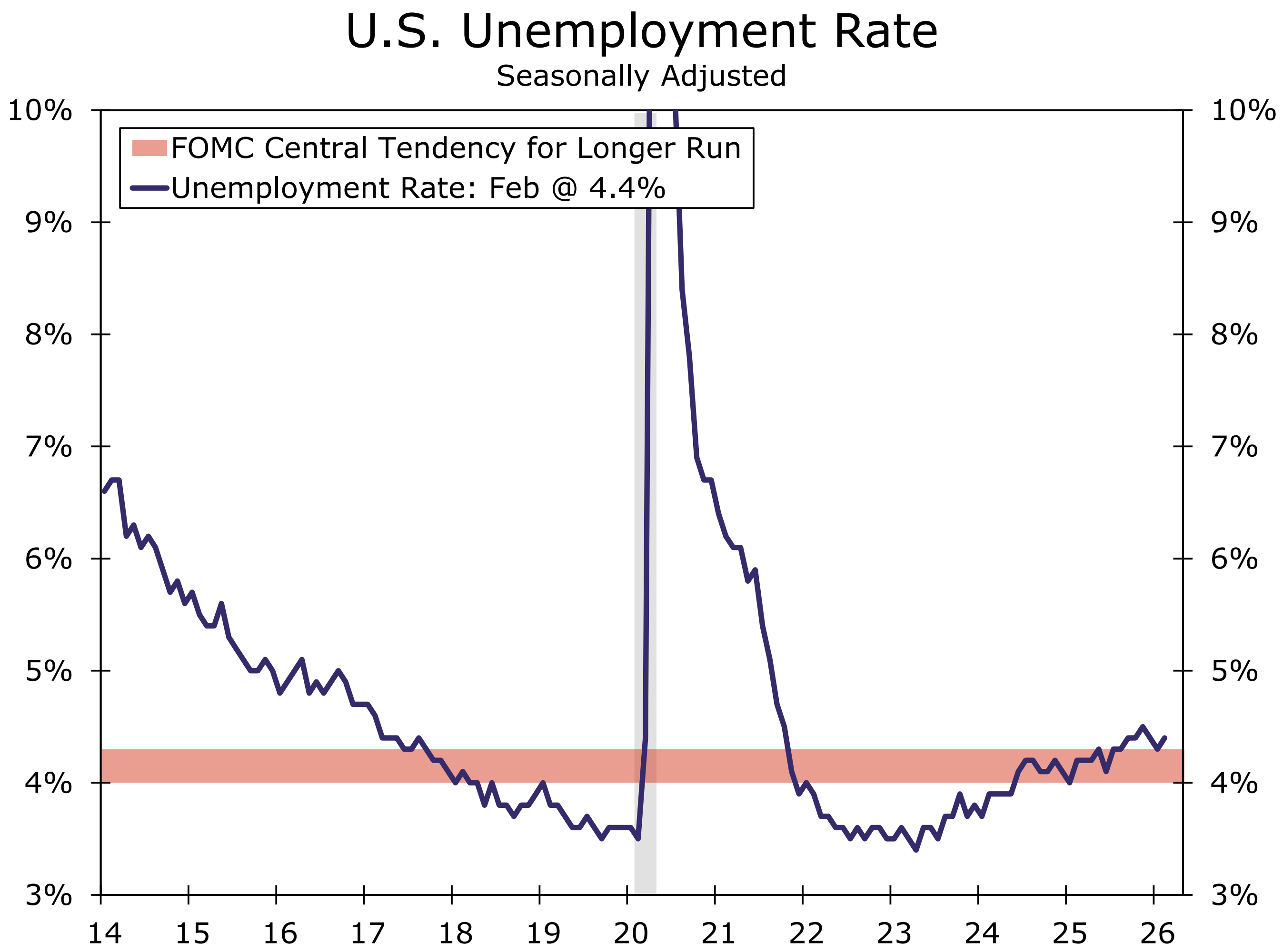
Labor Market Stumbles in February

Any notion that the jobs market was starting to stabilize was rocked by the February employment report. Nonfarm payrolls unexpectedly *fell* 92K in February. The contraction came on the heels of downward revisions to January (-4K) and December (-65K), leaving the three-month average pace of job growth at a meager 6K last month compared to 73K headed into this report.

There were some idiosyncratic factors at play. Approximately 31K nurses and other healthcare professionals were on strike in February, underpinning the 19K job decline in the healthcare & social assistance industry which has been the stalwart of overall job growth. With the strike already ended, these workers will be back on the payroll in March, leading to a commensurate lift to healthcare hiring in next month's report. Elsewhere, back-to-back harsh winter storms restrained hiring in weather-sensitive industries, such as construction and leisure & hospitality, where payrolls slipped. Federal government payrolls also continue to decline, albeit the pace of contraction is slowing.



Source: U.S. Department of Labor and Wells Fargo Economics



Source: U.S. Department of Labor and Wells Fargo Economics

Slower growth in the labor supply as immigration is curtailed and the population continues to age means the economy does not need to be adding as many jobs as it once did. With a lower run-rate for job growth, it is becoming less unusual for payrolls to veer into negative territory at times, particularly when there are temporary factors that reduce hiring.

Yet the upward drift in the unemployment rate resumed in February, indicating that the slowdown in job growth cannot be entirely attributed to weaker labor supply. Unemployment rose from 4.3% in January to 4.44% in February, barely missing a return to its cycle high of 4.5% reached in November. While the climb has been gradual, the upward trend indicates that the job market's health has continued to slowly erode.

Today's jobs report puts the Fed in a difficult position. The Fed speak in recent weeks had been gradually coalescing around the idea of labor market stabilization due to a couple good jobs reports, well-behaved jobless claims, and other generally encouraging labor market data. The February employment report injects a large dose of uncertainty into this narrative, and the Iran conflict further compounds the outlook as we wrote in a separate note this week. Ultimately, the Federal Reserve cannot do much to combat higher inflation from a supply-side oil price shock. That said, although the Iran conflict may not turn most participants into hawks, it does make it harder to be a dove. On balance, we expect the FOMC to remain in wait-and-see mode, and our forecast for 50 bps of rate cuts this year remains unchanged.

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com

Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 3/6/2026 unless otherwise stated. 3/6/2026 9:56:49 EST.

Required Disclosures

This report is produced by the Economics Group of Wells Fargo Bank, N.A. (“WFBNA”). This report is not a product of Wells Fargo Global Research and the information contained in this report is not financial research. WFBNA distributes this report directly and through affiliates including, but not limited to, Wells Fargo Securities, LLC, Wells Fargo & Company, Wells Fargo Clearing Services, LLC, Wells Fargo Securities International Limited, Wells Fargo Securities Europe S.A., and Wells Fargo Securities Canada, Ltd. Wells Fargo Securities, LLC is registered with the Commodity Futures Trading Commission as a futures commission merchant and is a member in good standing of the National Futures Association. WFBNA is registered with the Commodity Futures Trading Commission as a swap dealer and is a member in good standing of the National Futures Association. Wells Fargo Securities, LLC and WFBNA are generally engaged in the trading of futures and derivative products, any of which may be discussed within this report. All reports published by the Economics Group are disseminated and available to all clients simultaneously through electronic publication to our public website. Clients may also receive our reports via third party vendors. We are not responsible for the redistribution of our reports by third-party aggregators. Any external website links included in this report are not maintained, controlled or operated by WFBNA. WFBNA does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of WFBNA.

This publication has been prepared for informational purposes only and is not intended as a recommendation, offer or solicitation with respect to the purchase or sale of any security or other financial product, nor does it constitute professional advice. The information in this report has been obtained or derived from sources believed by WFBNA to be reliable, but has not been independently verified by WFBNA, may not be current, and WFBNA has no obligation to provide any updates or changes. All price references and market forecasts are as of the date of the report or such earlier date as may be indicated for a particular price or forecast. The views and opinions expressed in this report are those of its named author(s) or, where no author is indicated, the Economics Group; such views and opinions are not necessarily those of WFBNA and may differ from the views and opinions of other departments or divisions of WFBNA and its affiliates. WFBNA is not providing any financial, economic, legal, accounting, or tax advice or recommendations in this report. Neither WFBNA nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this report, and any liability therefore (including in respect of direct, indirect or consequential loss or damage) is expressly disclaimed. WFBNA is a separate legal entity and distinct from affiliated banks, and is a wholly-owned subsidiary of Wells Fargo & Company.

Important Information for Non-U.S. Recipients

For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a U.K. incorporated investment firm authorized and regulated by the Financial Conduct Authority (“FCA”). For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the “Act”), the content of this report has been approved by WFSIL, an authorized person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU (“MiFID2”). The FCA rules made under the Act for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. For recipients in the EFTA, this report is distributed by WFSIL. For recipients in the EU, it is distributed by Wells Fargo Securities Europe S.A. (“WFSE”). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in MiFID2. This report is not intended for, and should not be relied upon by, retail clients.

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE

Economics
March 6, 2026

Retail Sales Start Year on Decent Note, February Looks Weaker

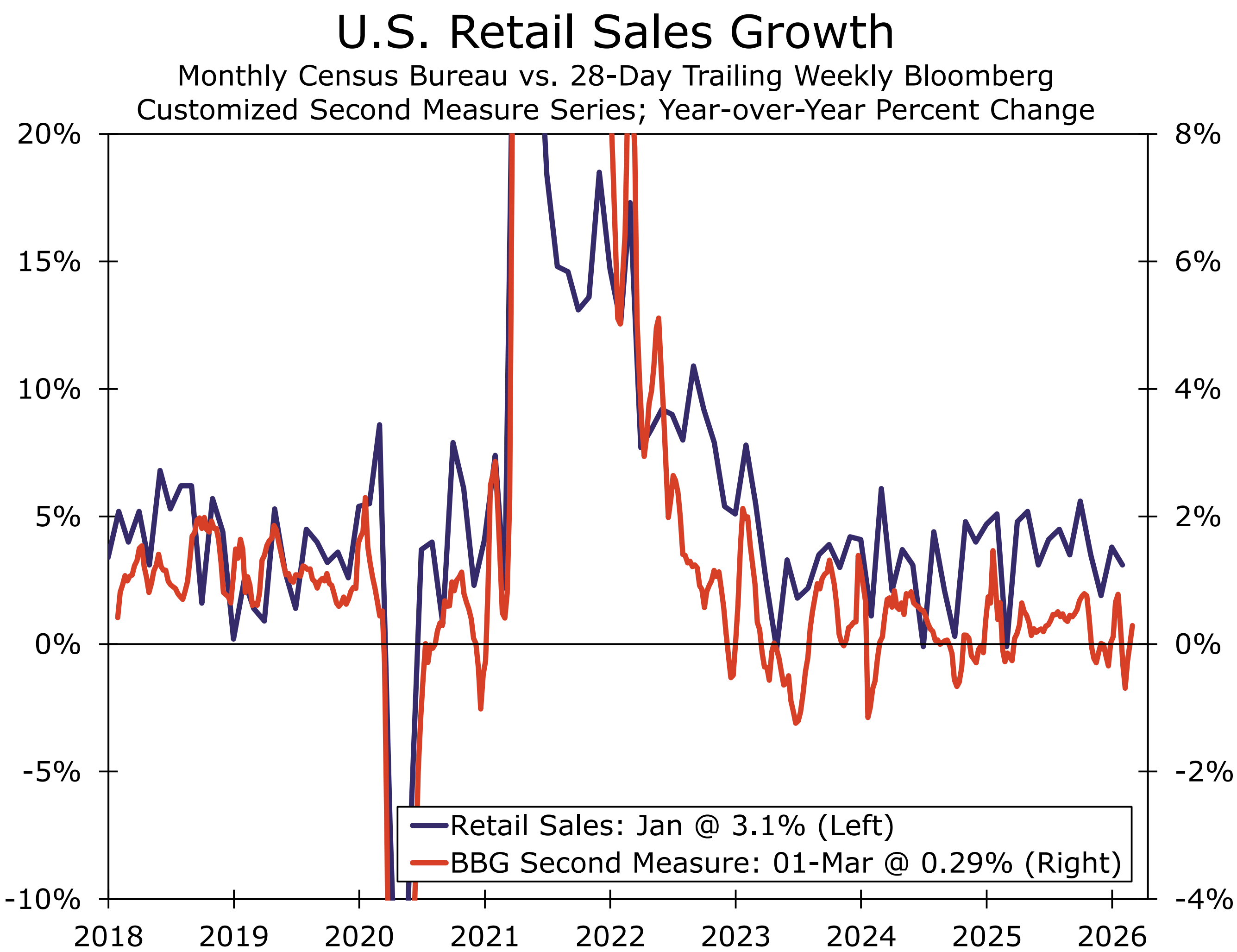
Economic Indicator

Economist(s)


Tim Quinlan


Shannon Grein

Retail sales started the year on a decent note, but early signs of February consumption suggest some more-recent weakness. The drop in headline sales was traced mostly to a decline in auto and gasoline sales, whereas control group sales rose 0.4% with upward revisions to past data. After what looks to be a weather-induced slowdown in February, we expect consumption to recover into March as higher tax refunds begin to more meaningfully lift spending. One big caveat will be how gas prices evolve in the wake of the conflict in Iran with households sensitive to the price at the pump.



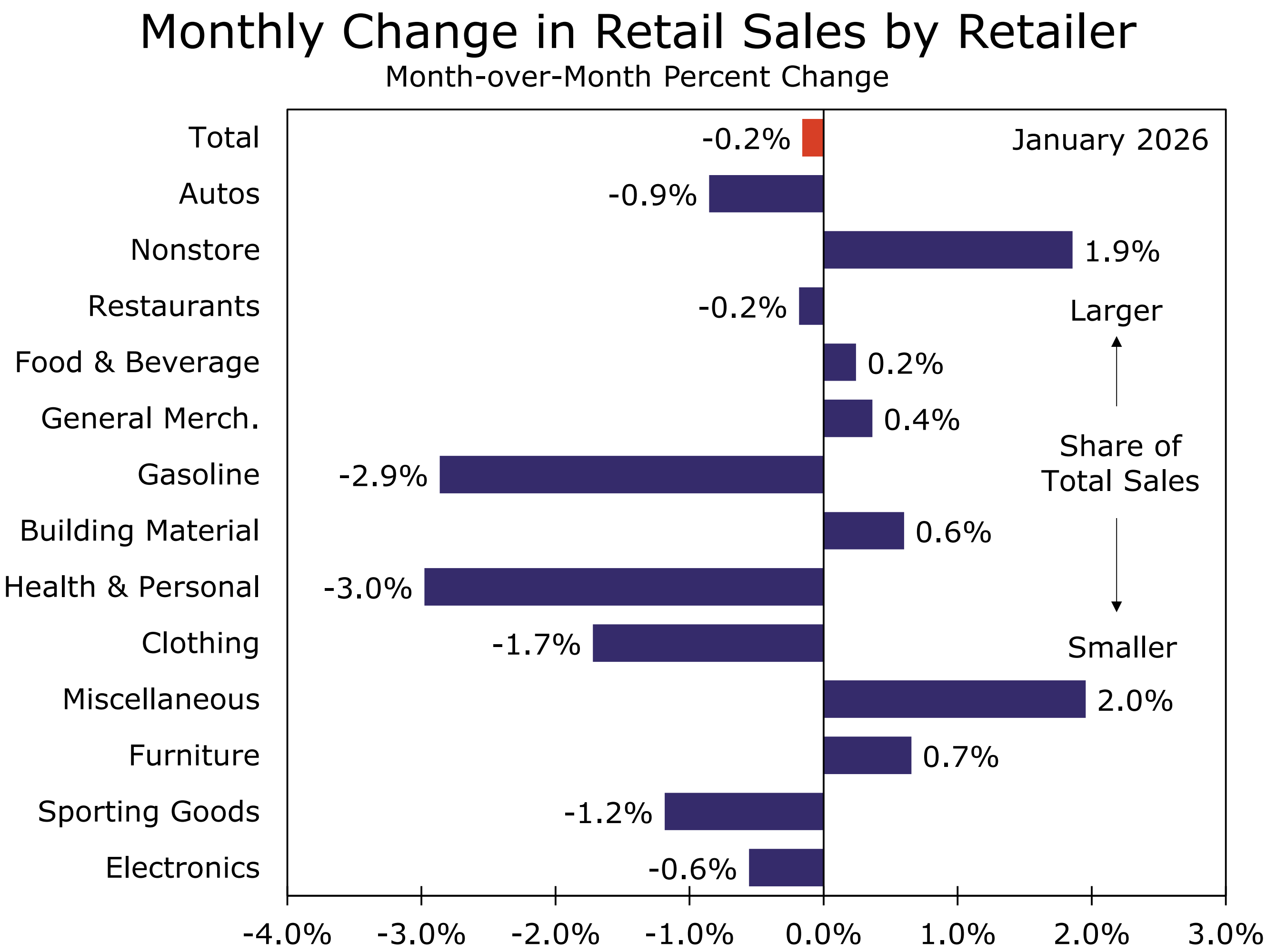
Source: U.S. Department of Commerce, Bloomberg Finance L.P. and Wells Fargo Economics

Retail Sales Sturdier than Headline Suggests

The January retail sales data came in largely as anticipated and reflect a consumer that continued to spend into the New Year. While overall retail sales slid 0.2% during the month, when you strip out some of the more volatile components the control group measure of sales rose 0.4% with some modest upward revisions to the prior months of data. This suggests goods consumption started the year on a good note given this component tracks more closely with overall goods spending, as the excluded components (autos, gas, building materials & restaurants) are included elsewhere within GDP or through other source data.

One big note of caution though is that these data are even more backward looking than usual as the government continues to catch up on data releases following the historic shutdown last Fall. Retail spending in February looks a bit weaker. High-frequency data on credit card spending from Bloomberg show a weaker average year-ago pace of spending registered in February as historic winter weather across the Northeast and other parts of the country likely dented consumption.

As far as January is concerned, most of the weakness in headline sales can be traced to sales at auto dealers and gasoline stations. Vehicle unit sales slipped to their lowest pace since late 2022 in January. Meanwhile the drop in gasoline sales reflects a decline in retail gasoline prices specifically with the average daily price at the pump down about six-cents/gallon from December.



Source: U.S. Department of Commerce and Wells Fargo Economics

This weakness was somewhat offset by a pop in sales at building material stores, which was also likely at least partially price related, as the consumer price index for tools, hardware & outdoor equipment has been strong in recent months. Restaurant sales slipped 0.2% in January, which isn't an encouraging sign for broader services spending, but isn't overly worrying either, as high-frequency credit card data suggest some stabilization in restaurant spend after a drop-off toward year-end.

That said, we're not looking for much improvement in broad retail come February. Incoming data suggest some softness in activity, including: poor weather, subdued credit card spending, and weak orders activity reported by retail purchasing managers. Leisure & hospitality employment also slipped materially during the month, though there was some stabilization in travel-related measures of data like hotel occupancy and TSA throughput.

With tax refunds running ahead of last year's averages, we should start to see more cash flow materially support spending come March. One big caveat here is how the conflict in Iran evolves and its impact on domestic retail gasoline prices. Consumers are fairly sensitive to gas prices and the average price of a gallon of gasoline is already up by twenty-five cents in the first week of March compared to the average registered in February on the national level. Higher prices will boost these nominal retail figures, but would translate to lower *real*, or inflation-adjusted consumption. More cash flow stemming from higher average refunds is a factor we expect to offset spending weakness this year, but higher prices at the pump may dent confidence or sap up some of those funds.

U.S. Retail Sales: January 2026

	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26
Retail Sales (MoM)	0.1	1.5	-0.1	-0.8	1.0	0.6	0.5	0.1	-0.2	0.5	0.0	**-0.2**
Retail Sales, Ex. Autos (MoM)	0.6	0.6	0.0	-0.1	0.9	0.4	0.6	0.1	0.2	0.4	0.0	**0.0**
Control Group Sales (MoM)	1.2	0.5	-0.2	0.3	0.9	0.5	0.7	-0.2	0.5	0.2	0.0	**0.4**
Real Retail Sales (MoM)	0.0	1.8	0.0	-0.7	0.7	0.6	0.1	-0.4	--	--	-0.2	**0.0**
Retail Sales (YoY)	3.9	5.1	5.0	3.4	4.4	4.1	5.0	4.1	3.2	3.2	2.4	**3.2**
Retail Sales, Ex. Autos (YoY)	4.3	4.2	4.1	3.7	4.0	4.0	4.8	3.8	3.7	4.1	3.3	**3.9**
Control Group Sales (YoY)	5.7	5.4	5.2	4.9	4.7	5.0	5.9	4.1	4.6	4.8	3.5	**4.9**
Real Retail Sales (YoY)	3.3	5.1	5.1	3.3	3.7	3.3	3.6	2.2	--	1.4	0.8	**2.1**

Notes: MoM = Month-over-Month Percent Change
YoY = Year-over-Year Percent Change

Source: U.S. Department of Commerce and Wells Fargo Economics

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com

Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 3/6/2026 unless otherwise stated. 3/6/2026 9:53:16 EST.

Required Disclosures

Economics

March 4, 2026

ISM Services Signals Broad Improvement in Demand Conditions

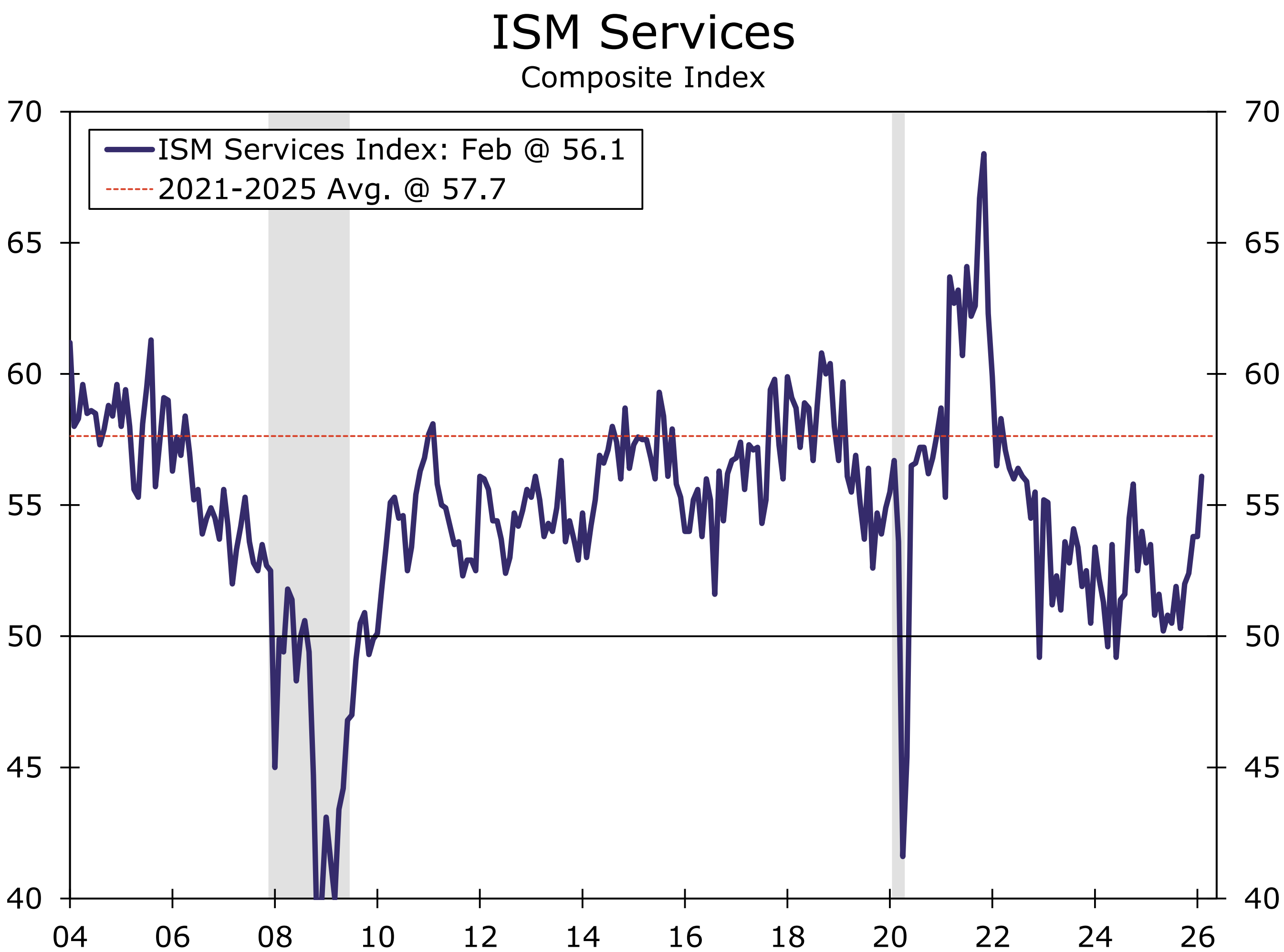
Economic Indicator

Economist(s)


Tim Quinlan


Shannon Grein

The February ISM Services Index leaped to its highest level in three and a half years amid improving demand and steady conditions. A build back in inventories and move higher in order backlogs across the sector are additional signs that demand continues to ramp back up after an uncertainty-induced softening in the middle of last year. Some service-sector firms are also adding headcount as a result of an anticipated pickup in activity, and while higher prices remain a burden for most businesses, the ISM suggests cost pressure isn't getting materially worse. The bottom line: service sector conditions are improving as businesses see their way through steep levels of uncertainty.



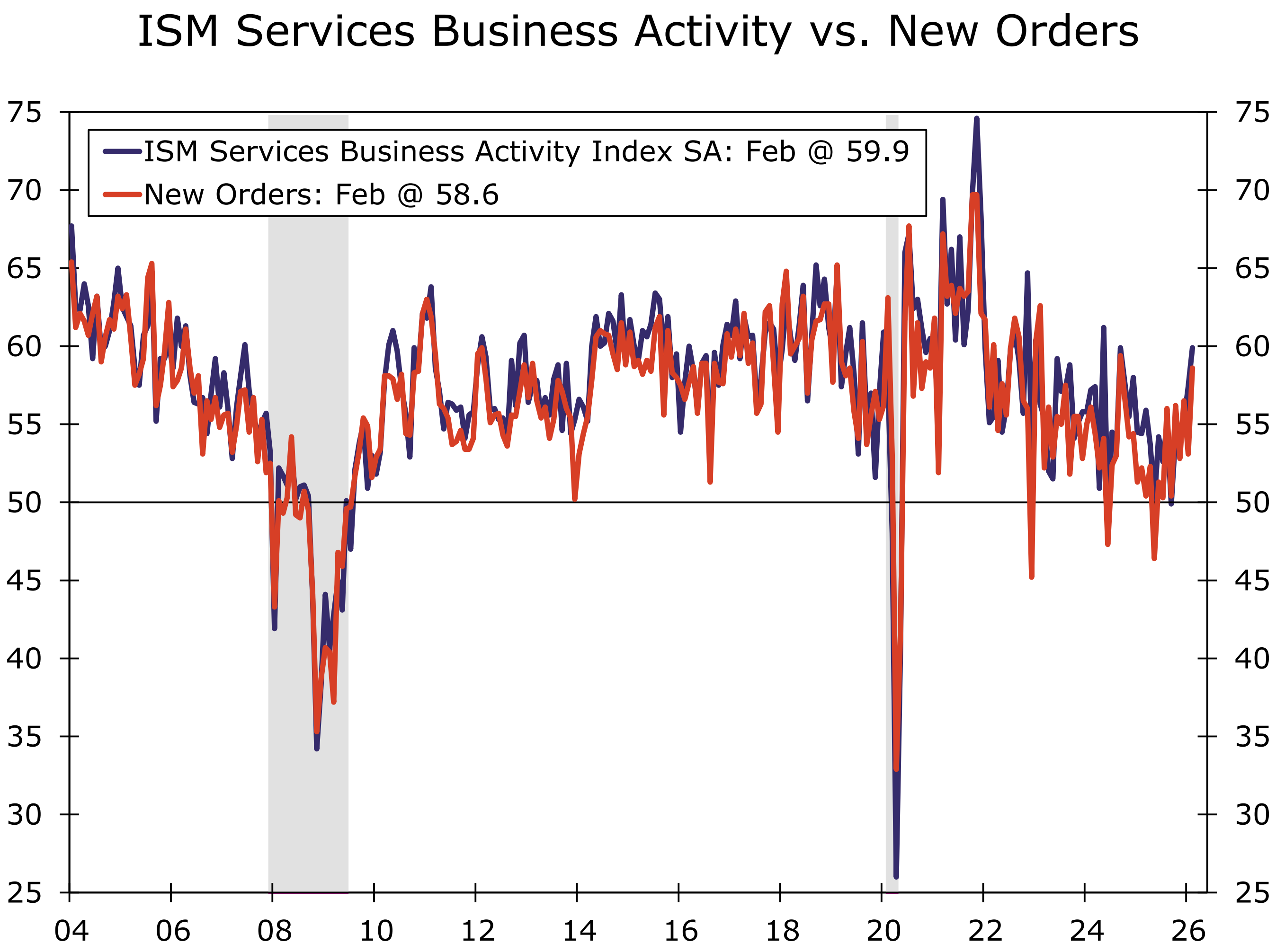
Source: Institute for Supply Management and Wells Fargo Economics

Services Sector Improvement

The ISM Services Index rose to 56.1, or the highest index reading in three and a half years in February (chart). The report was good all around—activity broadened across most industries with demand conditions improving (chart); price pressure is still high but not worsening, and some comments referred to increasing employment.

Nearly all industries reported an improvement in current conditions, with the business activity index rising to 59.9. The retail industry was the only industry that reported a drop in current activity. It also reported a decline in new orders and employment in February, signaling a cooling in retail spending after a sturdy holiday season followed by a strong January. This is consistent with what we're seeing in high-frequency weekly retail credit card data from Bloomberg as well. We're not overly concerned about the softness as it may reflect poor weather conditions, and incoming tax refunds should boost consumer spending in the next couple of months.

The new orders index rose further into expansion territory with 15 industries reporting increased demand last month. One respondent comment included in the note was fairly optimistic citing "stronger consumer demands, interest-rate stabilization, improved supply chain and stronger services activity." Other comments included continued references to tariff uncertainty, cost pressure and capacity constraints while also acknowledging solid business climate and performance. Service-sector activity continues through large levels of uncertainty.

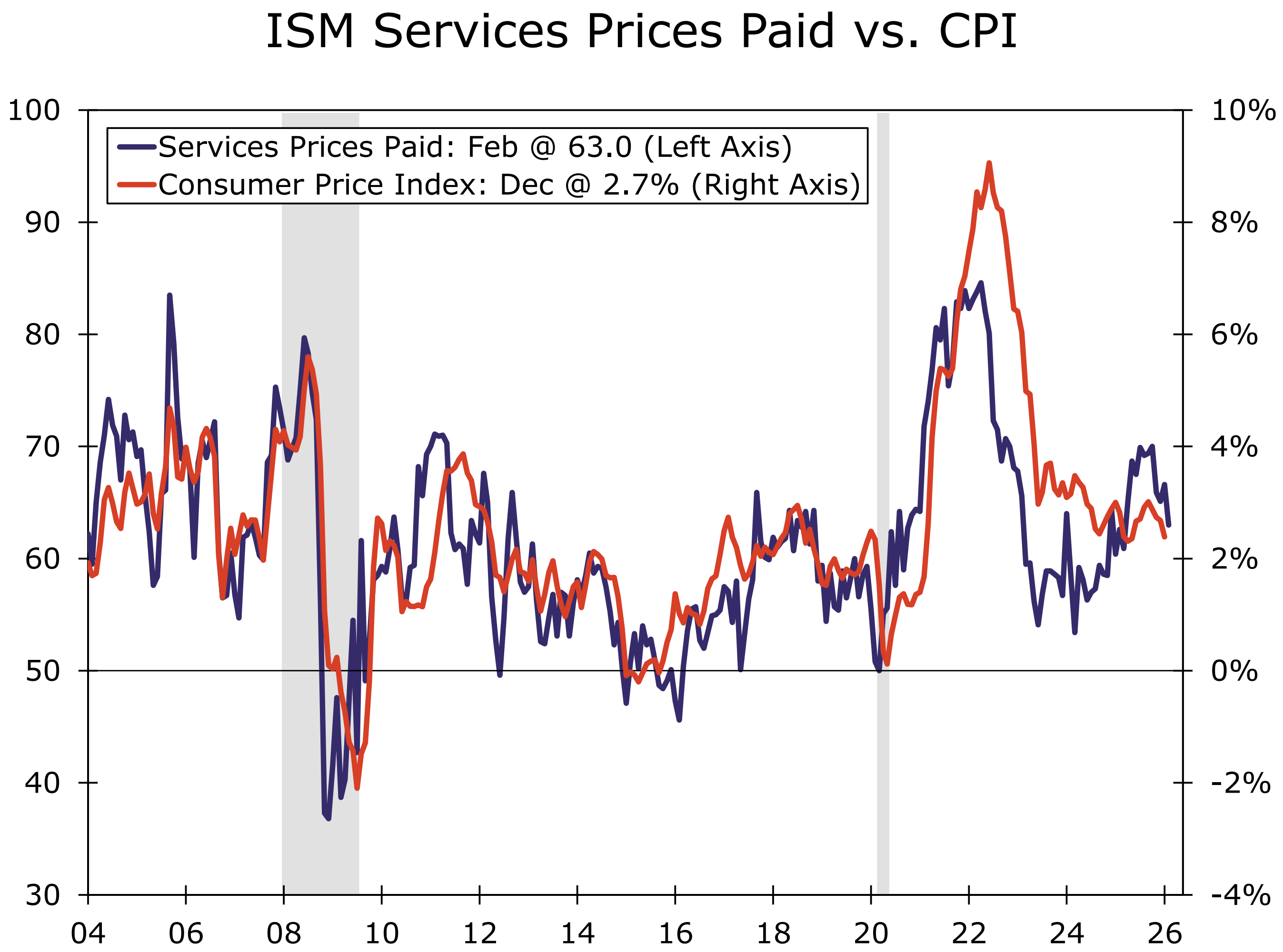


Source: Institute for Supply Management and Wells Fargo Economics

We even take the jump in the measure of inventories (+11.3) and order backlog (+11.9) as a signal of improving demand conditions after a year where most businesses operated inventory-light as a way to manage tariff uncertainty. We've heard anecdotally from some firms in the wake of the Supreme Court's ruling against IEEPA tariffs that they view these next 150 days of Section 122 tariffs as a period of reprieve, both in terms of clarity and for some in terms of tariff rates. They're importing more or bringing goods out of foreign trade zones as a result.

A larger share of respondents did, however, report feeling their inventories were *too high* in February, but a majority (76.6%) continue to say inventory levels are about right compared to operations. While price pressure still remains elevated throughout the services industry, the drop in the February prices paid index to 63.0 leaves it at its lowest in about a year. Sixteen industries reported an increase in costs, with no industry reporting a drop, but it is the direction of travel here that is most encouraging for broader consumer inflation (chart). While price pressure isn't easing, it doesn't appear to be getting much worse.

The labor backdrop also improved marginally with the index rising to 51.8. Hiring conditions still appear mixed across industries, but one respondent comment included pointing to an expected improvement in activity boosting hiring. When the full February employment report is released Friday, we anticipate the economy added around 45K net new jobs, a more moderate pace than what has been registered over the past three months.



Source: Institute for Supply Management, U.S. Department of Labor and Wells Fargo Economics

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 3/4/2026 unless otherwise stated. 3/4/2026 11:32:40 EST.

Required Disclosures

Economics
March 2, 2026

ISM Manufacturing Activity Holds Up as Uncertainty Rises

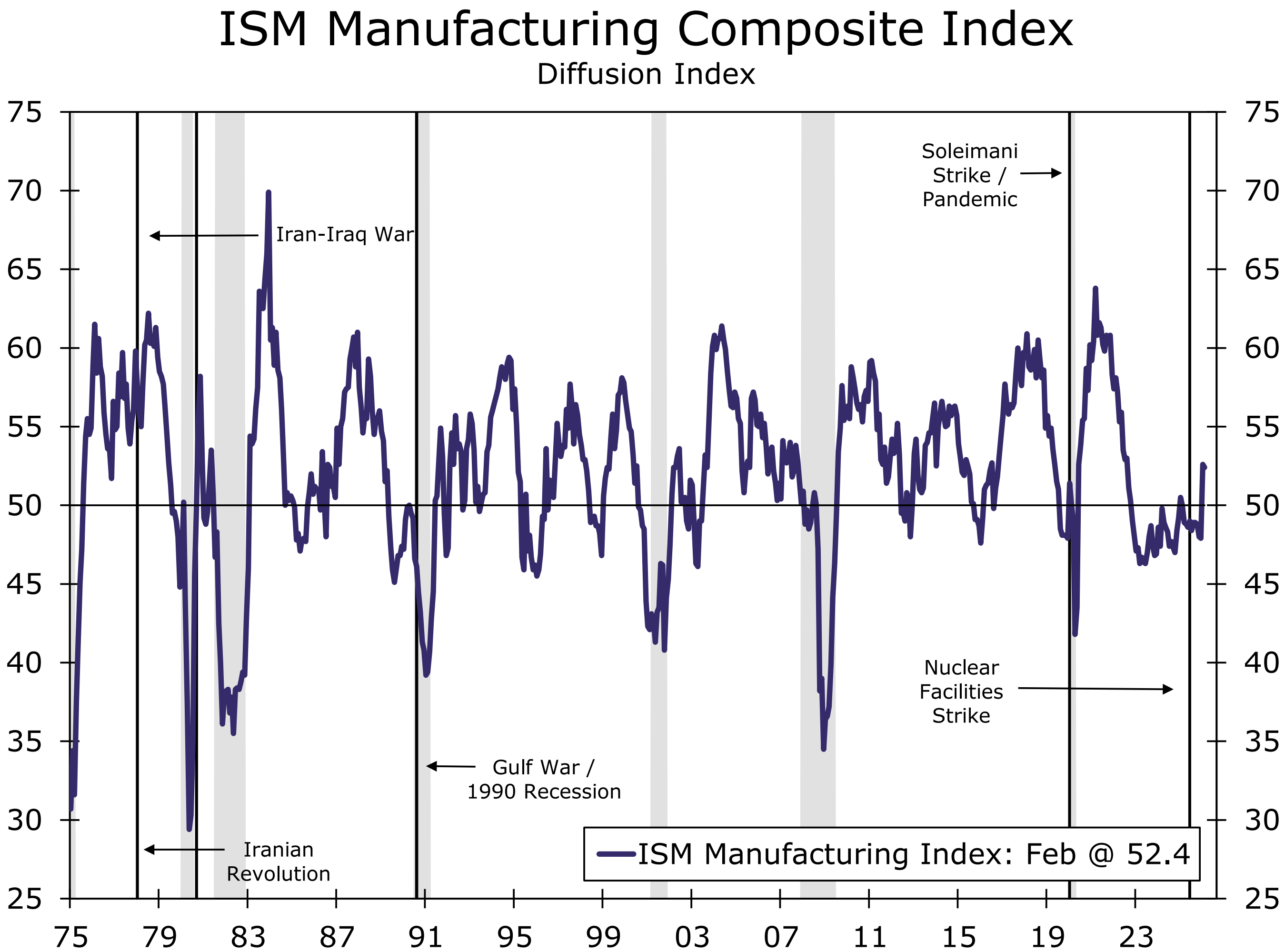
Economic Indicator

Economist(s)


Shannon Grein


Tim Quinlan

The market is primarily concerned with developments in the Middle East this morning. The latest ISM data for February edged down just 0.2 points to 52.4 but remained in expansion, supported by strength in new orders, production, and supplier deliveries, while employment and inventories—though still in contraction—improved enough to pose less of a drag on the headline.



Source: Institute for Supply Management and Wells Fargo Economics

Geopolitical Implications

Historically, spikes in geopolitical uncertainty or U.S. military activity tend to coincide with a near-term softening in business sentiment as firms delay orders, hiring, or investment decisions amid heightened uncertainty. That said, the effect is typically modest and short-lived, unless accompanied by sustained increases in energy prices, material supply disruptions, or tighter financial conditions.

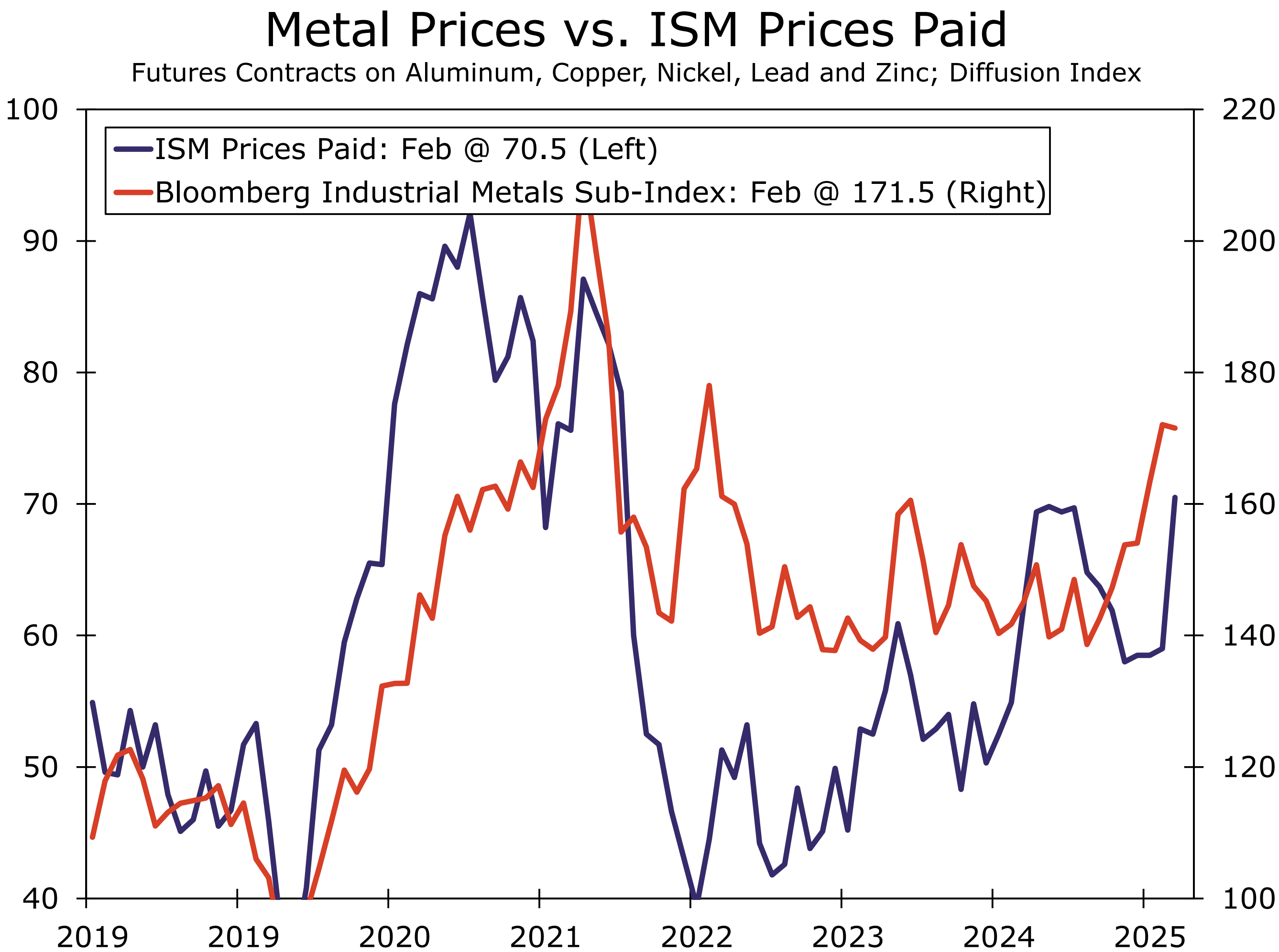
In prior episodes, the ISM has generally stabilized once uncertainty fades and firms gain clarity, suggesting that sentiment effects alone rarely translate into a durable downturn in manufacturing activity. As seen in the chart above, manufacturing activity is influenced much more by cyclical trends than Iranian-related geopolitical conflicts.

What's With the Spike in Prices Paid?

The Iran disruption comes just as manufacturing was beginning to stabilize. Today's second consecutive reading above 50 is consistent with a broadening in activity that we have been highlighting for a few months, but the recovery remains fragile.

The eye-catcher in today's report was the near-12 point jump in prices paid with a jump in the share of respondents reporting higher prices (~45%). The release noted, "The Prices Index reading continues to be driven by increases in steel and aluminum prices that impact the entire value chain, as well as tariffs applied to many imported goods." At 70.5 in February, the level is just above the peaks registered early last year amid the roll-out of tariffs, but remains lower than levels reached in 2021-22. The consumer inflation signal from this move is also muted when you consider that metal prices are a big source of input cost pressure for manufacturers (chart), but most households aren't buying lots of metals directly.

Recall too that the prices component does *not* feed into the headline ISM. The February ISM manufacturing index registered only a slight drop (just a 0.2 percentage point decline from January). Notably, the ISM index itself has just posted back-to-back expansionary readings for only the second time since 2022. This signals stabilization even if some of the main components remain stuck in contraction.

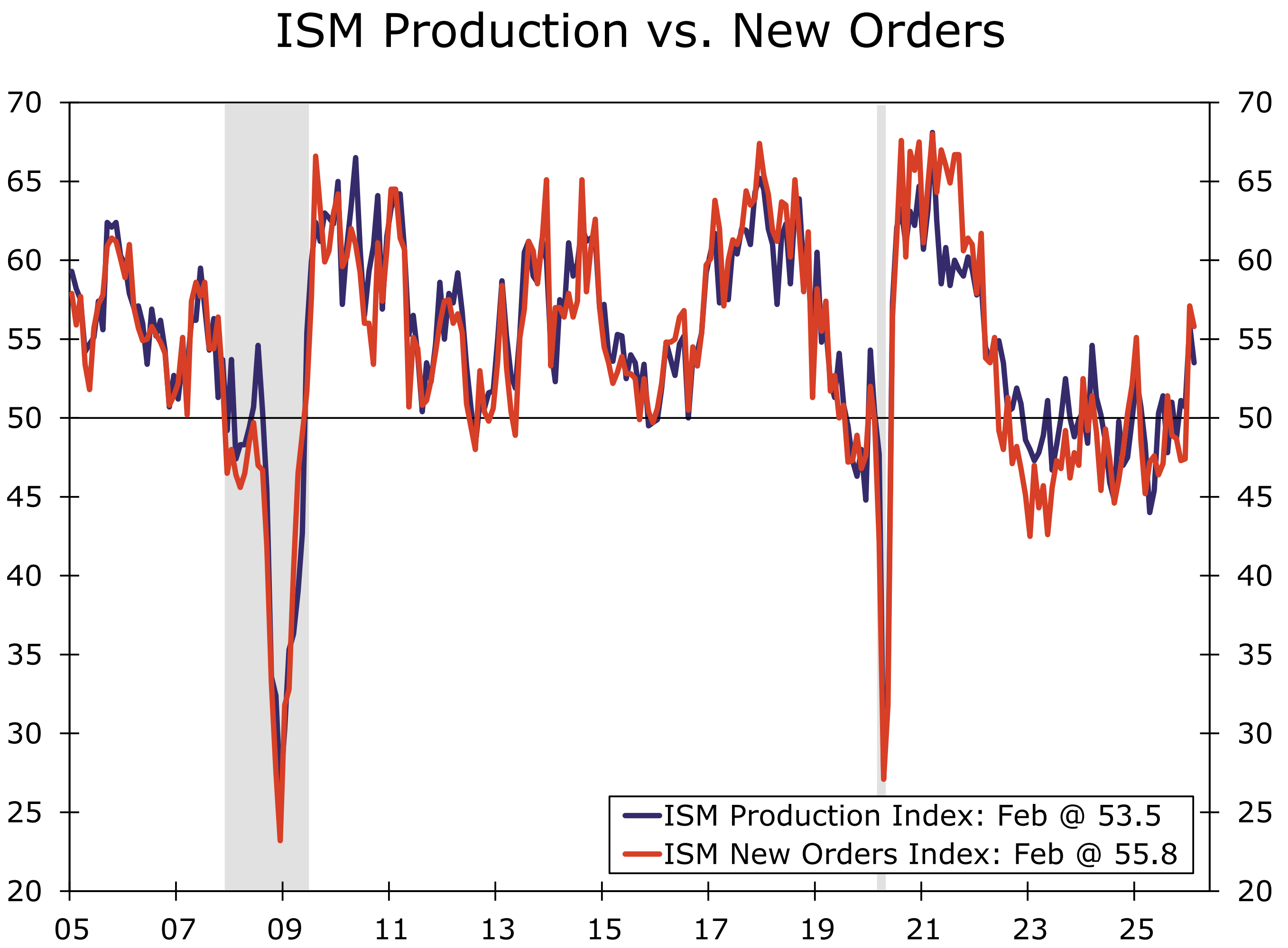


Source: Institute for Supply Management, Bloomberg Finance L.P. and Wells Fargo Economics

Of the components that do feed into the headline, three are firmly in expansion territory, led by new orders at 55.8, then followed by supplier deliveries at 55.1 and production 53.5. New orders and production both came down a bit from January (chart) and supplier deliveries rose. Take that with a grain of salt as this measure counts the wait-times and can be a bit of a head-fake during periods of supply chain disruption or trade policy uncertainty.

Employment and inventories are both still in contraction territory, but both notched modest gains from January and on that basis are less of a drag on the headline reading. Employment is now at 48.8 (up from 48.1 in January) and inventories is also at 48.8 (up from 47.6).

The employment component ultimately still indicates manufacturers remain cautious on hiring. Most respondents continue to report the same labor conditions month to month, and the report noted "The main head-count management strategies continue to be holding off on filing open positions," emphasizing the no-hire, no-fire jobs market today. When the full February employment report is released Friday, we anticipate the economy added around 45K net new jobs, a more moderate pace than what has been registered over the past three months.



Source: Institute for Supply Management and Wells Fargo Economics

A final thought related to the recent geopolitical pressure. A theme within capex in recent years has been how the tech sector has commanded a larger share of investment. Computer and electronic products facilities in particular have seen a steep rise in orders and activity, helping offset weakness in more traditional areas of capex. Much attention has appropriately been given to the Strait of Hormuz in the wake of this weekend's conflict, but it is useful to keep in mind that while this shipping lane is vital for global energy markets, it is less consequential when it comes to the flow of trade in technology. The Straight of Malacca is the primary passage for global electronics, advanced chips, critical minerals and other inputs predominantly sourced from Asia. For U.S. manufacturers, tech shipments from Asia cross the Pacific either directly to West Coast ports or routed through the Panama Canal to the East Cost. The negative effects to supply chains for high-tech capex should be limited.

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 3/2/2026 unless otherwise stated. 3/2/2026 11:26:46 EST.

Required Disclosures

Economics
February 27, 2026

Construction Spending Ends 2025 with Signs of Stabilization

Residential Gain Offsets a Nonresidential Decline

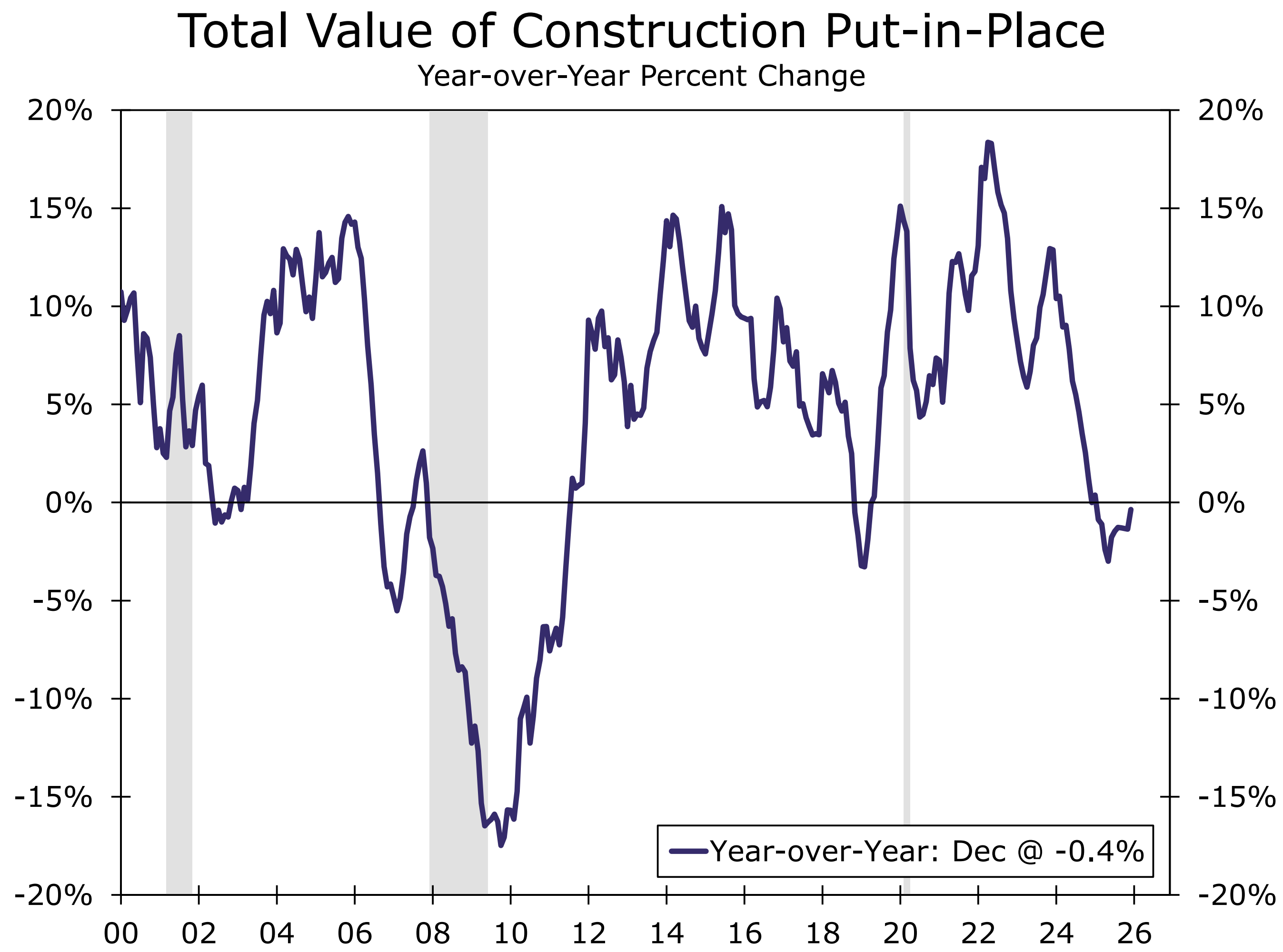
Economic Indicator

Economist(s)

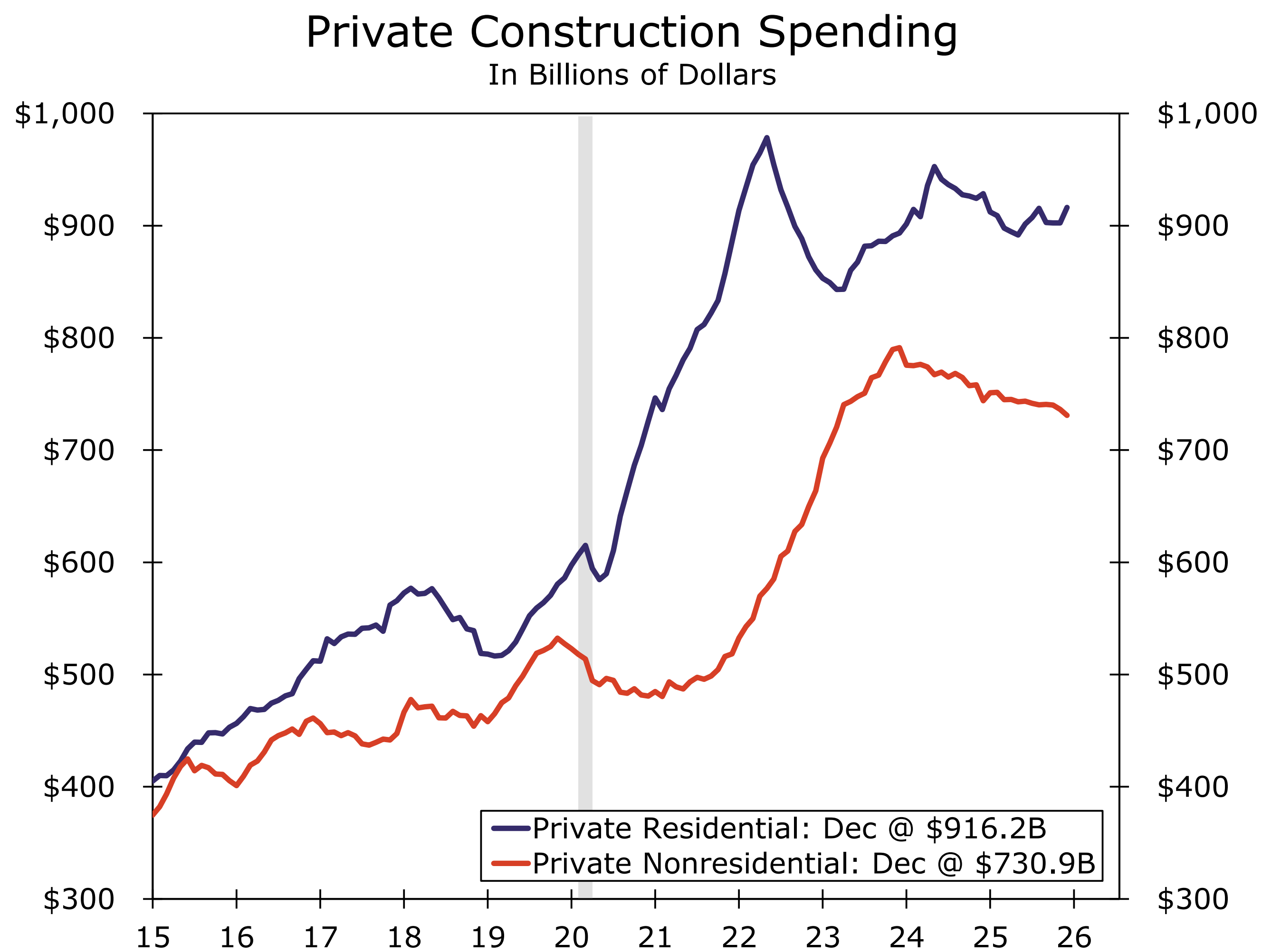

Charlie Dougherty


Ali Hajibeigi

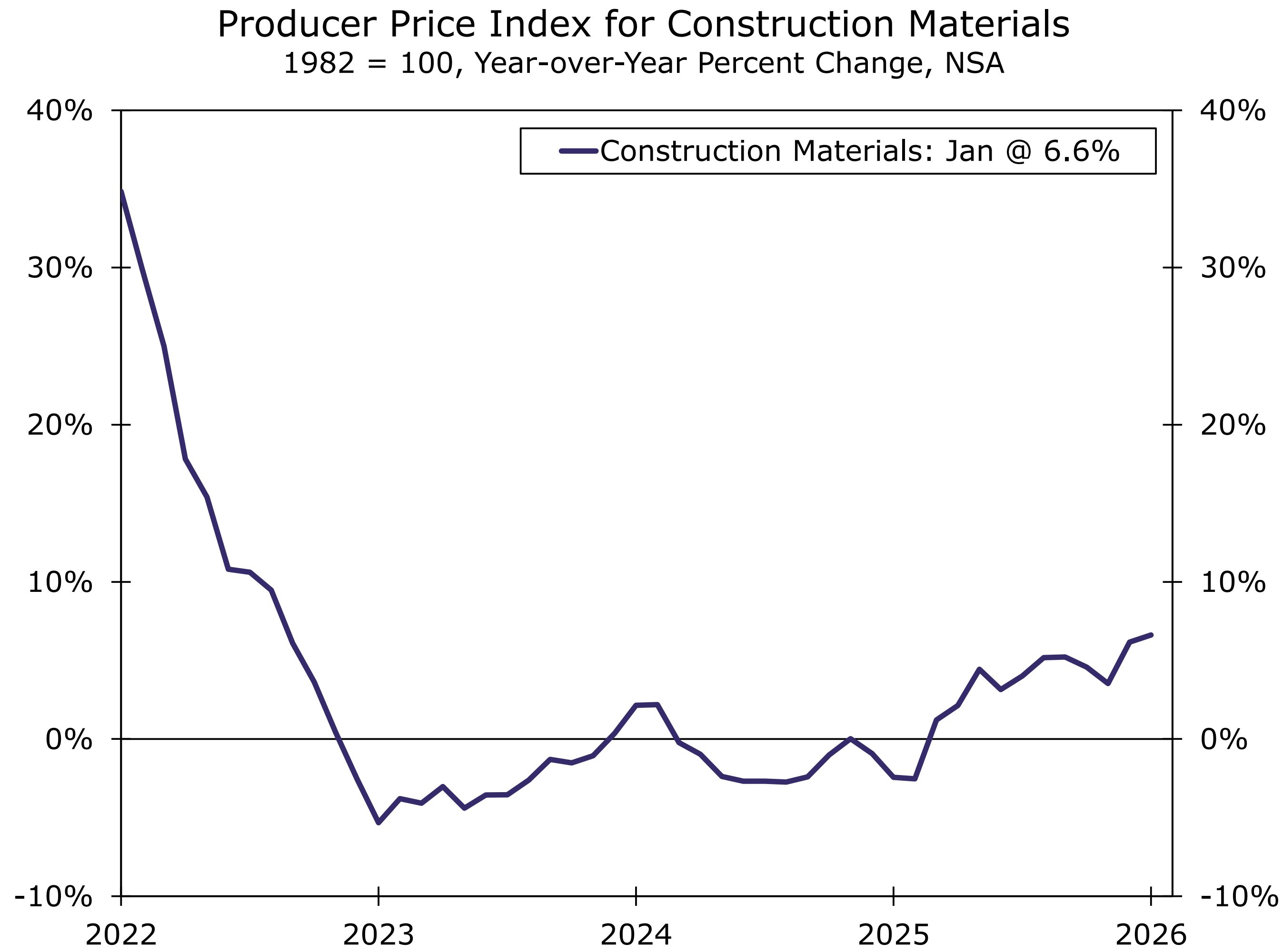
- Total construction spending fell 0.2% in November and then rose 0.3% during December. On balance, residential outlays picked up in the last two months of the year, while nonresidential declined. At year-end, overall spending was down just 0.4% on a year-ago basis, an improvement from the sharper annual declines registered for much of 2025.
- Residential's modest turnaround at the end of the year was broad-based. Single-family, multifamily and home improvement outlays each notched improvement, consistent with recent indicators (housing permits and building material retail sales) showing similar stabilization.
- Private nonresidential dropped over the course of November and December, though some segments outperformed. Select "mega-project" categories such as data center, power and communication each trended up. Meanwhile, lodging, commercial, healthcare and manufacturing were drags on overall spend.
- Public outlays also dipped as sectoral declines in transportation, educational, water supply and sewage & waste disposal project outlays offset growth in highway & street and power construction.
- All told, the small gain in total construction spending at the end of 2025 is a welcome sign that lower interest rates are slowly supporting a broadening of new activity beyond data centers and other mega-projects. That said, construction spending is reported in nominal terms, and so it is challenging to distinguish between gains in real activity and the effects of rising construction costs.
- To that end, the Producer Price Index (separately released this morning) revealed that building cost inflation continues to glide higher. The construction material index was up 6.6% on a year-to-year basis in January, the strongest annual print since 2022.
- Meanwhile, the Architecture Billings Index (ABI) fell back in January. The ABI leads nonresidential spending by 9-12 months and has been stuck in contraction territory (below 50) since 2024. This is consistent with our expectation for structures investment to remain a drag on overall real GDP growth this year as new activity remains constrained by a high-cost environment, soft real estate fundamentals and economic uncertainty.



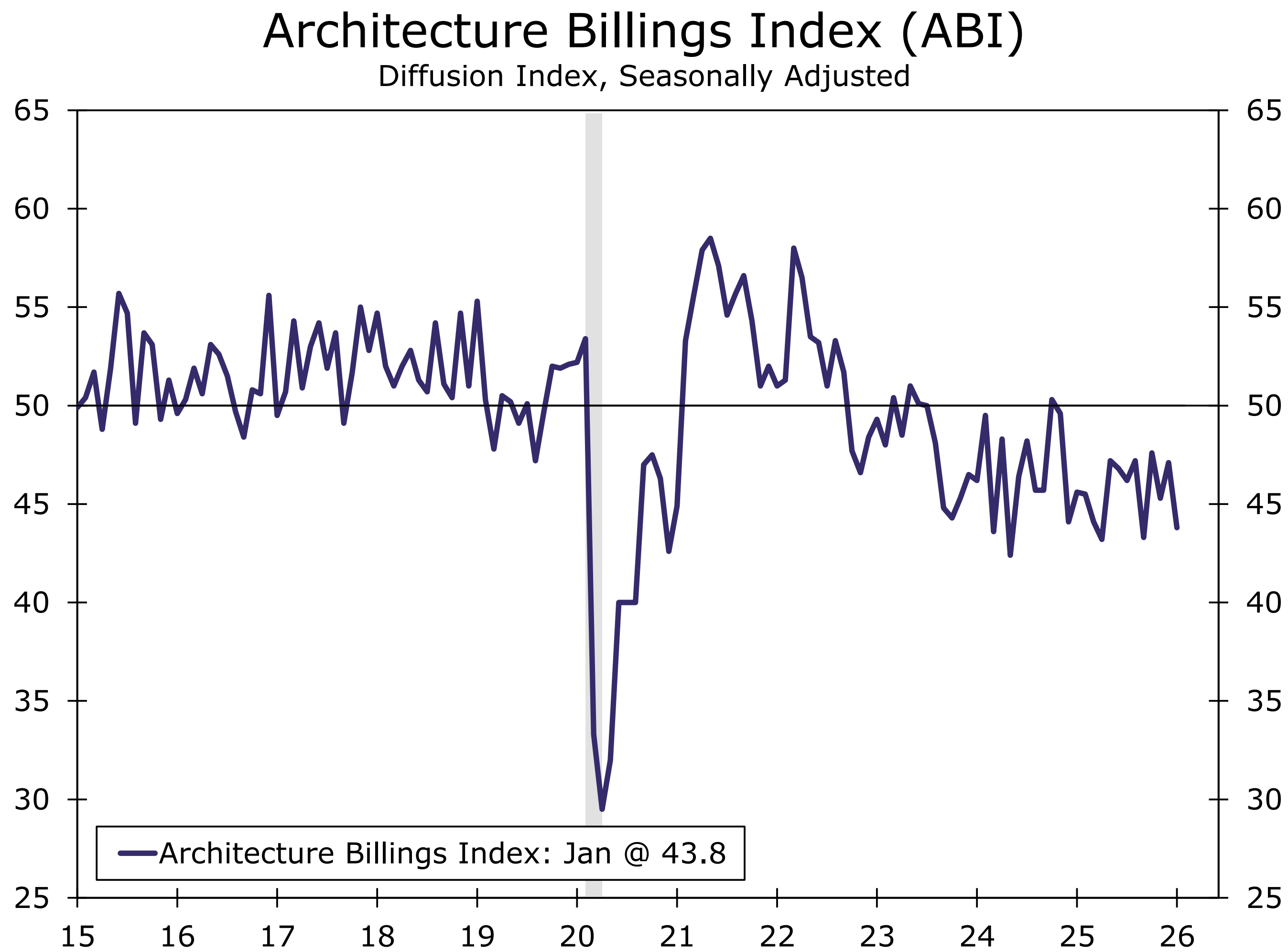
Source: U.S. Department of Commerce and Wells Fargo Economics



Source: U.S. Department of Commerce and Wells Fargo Economics



Source: U.S. Department of Labor and Wells Fargo Economics



Source: American Institute of Architects and Wells Fargo Economics

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 2/27/2026 unless otherwise stated. 2/27/2026 12:08:43 EST.

Required Disclosures

Economics

February 20, 2026

New Home Sales Picked Up in November & December

Lower Mortgage Rates Were a Key Support

Economic Indicator

Economist(s)

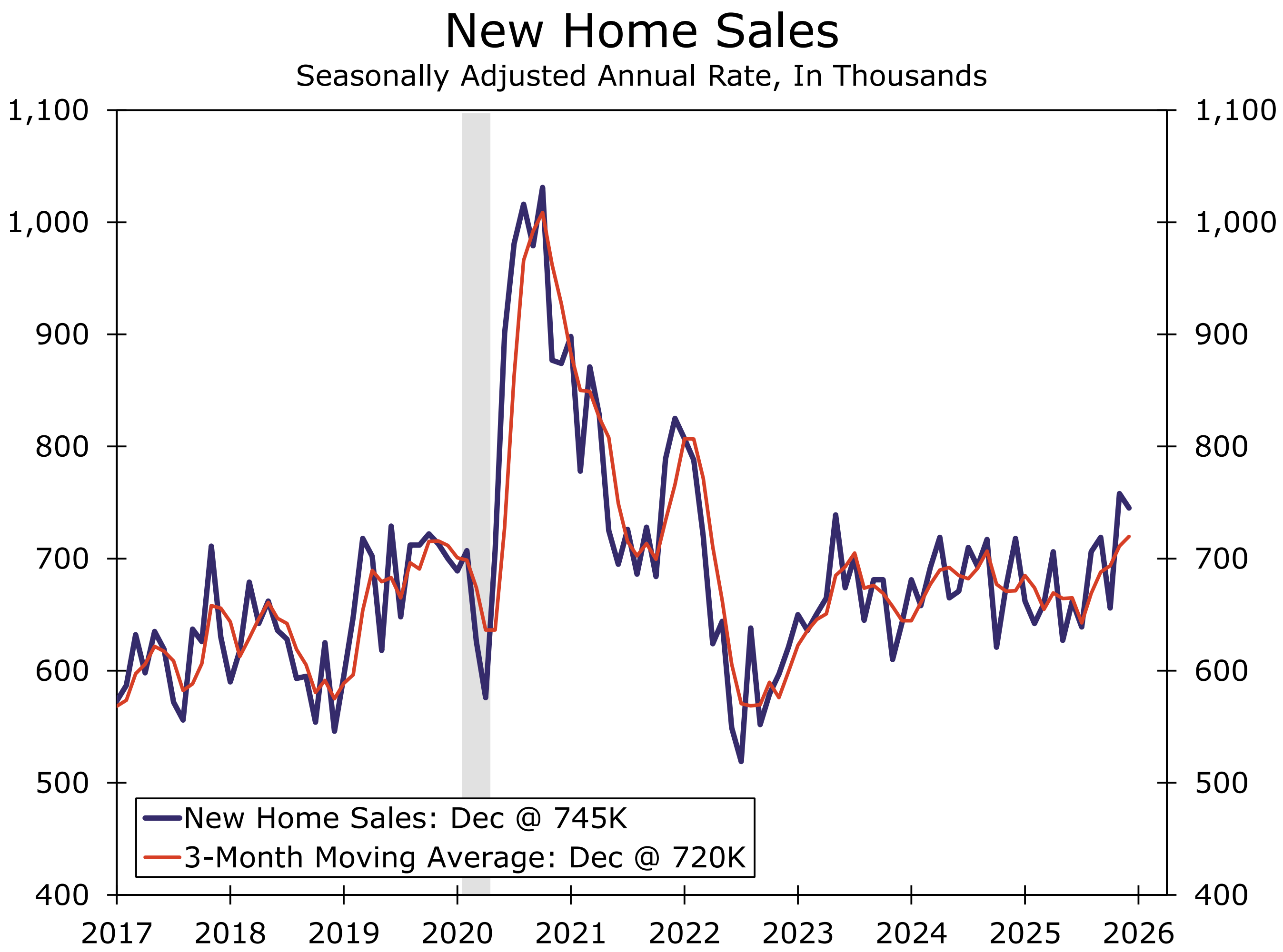

Charlie Dougherty


Jackie Benson

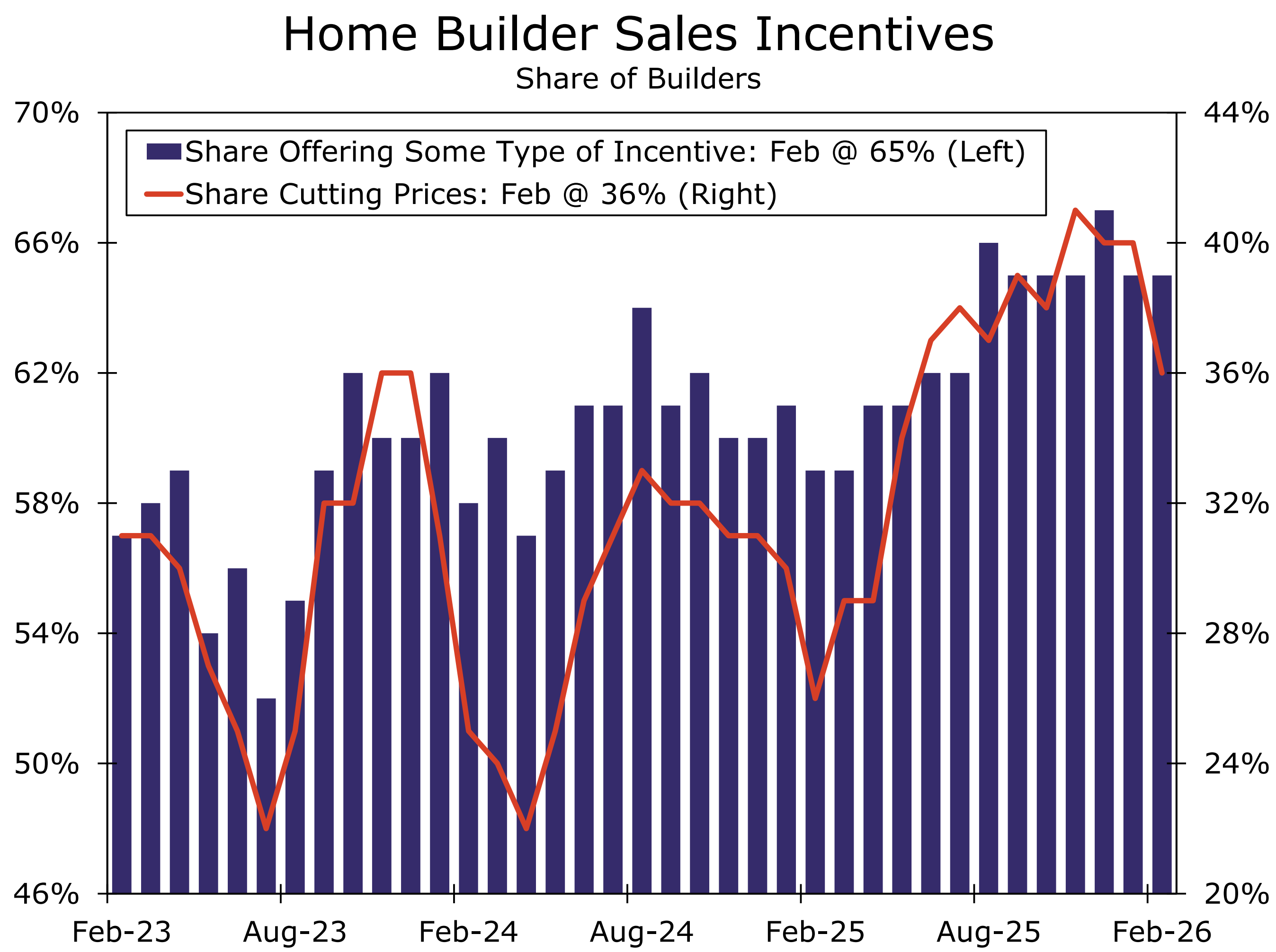

Ali Hajibeigi

Summary

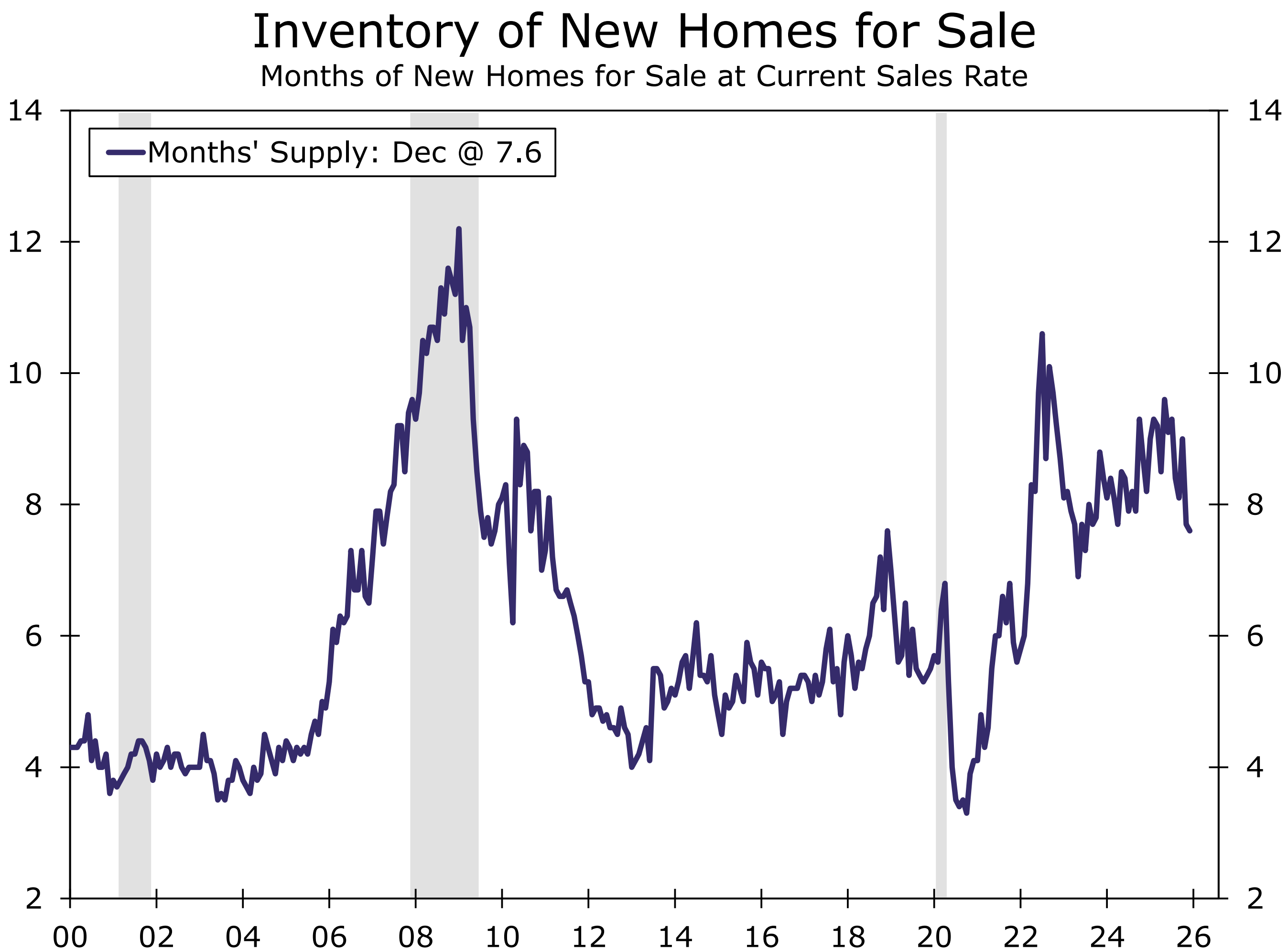
- New home sales rose on balance at the end of 2025. Transactions surged in November (+15.5%) to a 758K annual pace. Accounting for modest giveback in December (-1.7%), the 745K unit sales pace at the close of last year was 3.8% above December 2024.
- Yet in 2025 as a whole, the annual average of new home sales ended up 1.1% below 2024. Stubbornly high mortgage rates, cooling labor market fundamentals and ongoing uncertainty all weighed on demand.
- The year-end increase in momentum was likely supported by a modest reduction in financing costs. The average 30-year fixed mortgage rate slid from 6.8% in June to 6.2% in December, reaching its lowest level since September 2024.
- Mortgage rates have continued to recede since, most recently averaging 6.0% during the week of February 19. Although this progress is encouraging, mortgage rates remain above pre-pandemic averages and are unlikely to fall much further in our view.
- Roughly two-thirds of builders reported using incentives like price cuts or mortgage rate buy-downs in November and December, a share that persisted through the first two months of 2026. Combined with builders' poor sales expectations, the prevalence of sales incentives implies that buyer demand remains soft in many markets.
- The median sale price for a new single-family home rose slightly in December but was down 2.0% on a year-to-year basis. The annual decline reflects builder price discounts.
- New home inventory eased somewhat but remains elevated. New home inventory fell modestly over the last two months of 2025, dipping 3.5% year-over-year in December. That said, months' supply registered at 7.6 months in December, well above the 5.5-month average from 2015 to 2019.



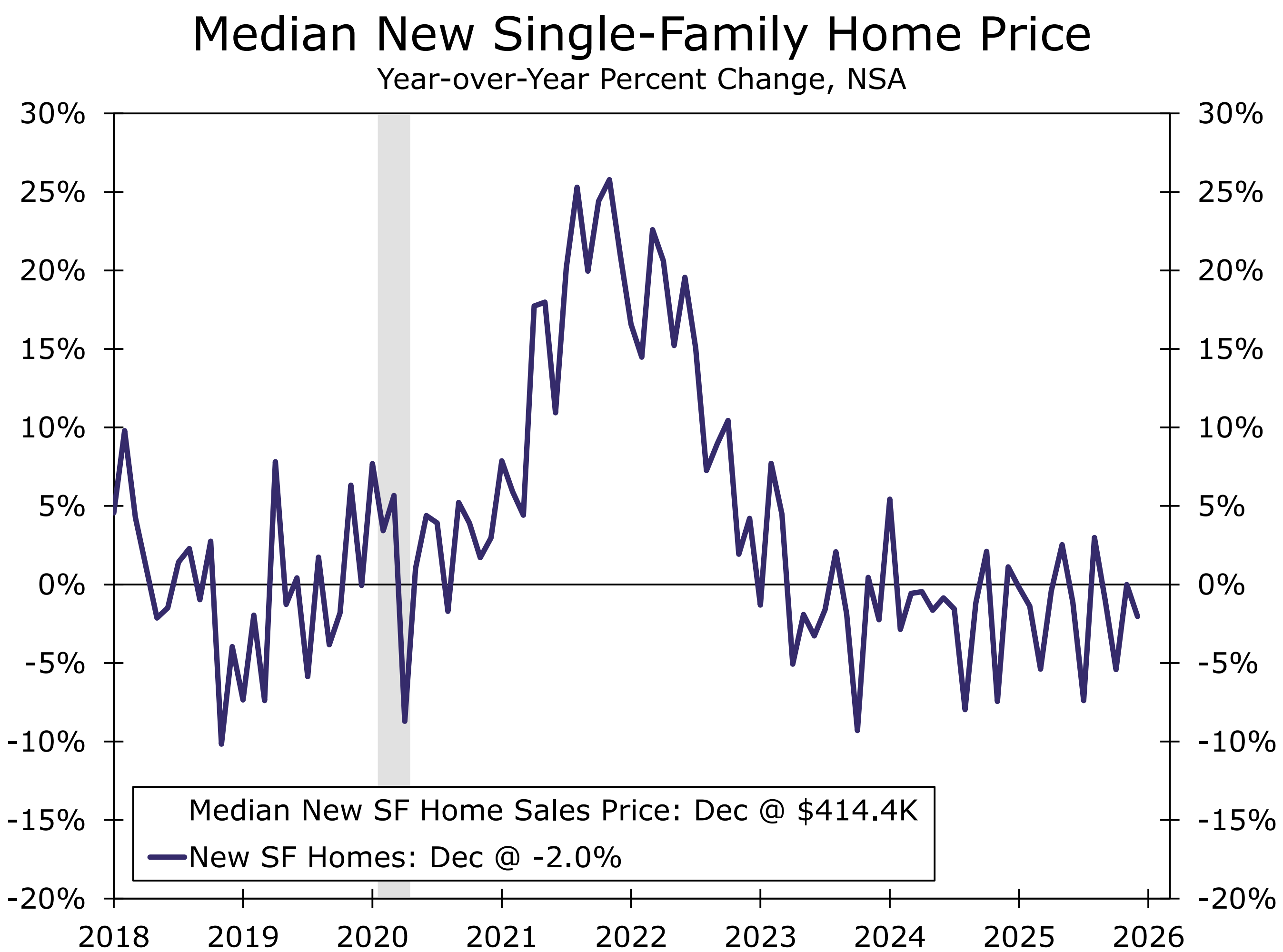
Source: U.S. Department of Commerce and Wells Fargo Economics



Source: NAHB and Wells Fargo Economics



Source: U.S. Department of Commerce and Wells Fargo Economics



Source: U.S. Department of Commerce and Wells Fargo Economics

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 2/20/2026 unless otherwise stated. 2/20/2026 11:40:52 EST.

Required Disclosures

Economics
February 19, 2026

Gold Explains Some, Not All, of Sharp Widening in December Trade Deficit

Economic Indicator

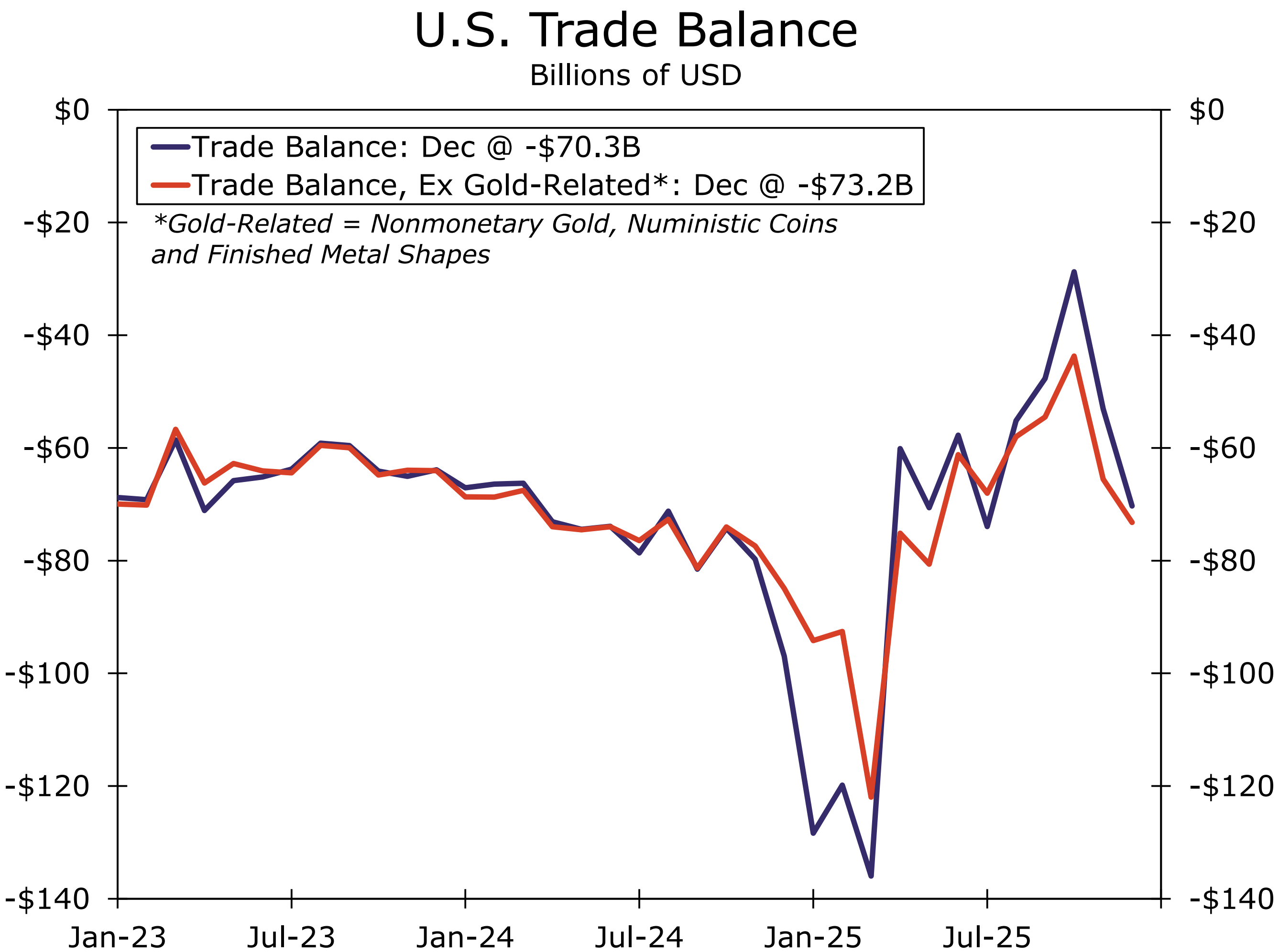
Economist(s)


Shannon Grein


Tim Quinlan

Summary

- A large $17.3 billion widening in the December trade deficit reflects a $5 billion drop in exports and a more than $12 billion jump in imports. The size of these moves overstate the impact on Q4 GDP growth and the extent of recent demand.
- The trade of non-monetary gold accounted for more than half of December's widening. Since this is excluded from GDP it blunts the impact of net exports on GDP.
- Prior to today's report we had anticipated a 0.7 percentage point boost from trade on Q4 real GDP growth. That lift is now poised to shrink. In fact, we might even see a slight drag on growth from trade due to stronger than anticipated imports.
- All told goods imports finished the year down and were way down when excluding the lift from a sharp increase in high-tech related imports.
- So are we now a country that simply imports less than it did before? We think the pullback in imports last year is overstated and is at least partly a result of wait-and-see around tariffs in 2025. Looking ahead there will inevitably be more rejiggering in supply chains, but we see scope for a modest ascent in imports in spite of tariffs in the year ahead.



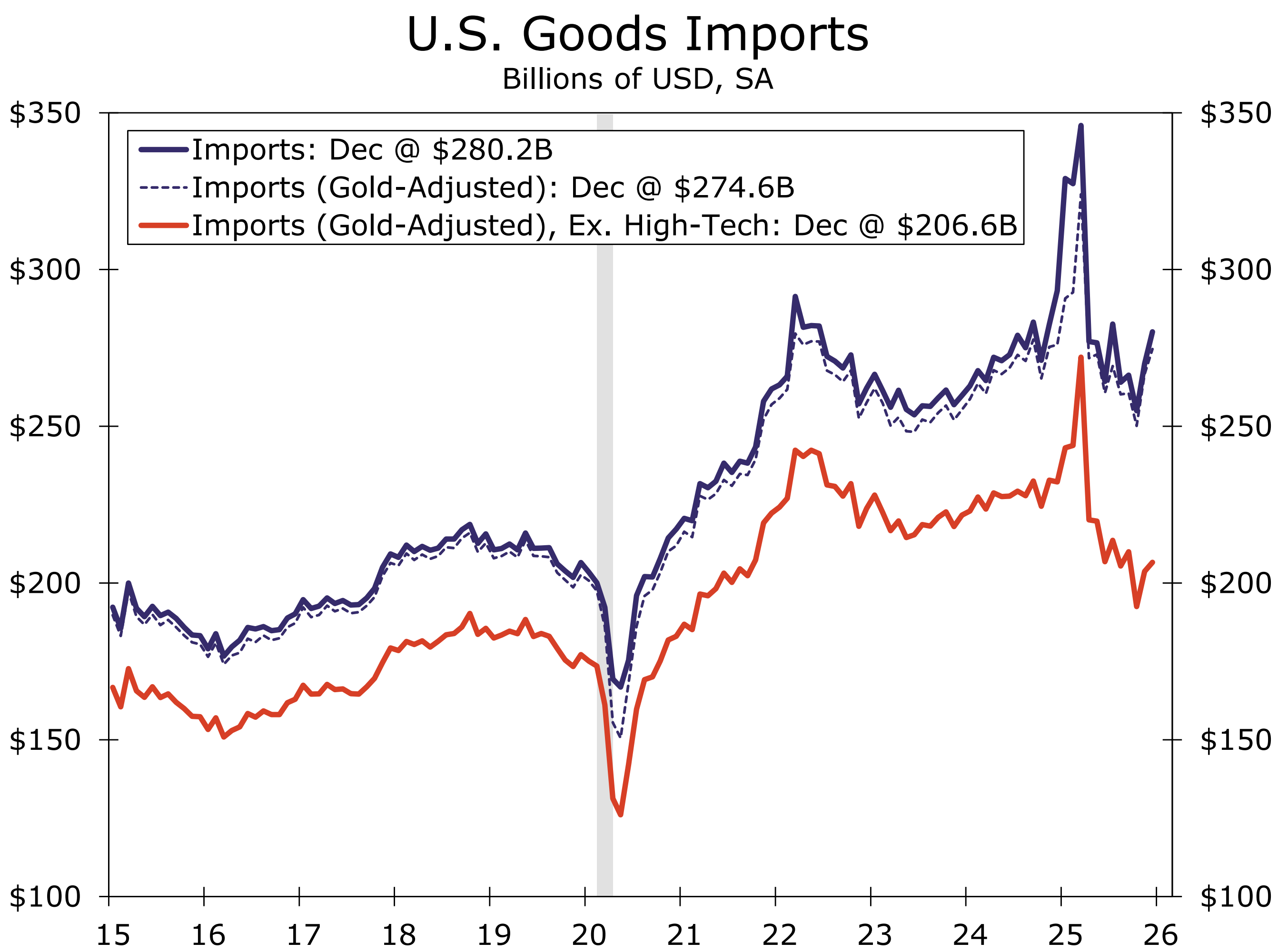
Source: U.S. Departmet of Commerce and Wells Fargo Economics

Trade Normalization Continues: Imports Up, Exports Down

If you were rooting for trade to boost economic growth in Q4, just about everything moved in the wrong direction in December. The U.S. economy increased its imports by more than $12 billion, with $10.2 billion off that increase coming from goods and the balance coming from increased service imports.

On the other side of the ledger, exports fell by $5.0 billion despite the one silver lining, a scant $0.5 billion increase in service exports being swamped by a $5.5 billion decrease in U.S. goods exports. The total trade balance widened sharply as a result reaching $70.3 billion, falling back to its widest level in six-months.

So while it is true that the U.S. economy is importing more and exporting less, it's much more complicated. The underlying details are less clear, including that almost half of the widening in the December trade deficit will not end up weighing on GDP growth. That's because the Commerce Department excludes non-monetary gold as it reflects asset reallocation under geopolitical stress, not real economic activity. As seen in the top chart, the international trade deficit when excluding these effects has been less volatile in recent months. Additionally, when you exclude high-tech related imports (computers, accessories, communications equipment, semiconductors) the gain in December imports is cut in half.

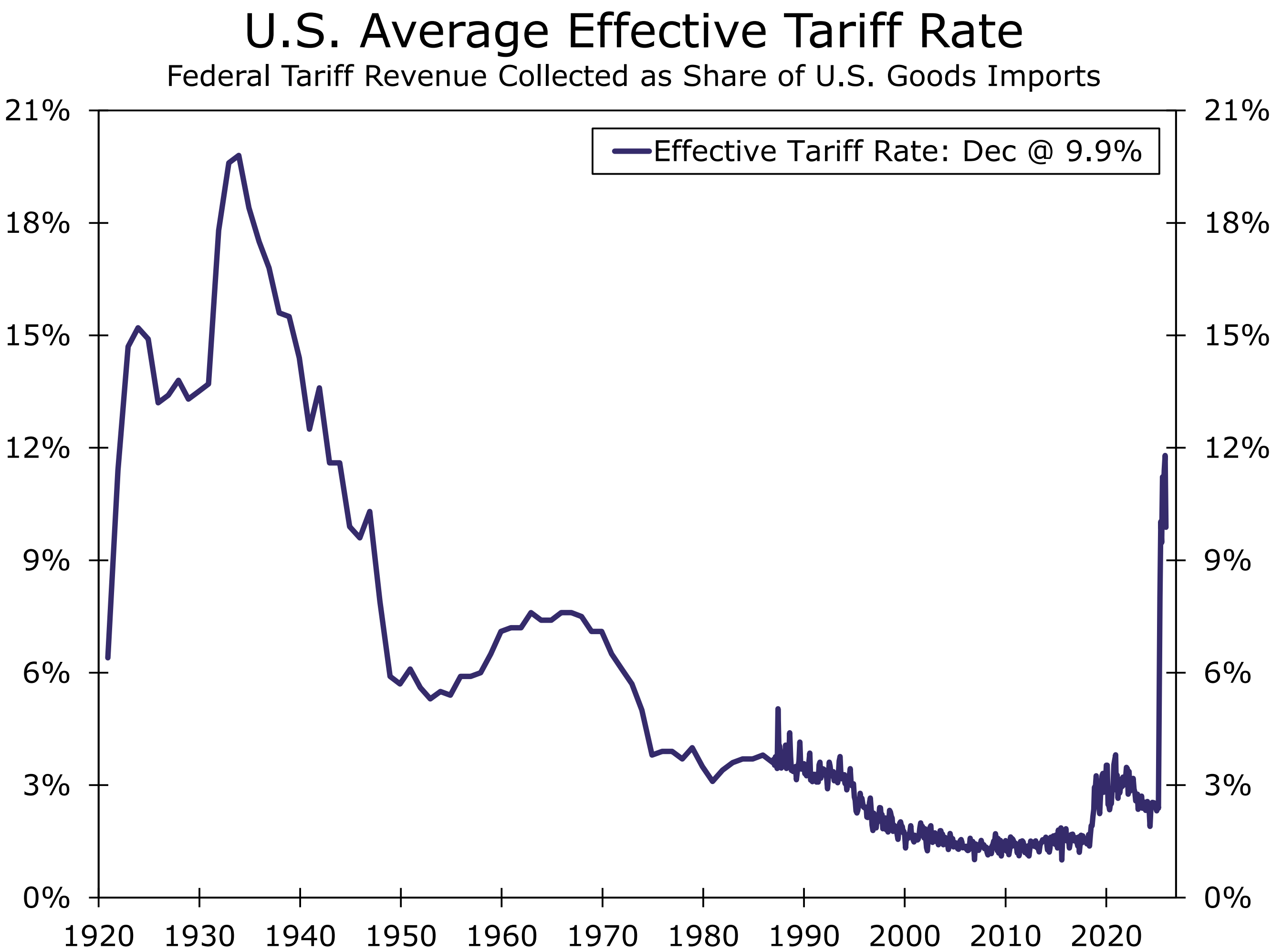


Source: U.S. Department of Commerce and Wells Fargo Economics

What Did Tariffs Do to Trade in 2025?

It's ultimately pretty clear that tariffs weighed on imports. Total goods imports finished 2025 nearly 5% below where they started the year, but imports finished the year even lower if you back out high-tech related demand, with the drop in imports being about two-times as large (chart). But we're not convinced this is the result of a permanent shift in supply chains, but rather cautious business practices preventing firms from bringing on too much product before they knew where tariffs would settle. There has been little indication yet of a large onshoring of manufacturing operations and leaner inventories suggest a need to replenish this year.

While it also remains to be seen how much more adjustment comes to tariffs, we don't expect the constant tinkering as we saw last year. The realized average effective tariff rate averaged 8% last year, more than three-times higher than 2024 (chart). It is still the case that the biggest near-term trade consideration is how the Supreme Court rules on the legality of the Trump administration's efforts to implement a large swath of tariffs under the International Emergency Economic Powers Act (IEEPA), a decision that can come as early as tomorrow morning.



Source: U.S. Department of Commerce, U.S. Department of the Treasury and Wells Fargo Economics

Despite the market fixation with the announcement, even if the court strikes down the tariffs, the administration has other options to reimpose tariffs, likely keeping them largely in place near recent levels this year. Another consideration is the outcome of the mandatory joint review of the USMCA agreement this summer, which could lead to some adjustment on realized tariffs on imports from Canada and Mexico.

Trade Winds No Longer Set to Fill the Sails for Growth in Q4

Even after excluding non-monetary gold, today's data suggest some modest downside to our estimate for fourth quarter GDP growth, due tomorrow morning. We had a 0.7 percentage point boost from net exports penciled in, but the stronger than anticipated gain in import growth suggests a wider trade deficit than we previously expected. The monthly data are unusually cloudy at the moment due to the non-monetary gold effects, but we expect there is downside risk to our net exports boost, and thus overall GDP growth for Q4 based on this morning's data.

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 2/19/2026 unless otherwise stated. 2/19/2026 9:40:23 EST.

Required Disclosures

This report is produced by the Economics Group of Wells Fargo Bank, N.A. (“WFBNA”). This report is not a product of Wells Fargo Global Research and the information contained in this report is not financial research. WFBNA distributes this report directly and through affiliates including, but not limited to, Wells Fargo Securities, LLC, Wells Fargo & Company, Wells Fargo Clearing Services, LLC, Wells Fargo Securities International Limited, Wells Fargo Securities Europe S.A., and Wells Fargo Securities Canada, Ltd. Wells Fargo Securities, LLC is registered with the Commodity Futures Trading Commission as a futures commission merchant and is a member in good standing of the National Futures Association. WFBNA is registered with the Commodity Futures Trading Commission as a swap dealer and is a member in good standing of the National Futures Association. Wells Fargo Securities, LLC and WFBNA are generally engaged in the trading of futures and derivative products, any of which may be discussed within this report. All reports published by the Economics Group are disseminated and available to all clients simultaneously through electronic publication to our public website. Clients may also receive our reports via third party vendors. We are not responsible for the redistribution of our reports by third-party aggregators. Any external website links included in this report are not maintained, controlled or operated by WFBNA. WFBNA does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of WFBNA.

This publication has been prepared for informational purposes only and is not intended as a recommendation, offer or solicitation with respect to the purchase or sale of any security or other financial product, nor does it constitute professional advice. The information in this report has been obtained or derived from sources believed by WFBNA to be reliable, but has not been independently verified by WFBNA, may not be current, and WFBNA has no obligation to provide any updates or changes. All price references and market forecasts are as of the date of the report or such earlier date as may be indicated for a particular price or forecast. The views and opinions expressed in this report are those of its named author(s) or, where no author is indicated, the Economics Group; such views and opinions are not necessarily those of WFBNA and may differ from the views and opinions of other departments or divisions of WFBNA and its affiliates. WFBNA is not providing any financial, economic, legal, accounting, or tax advice or recommendations in this report. Neither WFBNA nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this report, and any liability therefore (including in respect of direct, indirect or consequential loss or damage) is expressly disclaimed. WFBNA is a separate legal entity and distinct from affiliated banks, and is a wholly-owned subsidiary of Wells Fargo & Company.

Important Information for Non-U.S. Recipients

For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a U.K. incorporated investment firm authorized and regulated by the Financial Conduct Authority (“FCA”). For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the “Act”), the content of this report has been approved by WFSIL, an authorized person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU (“MiFID2”). The FCA rules made under the Act for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. For recipients in the EFTA, this report is distributed by WFSIL. For recipients in the EU, it is distributed by Wells Fargo Securities Europe S.A. (“WFSE”). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in MiFID2. This report is not intended for, and should not be relied upon by, retail clients.

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE

Economics

February 18, 2026

Housing Starts Rise in December

Residential Construction Remains Weak Despite Year-End Gain

Economic Indicator

Economist(s)

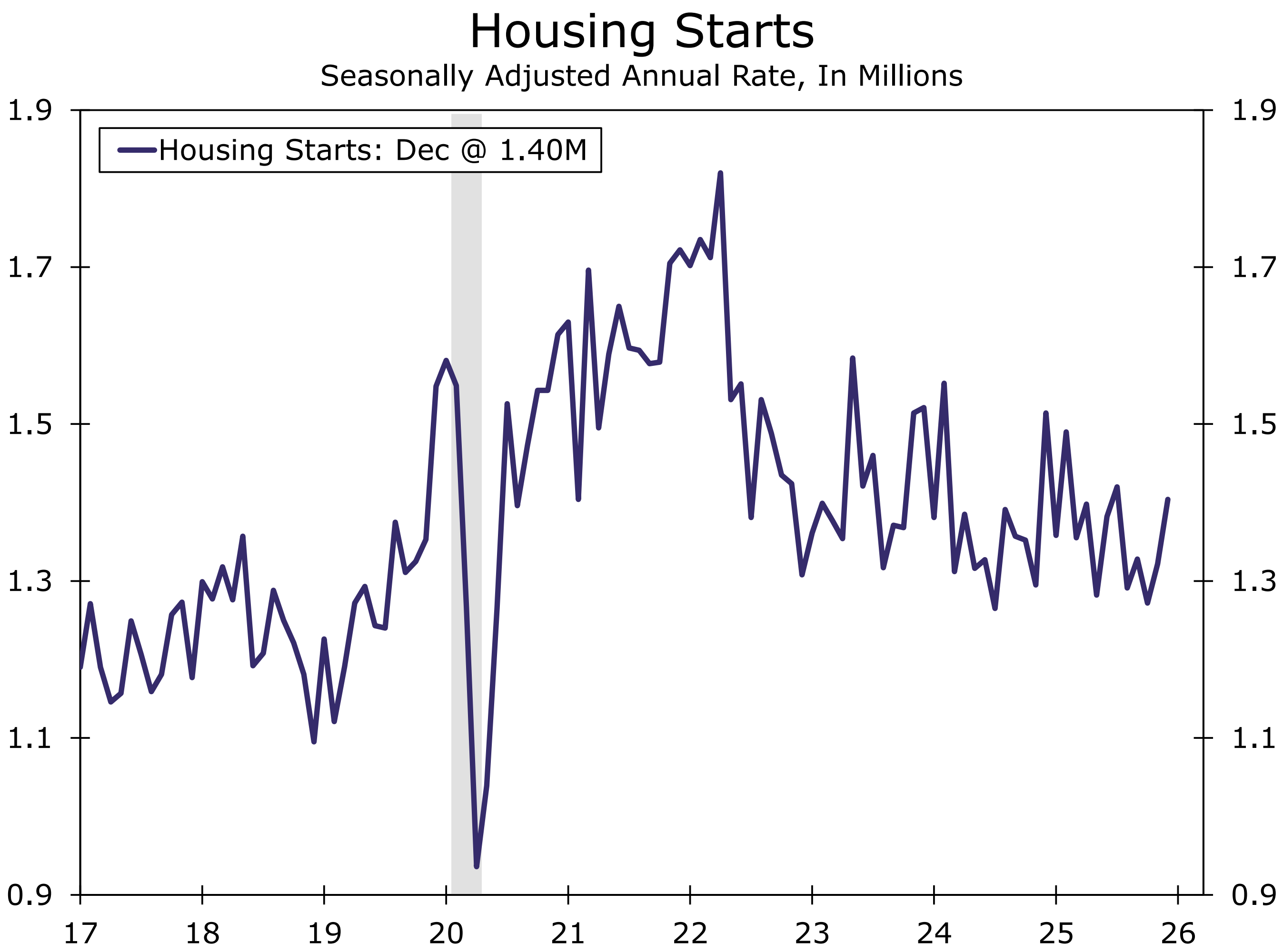

Jackie Benson


Ali Hajibeigi

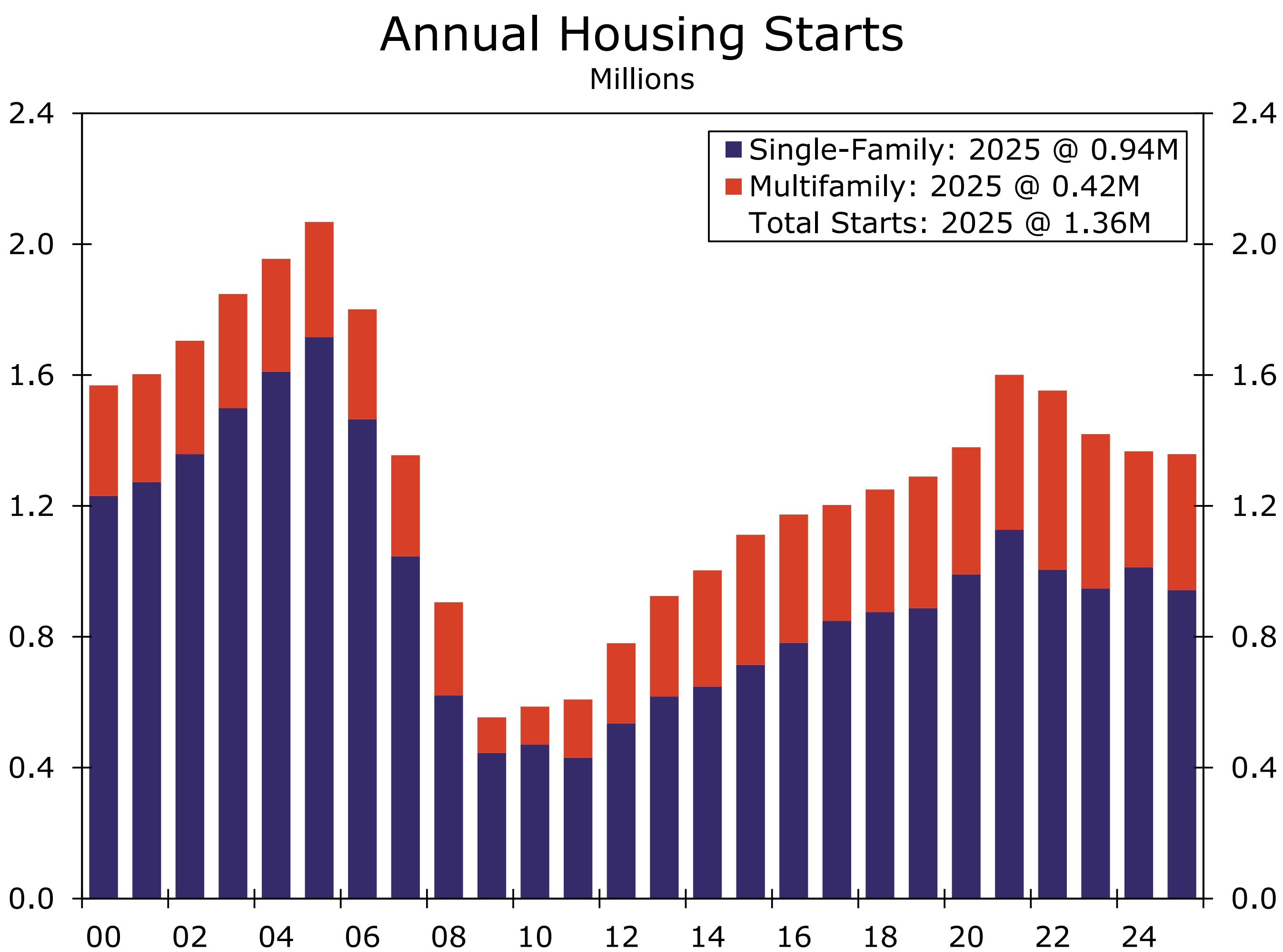
Summary

Headwinds Against Residential Construction Likely to Persist

- Housing starts posted modest improvements at the end of 2025, increasing for two consecutive months in both November (+3.9%) and December (+6.2%). This uptick was driven by gains in both single-family and multifamily groundbreakings.
- Despite this apparent increase in momentum, housing starts are essentially moving sideways through the monthly volatility, dipping 0.6% in 2025 as a whole when compared to the year prior.
- Single-family starts rose for the third consecutive month in December as lower mortgage rates prompted a stabilization in building permits. That said, mortgage rates have not declined much further, and we expect them to remain elevated above 6.0% over the next few years.
- Building permits are more instructive than starts when gauging the path of single-family development. Despite some improvement in the last few months of 2025, single-family permits remain weak overall, declining 7.4% annually in 2025 vs. 2024.
- Meanwhile, trends in multifamily construction may not be as strong as meets the eye. Census multifamily starts rose 11.3% in December, capping off a 17.4% annual increase in 2025. However, the trend in permits is softer, which rose a more modest 3.9% during that same time.
- CoStar data also point to a weaker pace of apartment construction, suggesting a 17.3% annual *decline* in multifamily starts from 2024 to 2025.
- Persistently bleak builder outlooks imply that single-family construction is unlikely to meaningfully accelerate in the near-term. After a reduction in mortgage rates bolstered builder confidence last fall, the NAHB Housing Market Index slipped for the second consecutive month in February to 36, driven by deteriorating buyer traffic and moderating sales expectations.
- NAHB poses a special set of questions once per year on the challenges facing single-family builders. High interest rates and the cost and availability of labor remained persistent headwinds at the start of 2026. Additionally, buyer concerns about the economy and labor market are reportedly hampering new home demand, as are buyer expectations' that mortgage rates will decline in the future.



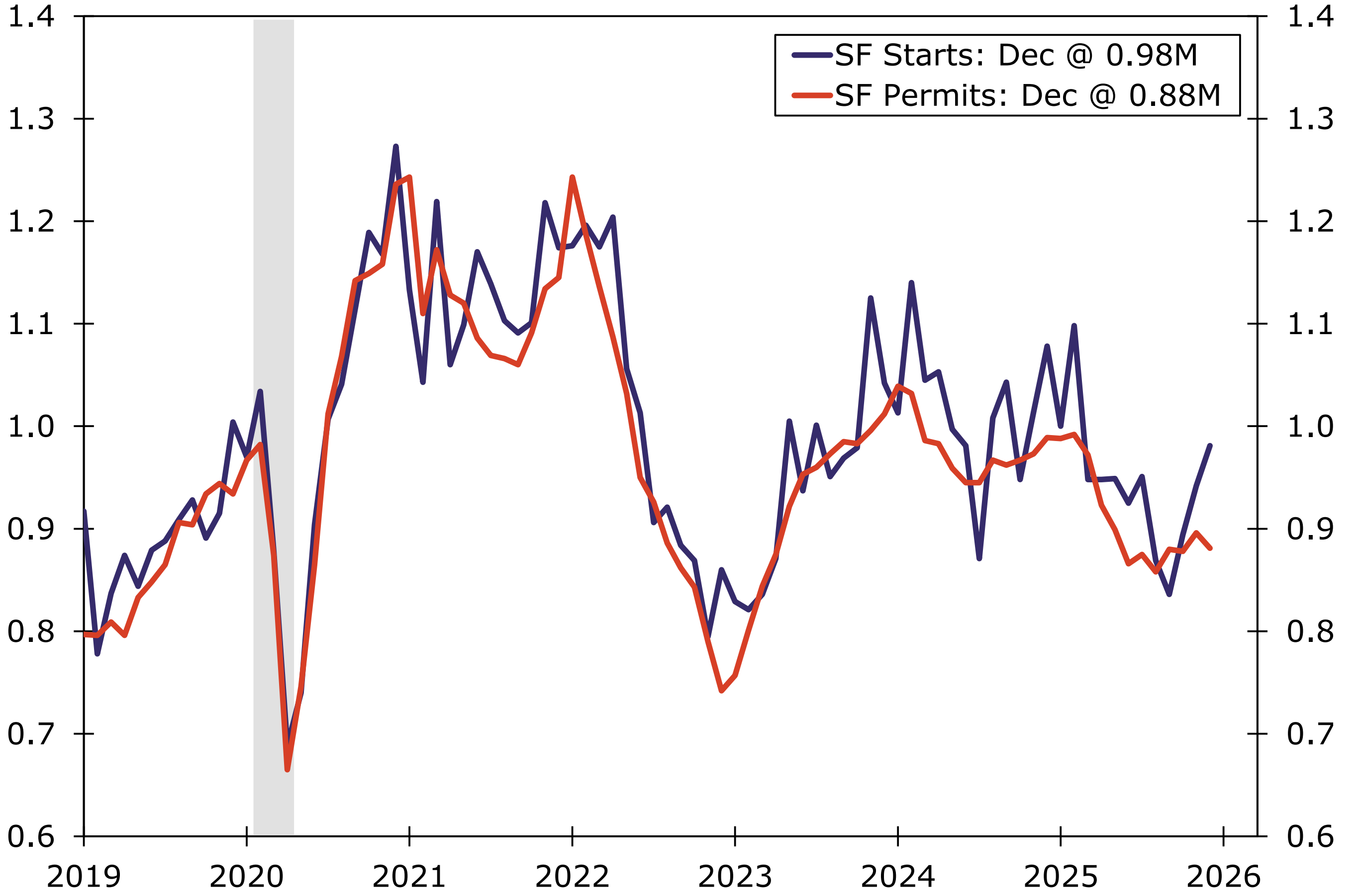
Source: U.S. Department of Commerce and Wells Fargo Economics



Source: U.S. Department of Commerce and Wells Fargo Economics

Single-Family Starts vs. Permits

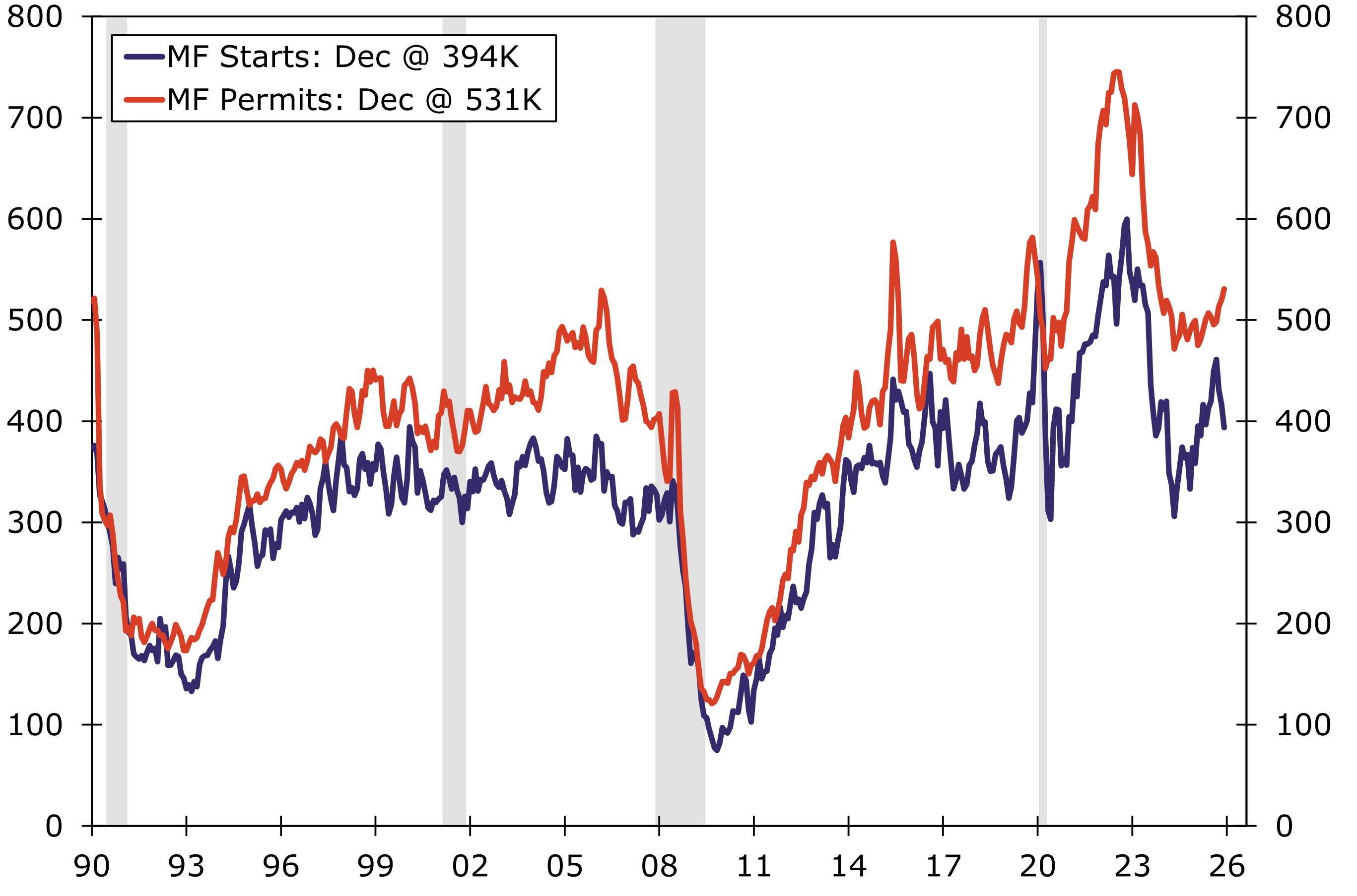
In Millions, SAAR



Source: U.S. Department of Commerce and Wells Fargo Economics

Multifamily Starts vs. Permits

3-Month Moving Average of a SAAR, Thousands



Source: U.S. Department of Commerce and Wells Fargo Economics

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 2/18/2026 unless otherwise stated. 2/18/2026 10:06:53 EST.

Required Disclosures

Economics
February 18, 2026

Double Feature: Durable Goods Orders & Industrial Production

Economic Indicator

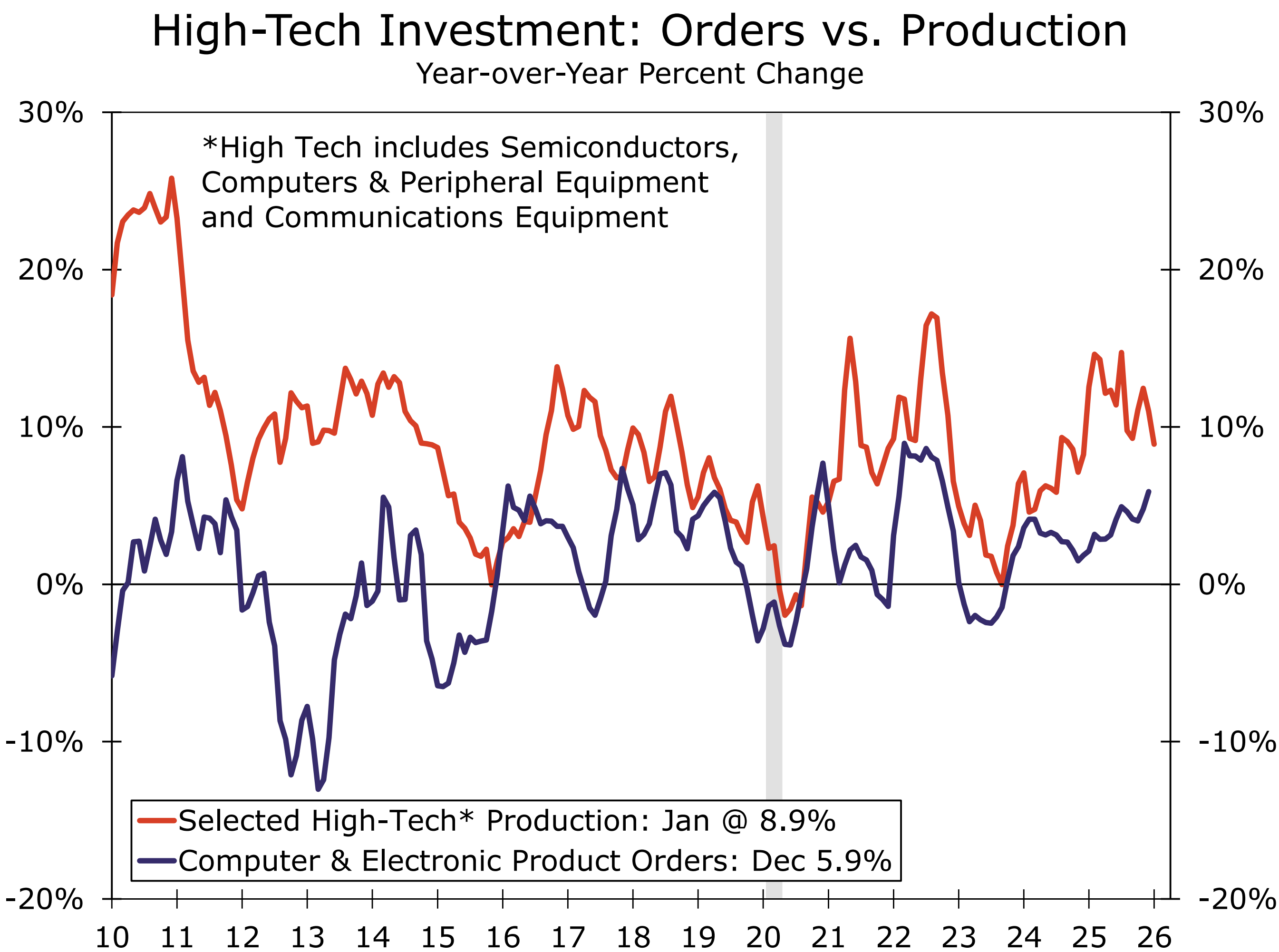
Economist(s)


Shannon Grein


Tim Quinlan

Summary

- Business investment over the past year has looked resilient largely because spending has been heavily concentrated in AI and high-tech, masking weakness in other sectors. High-tech orders, production, and imports have surged, while non-tech focused capital goods and output have lagged or declined.
- Today's December durable goods orders and January industrial production data suggest this is changing.
- While the AI investment boom is expected to continue, recent data suggest early signs of a broader pickup, with traditional capex stabilizing and non-high-tech output improving. This is occurring amid supportive tax incentives and a growing willingness by firms to finance investment beyond AI.



More Than Just Tech: Growth Signals Evident in Broader Range of Industries

What is often mistaken as broad resilience in business investment over the past year has actually been a heavy concentration of spending in the AI and broader high-tech build out. It is not so much a *rising tide that lifts all boats* as it is condensed activity in one sector that masks a struggle in industries not directly tied to the tech build-out. Today's data point to an encouraging growth pick-up outside of high-tech.

That dynamic is clearly visible in the durable goods data: orders for computers & related products rose 13.7% over the past year, running at nearly four times the pace of underlying core capital goods. The same concentration shows up on the production side. Domestic output of high-tech goods—including computers, communications equipment, and semiconductors—is up nearly 9% through January, while non-energy production excluding these components is up just 2.2%. Even trade flows tell the same story where growth in U.S. imports last year was largely driven by high-tech equipment, with non-tech import categories losing momentum.

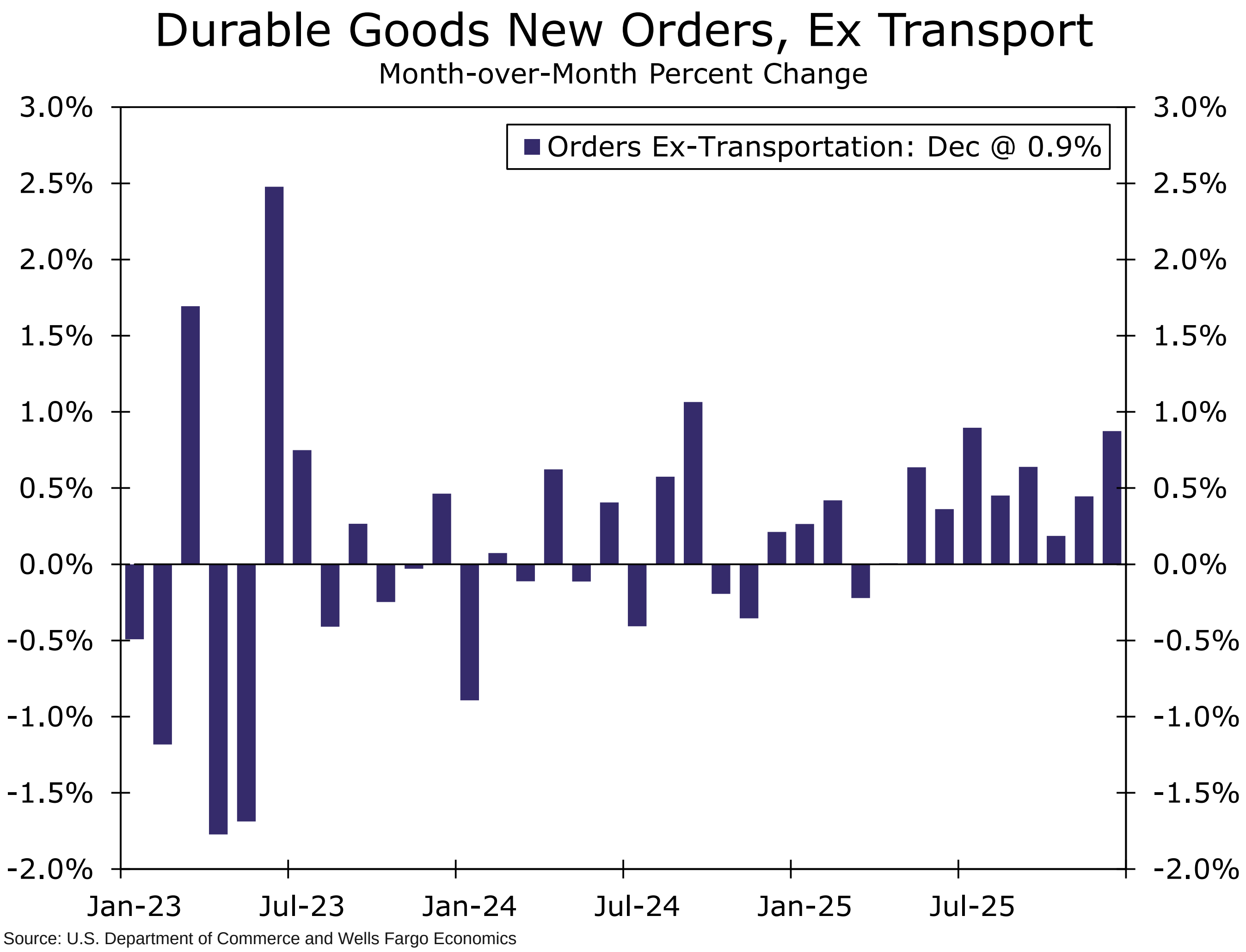
We don't see the AI-driven investment cycle fading anytime soon, and capital flows into that space are likely to continue. This morning's data show there are early signs that more traditional areas of capex are beginning to firm as well. Core capital goods orders are stabilizing and output excluding high-tech is starting to improve. Recent tax incentives in the One Big Beautiful Bill Act are supportive of broader investment, and the early-year pickup in commercial and industrial lending suggests firms are becoming incrementally more willing to finance capex beyond AI.

Durable Goods: Handily Exceeding Low Expectations

Get past the slip in aircraft orders and what emerges from the details of the December durable goods report are modest increases in orders across most durable goods categories. Since expectations were so tepid, even these modest gains exceeded expectations.

As is often the case with the durable goods report, a headline reading often misses the important developments. December was no exception with overall orders for long-lived capital goods down 1.4%, and, after excluding defense spending, orders fell 2.5%. But most of the "weakness" was in civilian aircraft orders which fell 25% in December, but that follows a near doubling (+98%) in non-defense aircraft orders in November, so the giveback here in December is not terribly disconcerting. In fact, civilian aircraft orders are up 69% over the past year, more than any other major category of durable goods orders.

The other main transports category, motor vehicles and parts, notched a 1.2% increase in orders in December after back-to-back declines in the two preceding months. Once you start to exclude these notoriously jumpy categories, a brighter picture emerges. Orders excluding transportation have firmed in recent months and rose 0.9% in January which was three-times the consensus expectation.



Source: U.S. Department of Commerce and Wells Fargo Economics

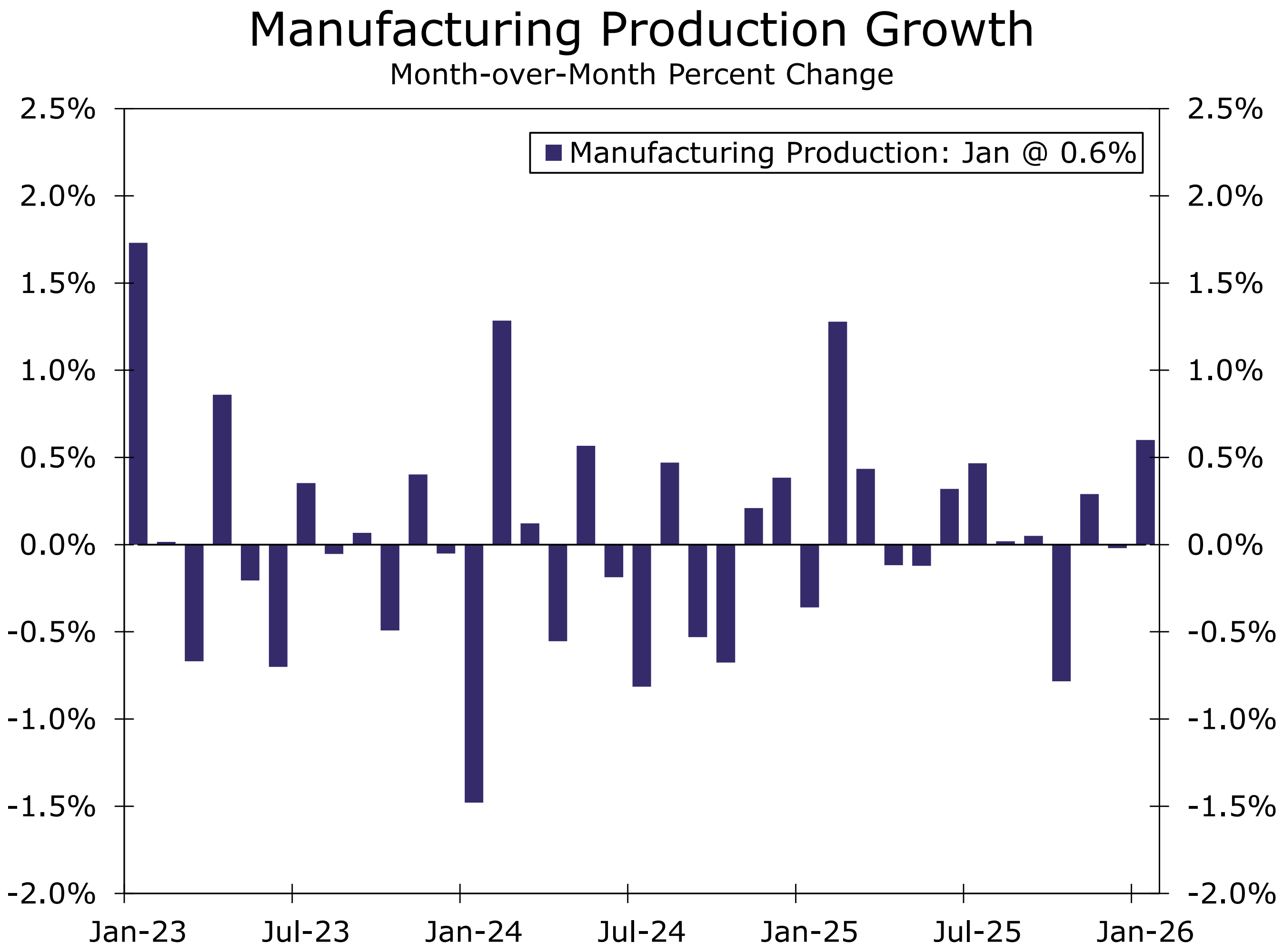
Orders for core capital goods (nondefense ex. air) looked better too, up 0.6% in December (twice the 0.3% expectation), and that better-than-expected reading came on the heels of an upward revision. Shipments of core capital goods rose 0.9% which also handily exceeded expectations, but remains consistent with our expectation for real equipment investment to rise at a near 4% annualized clip in Q4 when data print Friday.

Industrial Production: Stronger Beyond High-Tech

Industrial production picked up at the start of the year, rising 0.7% in January, though downward revisions to year-end take some of the shine off the data. Output was supported by firmer utilities output, but most of the strength stems from a sizable pickup in manufacturing output. Total manufacturing production rose 0.6% in January, posting the strongest monthly gain in nearly a year, and activity looks fairly broad based under the headline. Durable goods production was responsible for most of the strength (+0.8%) with all but the aerospace industry posting a rise in output. Nondurables industries were more mixed (+0.4%), with four of eight industries seeing output fall and a rebound in chemical output and some others offsetting declines.

You do not need to do a deep dive to find the theme of a tech-concentration in the industrial production data. Just look at the index levels. The Federal Reserve sets them all equal to 100 in 2017. The manufacturing index in January came in at 97.5 meaning manufacturing output, in volume terms, is 2.5% smaller than it was almost a decade ago. Yet the category "selected high-technology industries" came in at 184.7 the same month. This grouping includes output of computers, communications equipment, semiconductors and related electronic components.

While high-tech continues to outpace non-tech focused output, we see signs of recovery. Excluding high-tech, manufacturing output rose 0.6% in January, marking the fastest monthly increase in nearly a year with this measure of production matching its highest index reading of the past two and a half years.



Source: Federal Reserve Board and Wells Fargo Economics

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 2/18/2026 unless otherwise stated. 2/18/2026 10:27:01 EST.

Required Disclosures

Economics
February 13, 2026

January CPI: An Encouraging Start to the Year

Economic Indicator

Economist(s)

Tom Tom Porcelli

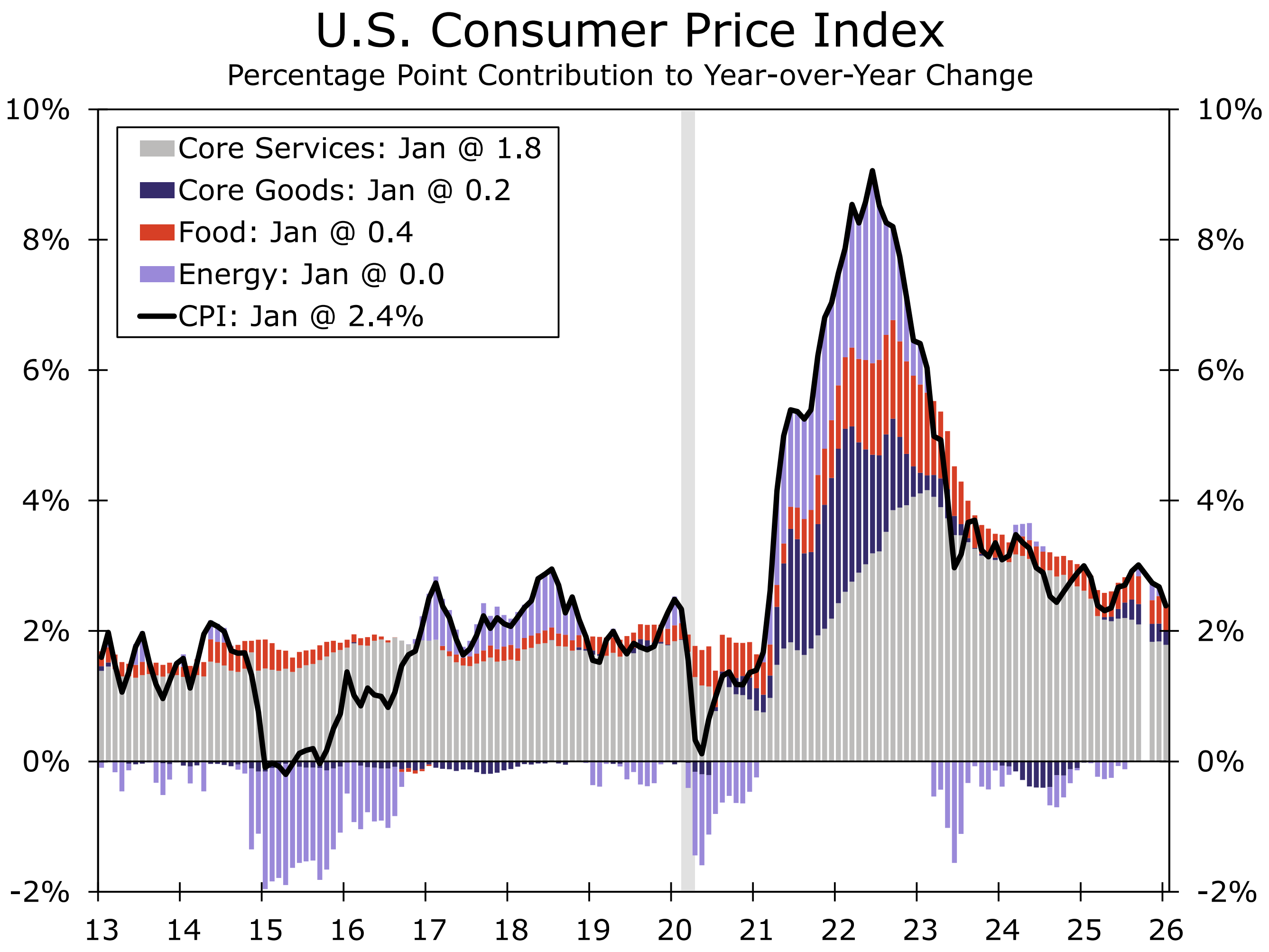
 Sarah House

 Michael Pugliese

 Nicole Cervi

Summary

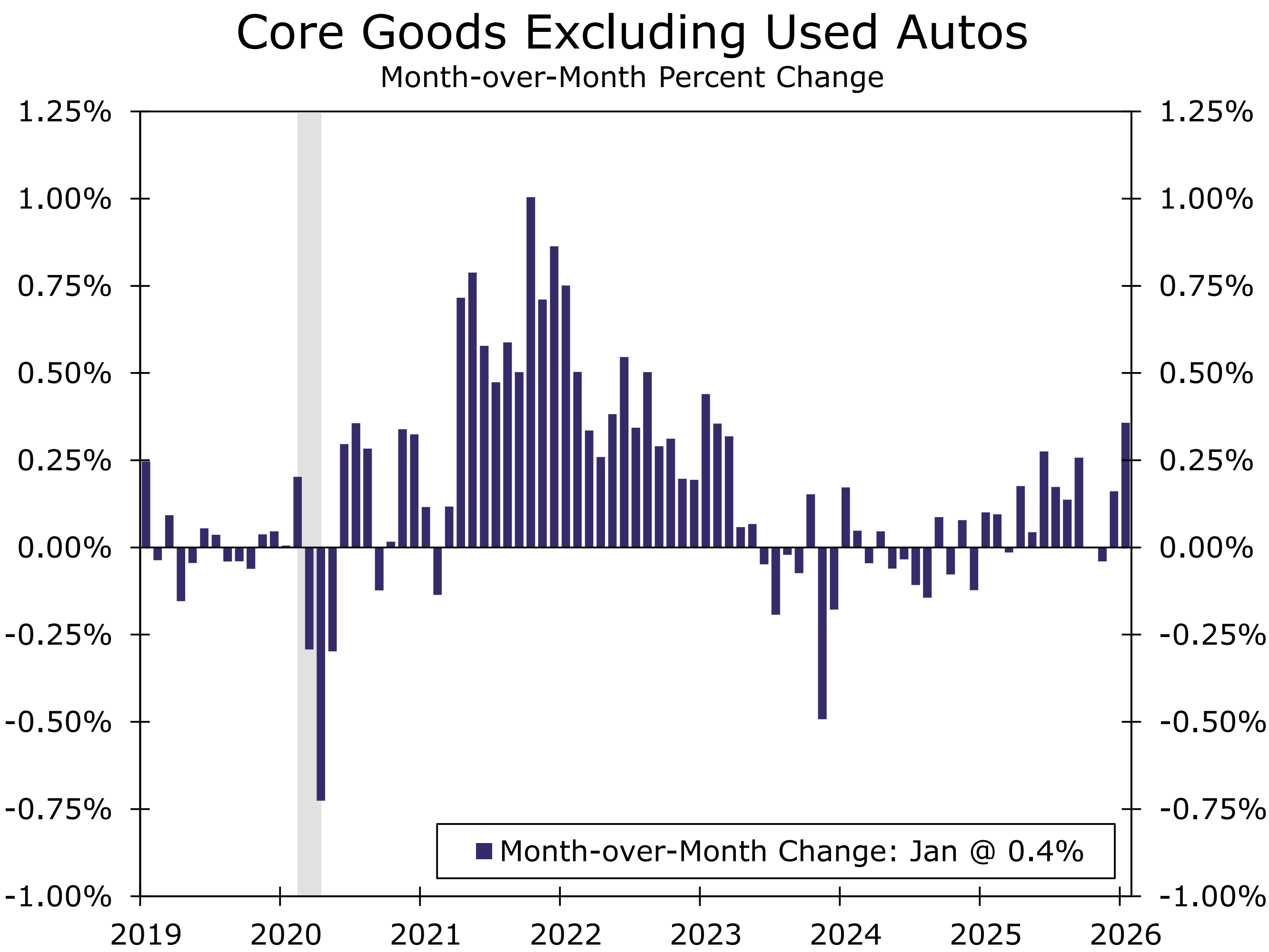
The January CPI report came in slightly cooler than expectations. Core CPI rose 0.30% amid a big jump in airfares that was offset by softer-than-expected readings for used cars and primary shelter. Headline and core CPI inflation on a year-ago basis slipped to 2.4% and 2.5%, respectively, with the latter posting its lowest reading since March 2021. The implications for the PCE deflator were generally favorable, and we project a 0.26% increase in the core PCE deflator in January. Note that we still do not have the December data for the PCE deflator nor the January PPI data, so the error bands around these estimates are wider than usual. For the Fed, a March rate cut looks highly unlikely, but the continued gradual pace of disinflation should keep prospects for additional rate cuts alive for later in the year.



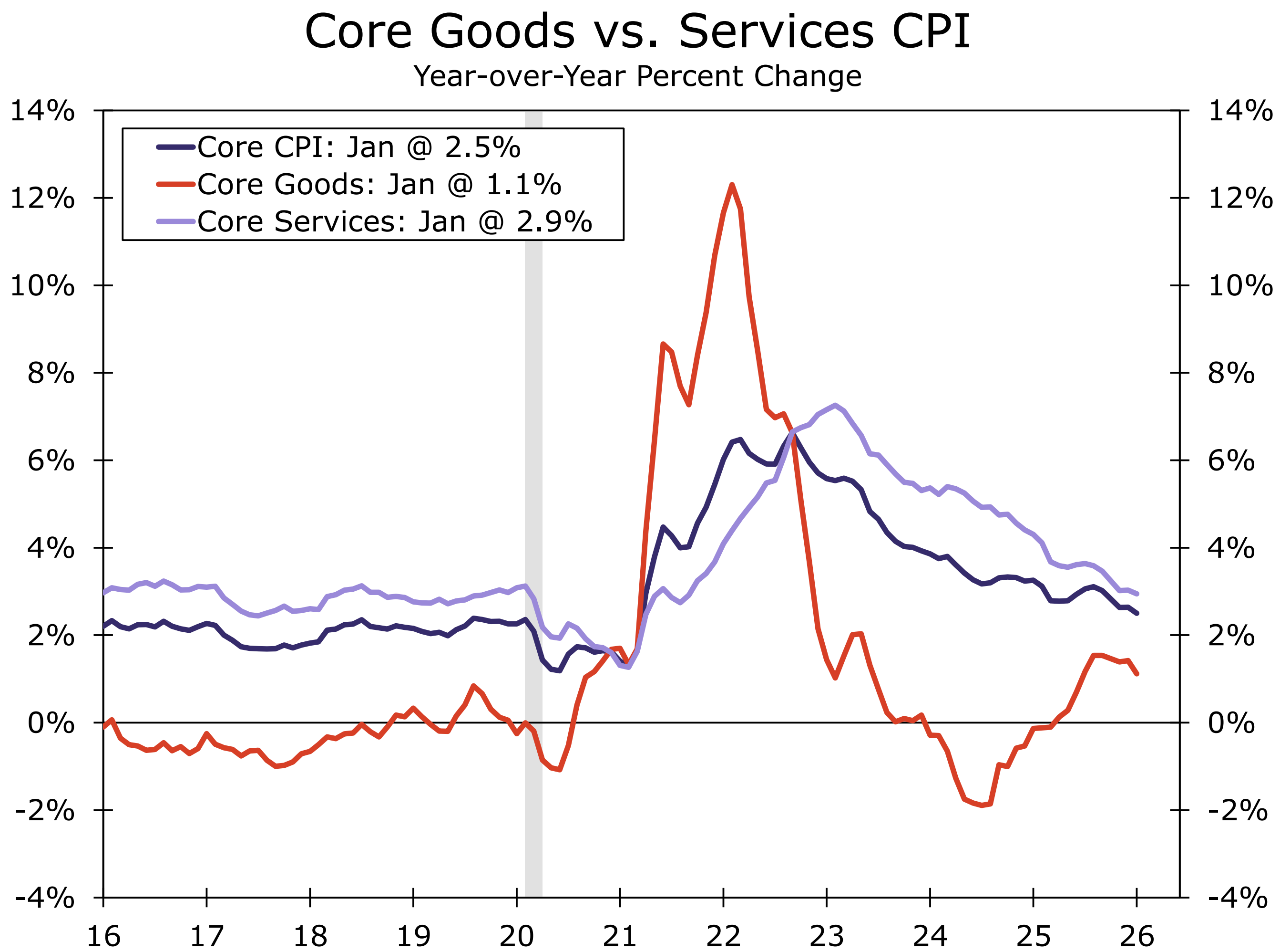
Source: U.S. Department of Labor and Wells Fargo Economics

A More Gentle Start to the Year

The Consumer Price Index came in a touch softer than expected in January, rising 0.2% (0.17% unrounded) over the month and 2.4% over the past year. A big drop in gasoline prices (-3.2%) helped to restrain headline inflation, while energy services rose 0.2%, a smaller increase than we had penciled in. Electricity prices were tame for the second month in a row, although they are still up 6.3% year-over-year, reflecting the continued demand growth in this sector. Utility gas prices were a much stronger 1.0% month-over-month and 9.8% year-over-year.



Source: U.S. Department of Labor and Wells Fargo Economics



Source: U.S. Department of Labor and Wells Fargo Economics

Excluding food and energy, core CPI rose 0.3% in January and was up 2.5% year-over-year, essentially in line with expectations. Core goods prices were roughly unchanged in the month, but this was largely attributable to a 1.8% decline in the volatile used auto category. Ex-used autos, core goods rose 0.36% in January, the strongest reading since February 2023 and a potential sign that tariff-induced inflation is still lingering in the data. One note of caution on the core goods front: the biggest beat came in the "other goods" category, specifically the "tobacco products other than cigarettes" component. Given the size of the move and that taxes can be a swing factor in tobacco products, this probably is not repeatable going forward.

Core services inflation was 0.4%, stronger than the 0.3% we anticipated, but here we found the details more encouraging despite the beat. Airfares rose 6.5% in the month, a sharp move particularly on the heels of the 3.8% gain seen in December. Like used autos, we doubt this will be repeated in the coming months. The disinflation in primary shelter seems to be continuing nicely, with rents and owners' equivalent rents both rising 0.2%.

On balance, we found today's report to be encouraging. Yes, a 0.30% monthly increase in core CPI is an annual run rate well north of the Fed's 2% inflation target, so victory over inflation is not yet upon us. That said, there are reasons to be optimistic about the outlook. The disinflation in primary shelter is continuing along, and there are few signs of an acceleration in the private sector rent measures that serve as forward-looking indicators. Tariff-induced price hikes probably have not fully worked their way through the data, but we are closer to the end than the beginning of this source of higher prices. Labor cost pressures appear muted based on this week's Employment Cost Index, and this bodes well for the underlying run rate in core services inflation. For the Fed, a March rate cut looks highly unlikely, but the continued gradual pace of disinflation should keep prospects for additional rate cuts alive for later in the year.

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com

Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 2/13/2026 unless otherwise stated. 2/13/2026 9:45:33 EST.

Required Disclosures

This report is produced by the Economics Group of Wells Fargo Bank, N.A. (“WFBNA”). This report is not a product of Wells Fargo Global Research and the information contained in this report is not financial research. WFBNA distributes this report directly and through affiliates including, but not limited to, Wells Fargo Securities, LLC, Wells Fargo & Company, Wells Fargo Clearing Services, LLC, Wells Fargo Securities International Limited, Wells Fargo Securities Europe S.A., and Wells Fargo Securities Canada, Ltd. Wells Fargo Securities, LLC is registered with the Commodity Futures Trading Commission as a futures commission merchant and is a member in good standing of the National Futures Association. WFBNA is registered with the Commodity Futures Trading Commission as a swap dealer and is a member in good standing of the National Futures Association. Wells Fargo Securities, LLC and WFBNA are generally engaged in the trading of futures and derivative products, any of which may be discussed within this report. All reports published by the Economics Group are disseminated and available to all clients simultaneously through electronic publication to our public website. Clients may also receive our reports via third party vendors. We are not responsible for the redistribution of our reports by third-party aggregators. Any external website links included in this report are not maintained, controlled or operated by WFBNA. WFBNA does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of WFBNA.

This publication has been prepared for informational purposes only and is not intended as a recommendation, offer or solicitation with respect to the purchase or sale of any security or other financial product, nor does it constitute professional advice. The information in this report has been obtained or derived from sources believed by WFBNA to be reliable, but has not been independently verified by WFBNA, may not be current, and WFBNA has no obligation to provide any updates or changes. All price references and market forecasts are as of the date of the report or such earlier date as may be indicated for a particular price or forecast. The views and opinions expressed in this report are those of its named author(s) or, where no author is indicated, the Economics Group; such views and opinions are not necessarily those of WFBNA and may differ from the views and opinions of other departments or divisions of WFBNA and its affiliates. WFBNA is not providing any financial, economic, legal, accounting, or tax advice or recommendations in this report. Neither WFBNA nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this report, and any liability therefore (including in respect of direct, indirect or consequential loss or damage) is expressly disclaimed. WFBNA is a separate legal entity and distinct from affiliated banks, and is a wholly-owned subsidiary of Wells Fargo & Company.

Important Information for Non-U.S. Recipients

For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a U.K. incorporated investment firm authorized and regulated by the Financial Conduct Authority (“FCA”). For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the “Act”), the content of this report has been approved by WFSIL, an authorized person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU (“MiFID2”). The FCA rules made under the Act for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. For recipients in the EFTA, this report is distributed by WFSIL. For recipients in the EU, it is distributed by Wells Fargo Securities Europe S.A. (“WFSE”). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in MiFID2. This report is not intended for, and should not be relied upon by, retail clients.

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE